Annual Report 2011

بنك أبوظبي الوطني
NATIONAL BANK OF ABU DHABI





The Late His Highness Sheikh Zayed Bin Sultan Al Nahyan

First President of the United Arab Emirates





His Highness Sheikh Khalifa Bin Zayed Al Nahyan

President of the United Arab Emirates and Ruler of Abu Dhabi





His Highness Lt. General Sheikh Mohamed Bin Zayed Al Nahyan

Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces



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Vision, Mission, Values, Customer Pledge and Corporate Sustainability & Responsibility Policy



Our Vision

To be recognised as the World's Best Arab Bank

Our Mission

To provide our customers with exceptional service by creating products and delivering services of enduring value to help our customers grow

Our Values

- Value our stakeholders
- Accessible to our customers 24 x 7
- Loyal to our heritage and global in our outlook
- Understand our customers' needs
- Recognise that people are our single biggest asset and empower them
- Teamwork
- Deal with others as we would like them to deal with us

Our Customer Pledge

- We will recognise you
- We will listen to you
- We will understand your needs
- We will dedicate all our energies to serving you
- We will grow with you

Our Corporate Sustainability & Responsibility Policy

Investing in our future. We are committed to doing business in a responsible way; by dealing with our customers, investors and other stakeholders honestly and fairly, by valuing our employees, by being accessible and responsive to the communities where we do business and through careful environmental stewardship.



Board of Directors & Senior Management



Board Members



Chairman
H. E. Nasser Ahmed Khalifa AlSowaidi



Deputy Chairman
H. E. Dr. Jauan Salem Al Dhaheri



Member
H.E. Mohammed Omar Abdulla



Member
Mr. Khalifa Sultan Ahmed Al Suwaidi



Member
Mr. Hashim Fawwaz Al Kudsi



Member
Mr. David Beau



Member
Mr. Sultan Bin Rashed Al Dhaheri



Member
Sheikh Ahmed Mohammed Sultan Al Dhaheri



Member
Sheikh Mohammed Saif Mohammed Al Nahyan



Member
Mr. Matar Hamdan Al Ameri

Risk Management Committee (RMC)

Chairman
H.E. Nasser Ahmed Khalifa Alsowaidi

Members
H.E. Dr. Jauan Salem Al Dhaheri
Mr. Sultan Bin Rashed Al Dhaheri
Sheikh Ahmed Mohammed Sultan Al Dhaheri
Mr. Hashem Fawwaz Al Kudsi

Compensation & Nomination Committee (CNC)

Chairman
H.E. Mohamed Omar Abdullah

Members
Mr. Khalifa Sultan Al Suwaidi
Sheikh Mohammed Saif Mohammed Al Nahyan
Sheikh Ahmed Mohammed Sultan Al Dhaheri
Mr. David Beau

Audit Committee (AC)

Chairman
Sheikh Mohammed Saif Mohammed Al Nahyan

Members
Mr. Khalifa Sultan Al Suwaidi
Mr. David Beau
Mr. Matar Hamdan Al Ameri

Corporate Governance Committee (CGC)

Chairman
H. E. Nasser Ahmed Khalifa AlSowaidi

Members
H.E. Mohamed Omar Abdullah
Mr. Khalifa Sultan Al Suwaidi
Mr. Matar Hamdan Al Ameri

Senior Management

Group Chief Executive
Mr. Michael H. Tomalin

Group Chief Operating Officer
Mr. Abdulla Mohammed Saleh AbdulRaheem

Senior GM Domestic Banking Division
Mr. Saif Ali Mohammed Munakhas Al Shehhi

Senior GM International Banking Division
Mr. Qamber Ali Al Mulla

Senior GM Corporate & Investment Banking Division
Mr. Akram-Mark Yassin

Senior GM & Group Chief Risk Officer
Mr. Abhijit Choudhury

Senior GM Financial Markets Division
Mr. Mahmood Al Aradi

Senior GM Global Wealth
Mr. Rudiger Von Wedel

GM & Group Chief Compliance Officer
Mr. John Garrett

GM & Group Chief Audit Officer
Mr. Malcolm Walker

Managing Director, Abu Dhabi National Islamic Finance
Mr. Aref Ismail Al Khouri



NBAD at a Glance



NBAD at a Glance

Listed on the Abu Dhabi Securities Exchange (ADX), National Bank of Abu Dhabi (NBAD) is an integral systemic bank of the United Arab Emirates (UAE) providing a full range of products and services to the UAE market. NBAD is the largest bank in Abu Dhabi and the second largest bank in the UAE in terms of assets.

NBAD is one of the primary banks to the Abu Dhabi government and public sector companies. The Abu Dhabi government owns 70.5% of NBAD's shares through its investment company, the Abu Dhabi Investment Council (ADIC).

It is the most internationally diversified bank among the UAE banks with offices in Egypt, Oman, Bahrain, Kuwait, Libya, Sudan and Jordan in the MENA region, Hong Kong in the Far East, London, Paris, and Geneva in Europe and Washington D.C. in the USA. Its largest external market is Egypt where it operates as a full service bank with 29 branches as of date. In Oman, the bank has nine branches providing a comprehensive range of services throughout the Sultanate.

Since its inception in 1968, NBAD's diversified earnings base has delivered a strong track record. This has been achieved through organic growth. The Group is differentiated by its strong franchise, skilled employees and long-serving management.

NBAD employs a total of 5,669 people of which 4,467 are employed in the UAE and 1,202 at its international operations worldwide.

As at 31 December 2011, the Bank's:

- **Assets** were AED 255.7bn (USD 69.6bn)
- **Loans and advances** to customers were AED 159.5bn (USD 43.4bn)
- **Customer deposits were** AED 151.8bn (USD 41.3bn)
- **Capital resources** were AED 34.4 billion (USD 9.4bn)
- The Bank's **Basel-II capital adequacy** ratio was 20.7% (Tier-I at 15.6%)

A Diversified Business Model

National Bank of Abu Dhabi

Domestic Banking

- Consumer Banking
- Elite Banking
- Business Banking (SME)

Financial Markets

- Corporate coverage & e-commerce
- Institutional coverage & Primary markets
- Liquidity management & Interest rate products
- Trading & Investments

International Banking

- Arab World Banking
  - *Egypt Network*
  - *Oman Network*
  - *Sudan Network*
  - *Jordan Network*
  - *Bahrain*
  - *Kuwait*
  - *Libya*
- International Banking
  - *UK*
  - *France*
  - *USA*
  - *Hong Kong*

Corporate & Investment Banking

- Corporate Banking Group
- Wholesale Banking Group
  - *Global Project & Structured Finance*
  - *Syndications & Specialised Portfolio*
  - *Financial Institutions Dept*
  - *Global Trade Finance*
  - *Global Cash Management*
- Investment Banking Group
  - *DCM*
  - *ECM*
  - *Advisory*
- Private Equity
- Abu Dhabi National Property
  - *Real Estate*
- Abu Dhabi National Leasing
  - *Leasing*
- Special Asset Advisory

Global Wealth

- Private Banking
  - Investments & Financial Planning for UHNWIs
  - On-shore & Off-shore platforms
- Asset Management Group
  - Local & Global Funds
  - Discretionary Portfolio Management
- Abu Dhabi Financial Services
  - Brokerage services
  - Custody services
  - Non discretionary Portfolio Management
  - Funds administration
  - Investment Group
    - Investment products & views

Islamic Banking

- Abu Dhabi National Islamic Finance
- NBAD Islamic Division

Head Office Support Functions

Audit, Compliance, Finance, Human Resources, Information Technology, Legal, Operations, Risk Management, Investor Relations, Corporate Communication, Strategic Planning, Securities Services, Corporate Governance & Economic Research



Chairman's Report to the Shareholders

for the Financial Year ended 31 December 2011





On behalf of the Board of Directors of National Bank of Abu Dhabi (NBAD), I would like to commend and thank our senior management and staff for their efforts in enabling the group to produce good results in a challenging year characterised by difficult economic conditions.

Economic conditions in 2011

Global economic activity slowed down in 2011 and near term prospects deteriorated against the background of fiscal problems in developed economies. The future of the Euro came into question as periphery Euro Area economies struggled and sovereign debt difficulties spilled over to the banking system. Buoyant demand from emerging markets and disruption of the Libyan oil supply supported oil prices during the year. Average oil price in 2011 was US$ 105.5 per barrel (Dubai, spot), up 35.2% from 2010 and higher than the 2008 price which had averaged US$ 94 per barrel. The United Arab Emirates continued to be one of the main engines of GCC output growth in 2011, benefiting from higher oil production to compensate for the disruption in the Libyan oil supply.

Economic activity in the United Arab Emirates picked up modestly expanding by about 4% year-on-year in 2011, up from 1.4% in 2010. Hydrocarbon receipts continued to rise as a result of significantly higher oil prices and production. Non-oil activity is estimated to have grown at a broadly similar pace compared to a year earlier at near mid-single digits. The United Arab Emirates benefited in relative terms from its status as a regional safe haven, but the macroeconomic environment remained challenging with a continued overhang in the real estate sector and ongoing corporate debt resolution. Banking system liquidity tightened as the year progressed as a result of a decline in sector deposits by AED 74.5 billion during April to November 2011. Two track growth in the UAE continued with Abu Dhabi's economy expanding at a faster pace. This is reflected in listed Abu Dhabi based banks posting net asset growth of 8.6% year-on-year at end-September 2011, while the overall banking system grew by 5.5% year-on-year in the same period.
Inflationary pressure was muted in 2011. The US Dollar broadly strengthened and acted as a disinflationary factor for the regional economies. Commodity prices came off from their highs earlier in the year. UN Food and Agriculture Organization's food price index declined by 9.5% in November 2011 compared to the peak in February. Inflation is expected to remain contained in the medium term given muted credit growth and limited cost push pressure.

Real GDP growth in the United Arab Emirates is expected to decelerate to circa 3% in 2012 because growth in hydrocarbon activity is expected to be relatively flat compared to 2011 and output growth will, therefore, be driven by non-oil activity.

Financial Performance of the Group

Your bank continues to deliver a strong and sturdy performance in the face of continued political and economic uncertainties, regionally and globally. The Group's business model and its professional management are its core strengths.

With rigorous risk strategies and systems in place, the Group has largely been able to avoid being directly affected by various regional and global issues in the past 3 years since the Lehman Brothers collapse in late 2008. Our credit policies continue to be aligned to support the diversification of the economy and the development of the SME (small- and medium-sized enterprises) sector in line with the objectives of the Abu Dhabi Economic Vision 2030.

In late 2010, the UAE Central Bank directed banks to build and maintain a collective provision of 1.5% of credit risk-weighted assets by the end of 2014. The Bank has achieved this ratio at the end of 2011 itself, well ahead of the timeline.

Our domestic network was increased by 7 units in 2011 to reach 119 offices complemented by over 500 ATMs. These are further supported with the set up of nine Business Banking centres dedicated to serve the needs of our SME customers. In line with our international expansion strategy to position the group as the World's Best Arab Bank, we

opened our 2nd branch in Jordan and 9th branch in Oman during the year taking our international presence to 51 units across 12 countries. Our first office in Malaysia and a representative office in Shanghai are expected to open in early 2012.

The Bank has earned healthy net profits of AED 3.7 billion for the financial year ended 31 December 2011. Accordingly, the Board of Directors has recommended the distribution of a 30% cash dividend plus 30% bonus shares to shareholders.

The Bank's operating income increased by 9.8% to AED 7.9 billion over 2010 on continued growth in core business activities. Expenses of AED 2.6 billion, increased within plan by 17.3%, to finance the organic growth in the Bank's franchise, network, IT systems and staff.

The return on shareholders' funds for the year is 16.3% in line with our medium term strategic objective to maintain an average return of 20% over the full economic cycle.

Total assets reached AED 256 billion, 20.9% above 2010 levels. Loans and advances reached AED 160 billion, up a healthy 16.6%, and customer deposits also increased a sizable 23.3% to AED 152 billion during the year. Overall, a strong, yet prudent balance sheet growth.

The bank's businesses performed well with operating profit contributions of AED 2.5 billion from our Corporate & Investment Banking business, AED 1.1 billion from Domestic Banking, AED 741 million from International businesses and AED 845 million from Financial Markets division. Our wealth businesses did very well to earn a profit of AED 65 million in difficult market conditions, while Islamic banking business increased their contribution to AED 159 million or 3% of the Group's operating profit of AED 5.3 billion.

Through various new programmes and initiatives, the Group increased the number of UAE nationals by over 5% in 2011 with the Emiratisation ratio at 38.3% at the year end.

NBAD was recently figured 6th in the S&P Hawkamah ESG (Environmental, Social and Governance) Pan-Arab Index which recognises our efforts on our ESG disclosures. In addition to the initiatives undertaken for enhancing corporate sustaniability, we are a socially responsible bank and we contribute to good causes. In 2011, our donations and charity contributions amounted to AED 50 million.

I am delighted to mention that in addition to being recognised among the World's 50 Safest Banks since 2009, your Bank was also named as the Safest Bank in the Middle East this year by Global Finance and our Chief Executive won the award for the Best CEO in the Middle East.

My colleagues on the board and its committees have played a critical role in our efforts during 2011. I value their depth of experience and express my appreciation to them and sincerest thanks to all our stakeholders for their continued support.
On behalf of the board, I would like to commend and thank our senior management and staff for their dedicated efforts in delivering consistently solid results and express my appreciation to our loyal customers for their valued business with the Bank.

Finally, on behalf of the shareholders, the members of the Board of Directors and the management and staff of the Bank, I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi; His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai; Their Highnesses members of Supreme Council, rulers of Emirates; His Highness Sheikh Mohamed Bin Zayed Al Nahyan, Abu Dhabi Crown Prince and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

Nasser Ahmed Khalifa AlSowaidi
Chairman



Group Chief Executive Review

for the Financial Year ended 31 December 2011





2011 has been a difficult year in global banking. The region was also affected by the Arab Spring, low interest rates, the Euro crisis and the credit downgrade of USA. Nonetheless, NBAD continues on its path of prudent and sustainable growth – financially and physically. Our growth is aligned with the growth of the Emirate of Abu Dhabi and its 2030 Vision as we journey towards our vision to be recognised as the World's Best Arab Bank.

Financial Performance

The Bank earned net profits of AED 3,708 million in 2011, up 1% on the AED 3,683 million earned in the previous year. This represents a diluted EPS of AED 1.19 per share against AED 1.16 per share for 2010.

Return on average shareholders' funds was 16.3%, slightly below our medium-term target of maintaining it above 20%, but quite an achievement given the difficult operating conditions in 2011. In fact, it compares very well and is one of the highest when compared on a like-to-like basis to some our major local peers.

"Another year of sustainable growth amidst difficult operating conditions"

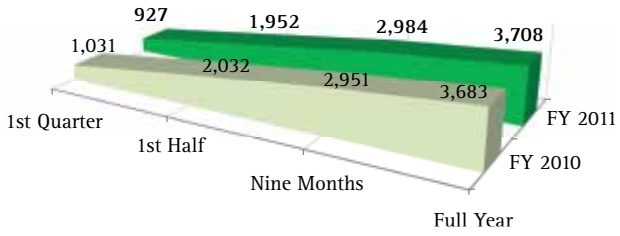
Operating income

Total operating income came in at AED 7,881 million for 2011, up 10% on AED 7,179 million earned in 2010. Top line-revenue continues to grow impressively year on year and will be the key determiner of bottom-line going forward.

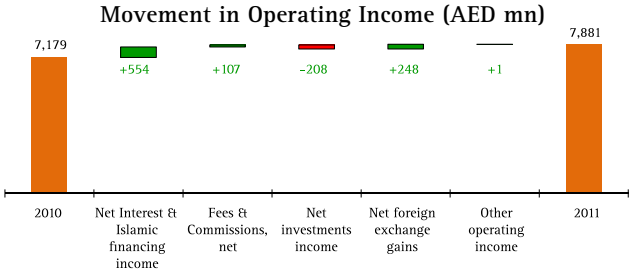
Net interest and Islamic financing income grew by 11% to AED 5,803 million in 2011 from AED 5,249 million in 2010 driven by a healthy balance sheet growth of 21%. This was in spite of tighter yields due to increased short-dated high-quality lending and a more liquid balance sheet structure.

"Top line-revenue continues to grow impressively year on year and will be the key determiner of bottom-line going forward"

Net Profits (AED mn)



Movement in Operating Income (AED mn)



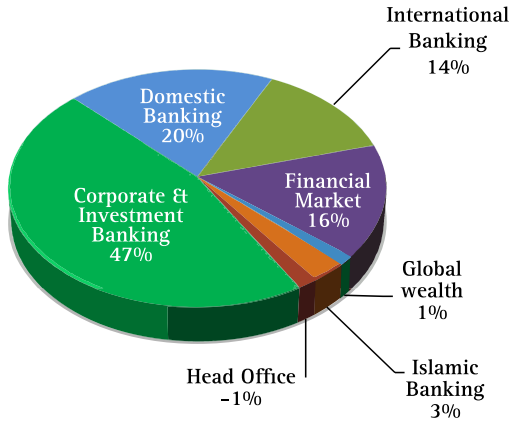
Despite the implementation of the revised retail lending regulations, net fees and commission income grew by 8% to AED 1,391 million in 2011 from AED 1,284 million in 2010. Among the other sources of non-interest income, foreign exchange related gains almost doubled to AED 522 million in 2011 against AED 274 million earned in 2010. Overall, non-interest revenues increased by 8% to AED 2,078 million in 2011 against AED 1,930 million in 2010.

Operating expenses

Total operating costs increased to AED 2,564 million in 2011, an increase of 17% from AED 2,186 million in 2010. This increase was in line with our growth plans to invest in our people, systems and infrastructure, brand and network and focus on customer satisfaction.

Operating Profits

All the businesses performed well. Financial markets, Islamic banking and Global Wealth were the fastest growing businesses. Corporate banking enjoyed a strong balance sheet growth while the new regulations on retail lending had a marginal adverse effect on the Domestic banking business. Operating profits increased by 6.5% to AED 5,317 million in 2011 as compared to 2010.



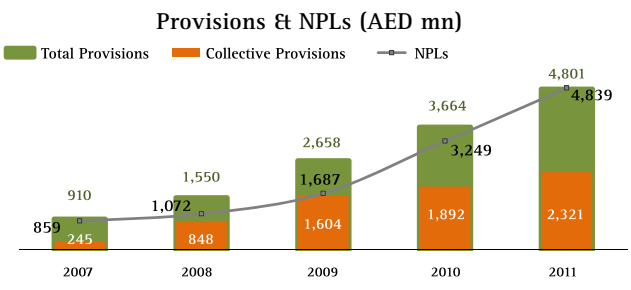
Provisions & Impairment charges

Net impairment charges for the year 2011 rose 24% or AED 292 million to AED 1,499 million from AED 1,207 million in the previous year. Collective provisions were increased by AED 428 million during the year and now represent 1.5% of the performing credit risk-weighted assets, well ahead of the UAE Central Bank's 2014 target.

In addition, the Bank provided AED 159 million during the year for its impaired properties which had been purchased for further expansion. Although the Bank owns many properties and land at low historic cost, no revaluation profit has been taken in this or indeed earlier years providing a significant hidden asset for the group.

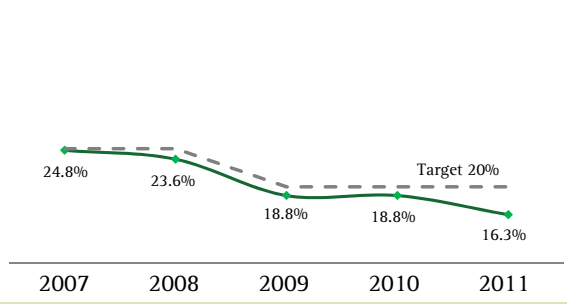
"Collective provisions now represent 1.5% of performing Credit RWAs, well ahead of the UAE Central Bank's 2014 target"

Non-performing loans (NPLs) of AED 4,839 million represent 2.94% of the loan book and mirror the quality of NBAD's loan book.

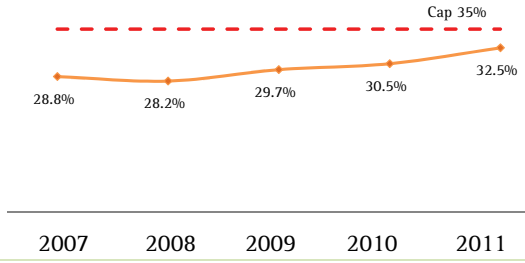


Five years of strong performance

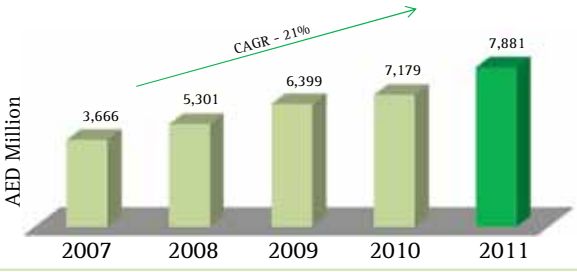
Return on Shareholders' funds



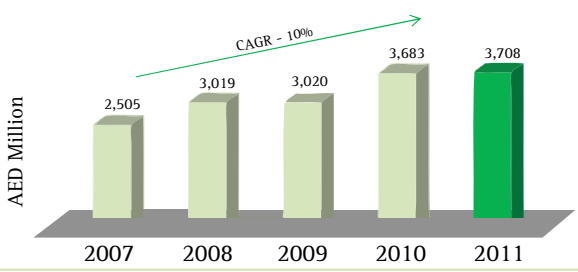
Cost-Income ratio



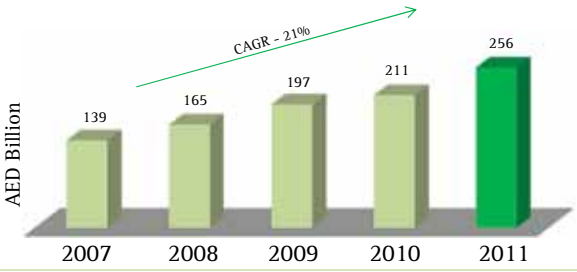
Operating Income



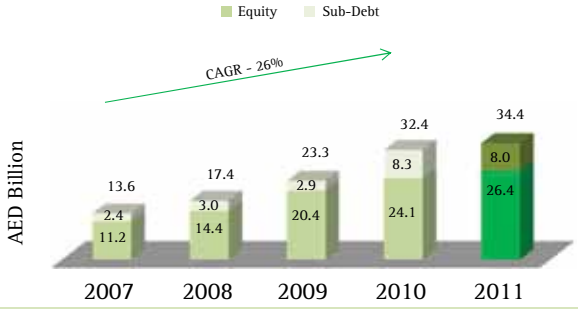
Net profit



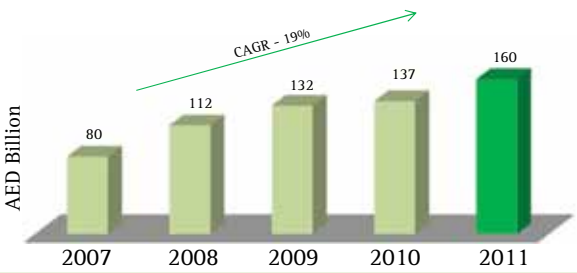
Assets



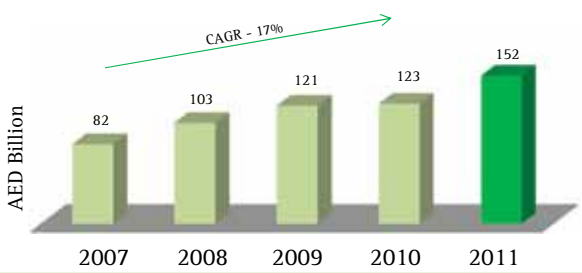
Capital Resources



Customer Loans & Advances



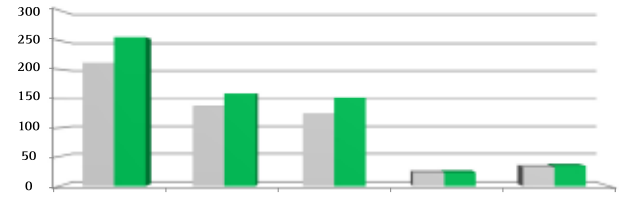
Customer Deposits



Balance Sheet

Assets grew strongly by 21% to AED 256 billion from AED 211 billion. Customer loans grew 17% to AED 160 billion while customer deposits grew at a faster pace (by 23%) in 2011 to AED 152 billion. The Bank continued to focus on diversifying its sources of funding and extending the maturity profile of its liabilities.

With shareholders' funds of AED 22 billion, Government of Abu Dhabi's Tier-I capital notes of AED 4 billion and subordinated notes of AED 8 billion, the total capital resources increased by 6% to AED 34 billion. The capital adequacy ratio of 20.7% is strong and the Tier-I ratio of 15.6%, almost double the 12% and 8% (on Tier-I) minimum requirement of the UAE Central Bank.



AED bn	Assets	Loan	Deposits	MTBs/Subdebt	Capital Resources
2010	211.4	136.8	123.1	22.8	32.4
2011	255.7	159.5	151.8	23.1	34.4

"The Bank has produced solid results with operating profits up 6.5% and top-line revenues up 10%. This year we have been particularly cautious regarding provisions, both for our properties which we had purchased for expansion, and our credit portfolio, taking the general provisions to performing credit risk-weighted assets to the 2014 Central Bank target of 1.5%, and adding appropriate specific provisions for non-performing loans. Despite these higher provisions, net earnings have remained steady; a good achievement in a year when many of our global peers have seen sharp falls in their income."

Domestic Banking (DBD)

DBDs business comprising of the Consumer Banking Group, Elite Banking Group and Business Banking Group contributed 20% or AED 1,071 million to the Group's operating profit in 2011. A number of customer experience initiatives were launched to focus on enhancing customer service further.

Consumer Banking Group continues to strengthen its distribution channels as part of our continued commitment to get closer to our customers. The Bank launched two model branches with new 'look and feel' in Dubai. A total of seven new branches and 128 new ATMs were added to the network. With 119 branches and 502 ATMs, NBAD's distribution network is among the largest in the country. Our direct banking channels - NBAD Direct, NBAD Contact Centre and NBAD Online - continue to become more popular with our customers and we won two Middle East Smart Card Awards: Best Prepaid Card for our Ratibi Card and Best Mobile Payment Application for Arrow.



Ahmed Al Naqbi, the Head of Direct Banking & Development at NBAD receives the Best International Money Transfer Programme 2011

A number of innovative products and services were launched during the year: NBAD One, a premier packaged current account with a host of financial and non-financial benefits; a second generation e-Dirham Card in collaboration with the Ministry of Finance; a co-branched NBAD Gems Card in collaboration with Gems Education; and a new Retail Online platform with better functionality and security features.

Elite Banking Group continued to enhance the experience for affluent customers through a re-launch of the Elite Banking proposition with several benefits and new products. Elite Banking deposits grew by 25%.

"Strengthen our distribution channels as part of our continued commitment to get closer to our customers and to focus on enhancing customer service further"

Business Banking Group (BBG): With the special focus of the Bank towards the "SME" market, 2011 was a very busy year for BBG. The BBG identity was launched at the start of the year and the business grew its assets by 115% and liabilities by 12.6%. The client base rose by 34% over the year.



H.E. Mohammed Omar Abdullah, Undersecretary of the Department of Economic Development - Abu Dhabi (DED), and NBAD board member; Saif Ali Al Shehhi, the Senior General Manager of the Domestic Banking Division of NBAD and senior executives of the bank inaugurating NBAD's new business centre in Abu Dhabi

Six products, tailor-made to BBG clients, were launched in 2011: Business Credit cards, Business Rent finance, Business Vehicle Loan, Business Current accounts, Business Property finance and Business FX solutions. Additionally, BBG signed significant MOUs (Memorandum of Understanding) with the Khalifa Fund, Mohammed bin Rashid Establishment for SME Development, RAK Free Trade Zone, the Department of Economic Development and the Abu Dhabi Chamber of Commerce and Industry.

To facilitate the offering of dedicated and tailor-made services, 9 BBG centers were inaugurated during 2011 to serve our BBG clients all over the UAE.

International Banking (IBD)

IBD, consisting of our operations across the **Arab World** and **internationally**, increased its operating profit by 26% to AED 741 million in 2011 from AED 588 million earned in the previous year. IBD accounted for 14% of the Group's operating profits.

During the year, the Bank expanded the size of its international business to 50 units across 11 countries by opening its second branch in Jordan and adding a 9th branch in Oman. Our Washington branch, established in 1981, relocated to our newly acquired premises in the prestigious K Street in the heart of the US capital.

"Spearheading the geographical diversification and reach of NBAD across the globe"

In Egypt, our business held up well despite tough conditions. Our staff behaved magnificently putting the interests of NBAD and its customers first. Business in the Arab world has been subdued, however our businesses in Jordan and Oman continue to grow.

Our London office enjoyed an outstanding year building on its trade finance and corporate businesses. Hong Kong celebrated continued strong growth reflecting the growing links between China and the Middle East.

Our Malaysian subsidiary is expected to be launched during the first half of 2012. In 2011, NBAD received the approval to open a representative office in Shanghai (China) which is also expected to start by end of first half of 2012.



Imad Marar, NBAD's Regional Manager in Jordan, and NBAD staff at the inauguration of the second branch in Jordan

Financial Markets (FMD)

FMD had a strong year with the operating profit of the business increasing by 18.7% to AED 845 million from AED 712 million earned in 2010, thus contributing 16% to the Group's operating profits.



Global Financial Markets Forum organised by NBAD's Financial Markets Division

The financing team successfully tapped the Japanese market and issued the MENA region's first ever Samurai bond allowing us to introduce new investors to NBAD and secure JPY 10 billion (USD 130 million) of financing for 15 years.

Private placements were opted as a method of financing and notes dominated in USD, JPY and HKD were issued totalling the equivalent of USD 176 Million (under various programmes). Noteworthy among these was a USD 20 million note due 2036, representing the longest tenor ever issued by a GCC bank or entity.

To help improve and focus the treasury sales activity, the coverage team was split into two distinct teams - one focused on Institutional Sales and Primary Markets and the other on Corporate Sales and Flow Trading. This segregation allowed us to broaden our reach throughout the region and provide our clients with more suitable, specific and tailor-made hedging solutions and treasury products.

The **Primary Market** team expanded the syndication capacity, and coverage, securing solid access to the buy-and-hold accounts throughout the region including sovereign wealth funds, Islamic investors, banks and most importantly newly established pension fund portfolios. Consequently, sizable orders were secured for all deals where NBAD was mandated as Joint Lead Manager and Joint Book Runner.

"Diversifying our sources of funding and extending the maturity profile of our liabilities"

The **Islamic Sales** team expanded their activity signing 28 Murabaha agreements and executing the first ever Islamic Murabaha REPO transaction.

The **Corporate Sales** team helped in designing cost effective hedging solutions to reduce funding cost, improve profitability and secure the business models for its key accounts. The team also expanded product coverage to include commodity hedging, which is vitally important given the exposures regionally.

The Bank continued to invest in technology and infrastructure in support of its market risk activities. We successfully went live with phase-I of our trading and risk management platform (Murex) and phase-II of this implementation is due in 2012. In addition, our e-commerce solution went live in the branch network, allowing us to link all our UAE branches via automated e-commerce (front, middle and back). Roll out of e-commerce solutions for the corporate and international units is scheduled for 2012.

Corporate and Investment Banking (CIBD)

The combined business units within CIBD contributed AED 2.5 billion or 47% to the Group's operating profit.

Corporate Banking Group has maintained its focused approach of capitalising on our relationships with government and public sector entities as well as select strategic business client relationships. This has had the added benefit of making the NBAD franchise synonymous with iconic transactions and UAE landmark projects. To better serve our clients' international expansion plans as well as the entry of overseas corporates into the local market, we have strengthened our Multi-nationals coverage team with the hiring of a Head of MNC.

"... maintained its focused approach of capitalising on its relationships with government and public sector entities as well as select strategic business client relationships"

Our Investment Banking Group was awarded the Best Local Investment Bank in 2011 by EMEA Finance. Our Equity Capital Markets (ECM) team successfully executed the Wataniya IPO while in Debt Capital Markets (DCM) we secured lead roles in prestigious transactions in the UAE and Malaysia. Our Advisory team won the prestigious strategic advisory mandate for the development of Al Failaka Island in Kuwait. We endeavour to expand our merger & acquisition (M&A) activities and have appointed a Head of M&A.

Wholesale Banking Group

a) **Global Project & Structured Finance (GPSF)** business recorded a strong performance by closing 19 deals (including 3 restructuring deals). We have consistently maintained our lead position in project and structured finance in the regional and local syndication market with participation in lead roles and won accolades across deal categories such as structured deals, corporate finance and restructuring.



Mark Yassin, the Senior General Manager of Corporate and Investment Banking (centre), at the signing ceremony of comprehensive partnership agreement between NBAD & Khalifa Industrial Zone Abu Dhabi (Kizad).

b) The ongoing strategic revamp of our **Financial Institutions Group (FIG)**, taking it to a global coverage model, shall be instrumental in establishing NBAD as the banking partner of choice for the world's banks doing business in Arab region.

c) Our **Global Trade Finance (GTF)** business diversified its products and services with trade finance teams based in London, Paris, Geneva, Hong Kong, UAE, Washington and the wider Arab world to support our clients in an end-to-end supply chain.

d) We continue to build our **Transaction Banking** platform with investments in people and systems focusing mainly on Corporate and Financial Institutional clients within the UAE and MENA region.

Our property subsidiary, **Abu Dhabi National Property (ADNP)** continued its strong performance in 2011 despite the continued downturn of the UAE real estate market. ADNP has been able to secure significant third party advisory and property management remits throughout the UAE thereby diversifying its business portfolio. Growth is likely to be sustained with new initiatives such as project management and the proposed REIT. The association with Knight Frank, a major UK-based property company, opens doors for ADNP to access overseas markets.

In view of turbulent market conditions prevailing during 2011, **Abu Dhabi National Leasing (ADNL)** adopted a cautious approach and focused on prized business which resulted in robust growth in 2011. Major deals were executed in the Aviation and Ports sector of which the Sanad / Etihad deal for engine lease finance was nominated for two Air finance Journal Awards - Middle East Deal of the Year and Global Engine Deal of the Year.

Global Wealth (GW)

Global Wealth comprising of our private banking, asset management, brokerage and custody activities faced a challenging year given the political upheaval in some of our core markets and the global economic turmoil. Despite these challenges, the business performed strongly, growing its contribution to operating profits from AED 9 million (0.2%) in 2010 to AED 65 million (1.2%) in 2011.

The strongest contributors to the division's performance in 2011 were our **Private Banking** activities in the UAE and Switzerland. Assets under Management grew by over 50%. Also we were able to increase significantly the quality and quantity of the staff who directly serve clients.

Abu Dhabi Financial Services (ADFS), our brokerage subsidiary used the difficult period in the UAE equity markets characterised by very low levels of liquidity to further expand market share and at the same time improve efficiencies within the company. We believe the business is well positioned to take advantage of the expected return of confidence in the UAE equity markets.

"Investing for a solid foundation amidst challenging operating environment regionally and globally"

Our **Asset Management Group (AMG)** further developed its product capabilities and launched innovative new investment solutions in areas such as structured products, fixed income and investment advisory. In 2011 itself, the AMG was twice awarded Best Asset Manager of the UAE (at the Euromoney Global Investor and the MENA FM performance awards). NBAD OneShare Dow Jones UAE 25 ETF, region's first exchange-traded fund, was named the Investment Product of the Year by the Banker Middle East.



Alan Durrant, the Group Chief Investment Officer and General Manager of Asset Management Group, receives Asset Manager of the Year Award

Our Custody activities showed solid growth focussing on expanding geographical reach and product depth.

Islamic Banking

Islamic Banking comprising of our wholly-owned subsidiary **Abu Dhabi National Islamic Finance** (ADNIF) and **NBAD Islamic Division** delivered a strong financial performance contributing 3% to the Group's operating profits or AED 159 million, 66% higher than 2010.

The business enjoyed growth in customer finances of 10.6% in 2011 to AED 7.4 billion compared with 2010, and attracted additional Sharia'-compliant deposits in 2011. ADNIF now operates four branches across the UAE after adding two more branches to its network during the year, one in Dubai and Sharjah each.

"Capitalising on the growth in Islamic banking"

National Takaful Company (Watania) was incorporated this year with ADNIF as a lead founder. ADNIF signed a MoU (memorandum of understanding) with Zakat Fund to provide electronic services for Zakat collection through the Bank's electronic channels.

Support

Information Technology (IT)

Our IT department continues to deliver a competitive advantage to the Bank. The team successfully delivered 50 projects during 2011 covering different lines of businesses including the launch of the G2 E-Dirham project to public.



Cards issued for G2 E-Dirham project

In addition to this and in alignment to the Bank's strategic objective to centralise, consolidate and standardise different technologies and business operations, the department led the initiative to develop NBAD's Target Operating Model (TOM) which allows for standardisation and centralisation through "Bank-in-a-Box.".

"Standardisation and centralisation through Bank-in-a-Box"

Our web server optimisation programme was named the Application Networking Project of the year by Network Middle East Awards.

Risk Management

The Bank continued its strategy of clear risk management objectives and a well-established approach to deliver them through core risk management processes. Adapting to the growing size and complexity of the Bank, today, our core risk management processes provide for both centralised governance, as well as decentralised management through embedded risk functions in our key lines of business.

The five key pillars of our management of credit risk are:

a) Comprehensive credit policies,
b) Prudent credit underwriting standards,
c) Detailed risk measurement and modeling,
d) Extensive credit training programs, and a
e) Continual loan review and audit process

This is reflected in the sound quality of our credit portfolio compared to peer banks: our low non-performing loans ratio of 2.94% with associated high provision coverage. In 2011, we became the first bank in the UAE to apply for Foundation Internal Ratings-Based (FIRB) approach for a significant part of our portfolio.

"Our core risk management processes provide for both centralised governance, as well as decentralised management through embedded risk functions in our key lines of business"

Despite the volatility in the capital markets during 2011, our effective market risk governance structure, robust management and measurement methodologies, together with thorough analysis of exposures to both traded and non-traded market risk ensured that the total market risk remained low. We continued to closely monitor and review our limit structures such that they remained closely aligned to the changes in market risk factors underlying our portfolio. Liquidity and funding risk across the Bank continued to be managed effectively by closely monitoring liquidity gaps and holding liquid assets in excess of an established minimum level at all times.



Abhijit Choudhury, Group Chief Risk Officer of NBAD (middle) receives the Best Risk Management in (MENA) award from Banker ME officials

We further strengthened our risk infrastructure by continuing to invest in systems to identify, assess, manage and report all material risks allowing us to adopt the advanced approaches under Basel Accord and meet all the regulatory requirements of the central banks wherever we operate. In recognition of our risk management practices and achievements, the Bank was bestowed with the award for Best Risk Management in MENA Region by the Banker Middle East in 2011.

Compliance

Robust and effective compliance is a core value at the Bank. We won 3 awards at the fifth GCC Regulators' Summit. The Summit named John Garret, the General Manager and Group Chief Compliance Officer, the Most Recognised International Compliance Officer of the Year. It also recognised Columcille O'Donnell, the Head of Group Compliance, the Compliance Officer of the Year. Moreover, the Bank was also recognised for Effective Implementation of Compliance Training.

Human Resources

People are the most critical asset of any organisation and our HRG is committed to serve the businesses in hiring, developing, retaining and rewarding top talent. The Bank has continued to invest in learning, education and development of our people and fostered a 'learning culture' at the Bank. During 2011, employees averaged approximately 7 days training and 94% of staff based in the UAE attended a training programme. The overall number of days was just under 30,000 training days for the year. In September 2011, the NBAD Academy opened a campus in the Northern Emirates. The focus for 2011 was the assessment and development of the technical and professional expertise of the staff. This has been achieved through divisional qualifications/ certification programmes.



Abdulla M.S. AbdulRaheem, Group Chief Operating officer at NBAD, Ehab Anis Hassan, Group Chief Human Resources Officer, Abdullah Al Hosani, Head of Branches and Consumer Banking Transformation inaugurating our state-of-the-art academy in the Northern Emirates, the Bank's second in the UAE

"Continued to invest in learning, education and development of our people"

In 2011, we were nominated for the Best Emiratisation CEO Award – Banking and Financial Sector 2012. Our Emiratisation ratio was 38.3% and we employed 5,669 staff across the world at the year-end 2011.

Corporate Sustainability & Responsibility

As a socially responsible bank, our donations and charity contributions for 2011 amounted to AED 50 million. We were awarded the Pan-Middle East Award for the Best Corporate Social Responsibility (CSR) programme by the prestigious emeafinance magazine in 2011. Infact, NBAD was the only Middle East bank among 17 global banks shortlisted for the Financial Times/IFC Sustainable Bank of the Year Award.

Our 2011 corporate sustainability activities are available in further detail in our third annual Sustainability Report, published separately and available on our website.

Awards & Events



Since 2009, NBAD is the Official Bank of Formula 1™ Etihad Airways Abu Dhabi Grand Prix held in Yas Marina Circuit, Abu Dhabi - UAE

NBAD was the Official Bank of 2011 Formula 1™ Etihad Airways Abu Dhabi Grand Prix held in November at the Yas Marina Circuit for the third consecutive year. Our third annual Global Financial Markets Forum was judged a success with over 700 delegates attending the 4-day event with prominent speakers and influential thinkers speaking at the forum.

In 2011, and for the third year in a row, NBAD was recognised amongst the World's 50 Safest Banks. Global Finance also ranked the Bank as the Safest Bank in the Middle East and the 3rd safest bank amongst 500 largest banks in Emerging Markets.

Apart from the various business and product awards, another feather in our cap was the Best Bank in UAE award by Euromoney for the third consecutive year and the fifth time since 2000. The Chief Executive was named as the CEO of the year (in the Middle East) by Global Investor magazine. For the second consecutive year, NBAD was awarded the Best Financial Information Website in the Middle East at the Hallvarsson & Halvarsson's annual Webranking Awards.



Saif Al Shehhi, the Senior General Manager of Domestic Banking Division at NBAD (second from left) and Abdulla Ghobash, NBAD's Regional Manager in the Northern Emirates (second from right) receive the Best Bank in the UAE award from Euromoney's officials

Dividend

At the Annual General Meeting held on 13 March 2012, the shareholders approved the distribution of a stock dividend of 35% and a cash dividend of 30% of the Group's capital for the financial year ended 31 December 2011.

A vote of thanks

In a difficult year for global banking, our net earnings have remained steady despite substantial provisions; a good achievement in a year when many of our global peers have seen sharp falls in their income.

Most importantly, our external ratings have been retained and we remain amongst the World's 50 Safest Banks in the world and have become the safest bank in the Middle East. None of this could have been achieved without the skills of our people, the support of our customers and the benefits of our home base in Abu Dhabi.

I would also like to extend my thanks to the executive management team, the Board and the Board committees for the critical role they played during the year.

Michael Tomalin
Group Chief Executive

The safest name you can bank upon

NBAD is proud to be ranked as the Safest Bank in the Middle East and one of the 50 Safest Banks in the world since 2009 by Global Finance

بنك أبوظبي الوطني
NATIONAL BANK OF ABU DHABI

The safest bank is in the news again. For the third consecutive year, the Global Finance magazine has recognized NBAD's continued success. And we don't just stop here. NBAD has also been awarded as the Best Bank in the UAE for 2011 by both Banker Middle East and Euromoney magazines. A feat we are all proud of in our endeavour to become your partner.



Consolidated Financial Statements

for the Financial Year ended 31 December 2011



Independent Auditors' Report

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of National Bank of Abu Dhabi PJSC (the "Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2011, the consolidated income statement and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Board of Directors' Responsibility for the Consolidated Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards and in compliance with the relevant Articles of Association of the Bank and the UAE Federal law No: 8 of 1984 (as amended), and for such internal control as the Board of Directors determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the group's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2011, and of its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with International Financial Reporting Standards and comply with the relevant Articles of Association of the Bank and the UAE Federal Law No: 8 of 1984 (as amended).

Report on Other Legal and Regulatory Requirements

As required by the UAE Federal Law No: 8 of 1984 (as amended), we further confirm that we have obtained all information and explanations necessary for our audit, that proper financial records have been kept by the Group and that the contents of the Chairman's report which relate to these consolidated financial statements are in agreement with the Group's financial records. We are not aware of any violation of the above mentioned Law and Articles of Association having occurred durig the year ended 31 December 2011 which may have had a material adverse effect on the business of the Group or its financial position.

KPMG
Munther Dajani
Registration No. 268

31 January 2012

Consolidated statement of financial position
As at 31 December 2011

	Note	2011 AED'000	2010 AED'000
Assets			
Cash and balances with central banks	7	24,468,641	18,429,827
Investments at fair value through profit or loss	8	1,610,745	1,292,826
Due from banks and financial institutions	9	15,166,763	14,764,757
Reverse repurchase agreements	10	16,425,020	10,898,457
Loans and advances	11	159,522,178	136,833,496
Non-trading investments	12	26,569,340	21,396,005
Other assets	13	9,689,058	5,601,350
Property and equipment	14	2,215,760	2,210,552
Total assets		255,667,505	211,427,270
Liabilities			
Due to banks and financial institutions	15	39,795,601	31,551,346
Repurchase agreements	16	3,513,726	2,542,896
Euro commercial paper	17	-	35,053
Customers' deposits	18	151,816,887	123,130,589
Medium-term borrowings	19	15,148,516	14,458,665
Other liabilities	20	11,013,236	7,283,019
		221,287,966	179,001,568
Subordinated notes	21	7,990,054	8,312,286
Total liabilities		229,278,020	187,313,854
Equity			
Share capital	22	2,870,043	2,391,703
Statutory and special reserves	22	3,563,274	3,324,105
Other reserves	22	11,466,410	10,089,739
Government of Abu Dhabi tier 1 capital notes	23	4,000,000	4,000,000
Share option scheme	24	76,497	52,739
Subordinated convertible notes - equity component	21	27,639	74,925
Retained earnings		4,385,622	4,180,205
Total equity		26,389,485	24,113,416
Total liabilities and equity		255,667,505	211,427,270

Nasser Ahmed Khalifa AlSowaidi
Chairman

Michael Tomalin
Group Chief Executive

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated income statement
For the year ended 31 December 2011

	Note	2011 AED'000	2010 AED'000
Interest income	25	7,651,786	7,146,858
Interest expense	26	(2,156,538)	(2,129,245)
Net interest income		5,495,248	5,017,613
Income from Islamic financing contracts	27	362,811	283,225
Depositors' share of profits	28	(55,165)	(51,998)
Net income from Islamic financing contracts		307,646	231,227
Net interest and Islamic financing income		5,802,894	5,248,840
Fee and commission income		1,635,945	1,460,578
Fee and commission expense		(245,126)	(176,527)
Net fee and commission income	29	1,390,819	1,284,051
Net gain on investments	30	93,540	301,220
Net foreign exchange gain	31	522,231	273,891
Other operating income	32	71,378	70,532
		687,149	645,643
Operating income		7,880,862	7,178,534
General, administration and other operating expenses	33	(2,563,724)	(2,186,002)
Profit before net impairment charge and taxation		5,317,138	4,992,532
Net impairment charge	34	(1,498,555)	(1,206,771)
Profit before taxation		3,818,583	3,785,761
Overseas income tax expense	35	(111,036)	(102,602)
Net profit for the year		3,707,547	3,683,159
Basic earnings per share (AED)	41	1.21	1.20
Diluted earnings per share (AED)	41	1.19	1.16

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of comprehensive income
For the year ended 31 December 2011

	Note	2011 AED'000	2010 AED'000
Net profit for the year		3,707,547	3,683,159
Other comprehensive income			
Exchange difference on translation of foreign operations		(1,193)	(9,340)
Change in the fair value reserve	22	(484,408)	430,617
Directors' remuneration		(5,450)	(4,950)
Buy back of subordinated convertible notes	21	8,188	1,726
Other comprehensive (expenses) / income for the year		(482,863)	418,053
Total comprehensive income for the year		3,224,684	4,101,212

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of changes in equity
For the year ended 31 December 2011

	Share capital AED'000	Statutory reserve AED'000	Special reserve AED'000	General reserve AED'000	Government of Abu Dhabi Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Subordinated convertible notes – equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 31 December 2009	2,174,275	1,087,138	2,128,253	8,623,500	4,000,000	18,888	(845,223)	5,887	79,712	3,168,138	20,440,568
Total comprehensive income for the year	-	-	-	1,726	-	-	430,617	(9,340)	-	3,678,209	4,101,212
Buy back of subordinated convertible notes (note 21)	-	-	-	-	-	-	-	-	(4,787)	-	(4,787)
Options granted to staff (note 24)	-	-	-	-	-	33,851	-	-	-	-	33,851
Dividends paid for 2009 (note 22)	-	-	-	-	-	-	-	-	-	(217,428)	(217,428)
Bonus shares issued (note 22)	217,428	-	-	(217,428)	-	-	-	-	-	-	-
Payment on Tier 1 capital notes (note 23)	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve (note 22)	-	108,714	-	-	-	-	-	-	-	(108,714)	-
Transfer to general reserve (note 22)	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	-
Balance at 31 December 2010	**2,391,703**	**1,195,852**	**2,128,253**	**10,507,798**	**4,000,000**	**52,739**	**(414,606)**	**(3,453)**	**74,925**	**4,180,205**	**24,113,416**
Total comprehensive income for the year	-	-	-	8,188	-	-	(484,408)	(1,193)	-	3,702,097	3,224,684
Buy back of subordinated convertible notes (note 21)	-	-	-	-	-	-	-	-	(14,862)	-	(14,862)
Options granted to staff (note 24)	-	-	-	-	-	23,758	-	-	-	-	23,758
Dividends paid for 2010 (note 22)	-	-	-	-	-	-	-	-	-	(717,511)	(717,511)
Bonus shares issued (note 22)	478,340	-	-	(478,340)	-	-	-	-	-	-	-
Payment on Tier 1 capital notes (note 23)	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve (note 22)	-	239,169	-	-	-	-	-	-	-	(239,169)	-
Transfer to general reserve (note 21, 22)	-	-	-	2,332,424	-	-	-	-	(32,424)	(2,300,000)	-
Balance at 31 December 2011	**2,870,043**	**1,435,021**	**2,128,253**	**12,370,070**	**4,000,000**	**76,497**	**(899,014)**	**(4,646)**	**27,639**	**4,385,622**	**26,389,485**

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Consolidated statement of cash flows
For the year ended 31 December 2011

	Note	2011 AED'000	2010 AED'000
Cash flows from operating activities			
Profit before taxation		3,818,583	3,785,761
Adjustments for:			
Depreciation	14	157,277	121,144
Accreted interest		51,022	11,130
Profit on buyback of subordinated debt	21	(33,090)	(26,669)
Write-offs and impairment charge	34	1,897,920	1,457,453
Foreign currency translation adjustment		(34,209)	(101,560)
Share option scheme		23,758	33,851
Write back of provisions for loans and advances	34	(268,939)	(199,405)
		5,612,322	5,081,705
Change in investments at fair value through profit or loss		(317,919)	(214,758)
Change in due from central banks, banks and financial institutions		2,572,179	(2,257,640)
Change in reverse repurchase agreements		(5,526,563)	(10,341,382)
Change in loans and advances		(24,144,997)	(5,701,673)
Change in other assets		(3,942,114)	(1,063,769)
Change in due to banks and financial institutions		8,244,255	774,683
Change in repurchase agreements		970,830	(27,393)
Change in customers' deposits		28,686,298	7,530,347
Change in other liabilities		4,001,875	1,698,038
		16,156,166	(4,521,842)
Overseas income tax paid, net of recoveries		(101,232)	(96,783)
Net cash from / (used in) operating activities		16,054,934	(4,618,625)
Cash flows from investing activities			
Purchase of non-trading investments		(11,881,095)	(9,489,972)
Proceeds from sale/maturity of non-trading investments		6,207,254	7,475,152
Purchase of premises and equipment, net of disposals		(321,858)	(360,852)
Net cash used in investing activities		(5,995,699)	(2,375,672)
Cash flows from financing activities			
Net movement of Euro commercial paper	17	(35,053)	(140,168)
Issue of medium term borrowings		537,662	5,128,037
Repayment of medium term borrowings		–	(4,022,274)
Buy back of subordinated notes		(591,335)	(154,478)
Dividends paid	22	(717,511)	(217,428)
Payment on Tier I capital notes	23	(240,000)	(240,000)
Net cash (used in) / from financing activities		(1,046,237)	353,689
Net increase / (decrease) in cash and cash equivalents		9,012,998	(6,640,608)
Cash and cash equivalents at 1 January		20,976,579	27,617,187
Cash and cash equivalents at 31 December	36	29,989,577	20,976,579

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 40.

Notes to the consolidated financial statements

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies.

Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates. The consolidated financial statements as at and for the year ended 31 December 2011 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, Jordan, Malaysia and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The consolidated financial statements were authorised for issue by the Board of Directors on 31 January 2012.

2 Basis of preparation

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRSs) and the requirements of UAE Federal Law No. 8 of 1984 (as amended).

(b) Basis of measurement

The consolidated financial statements are prepared under the historical cost basis except for the following:

- derivative financial instruments are measured at fair value;
- investments at fair value through profit or loss are measured at fair value;
- non-trading investments classified as available for sale are measured at fair value;
- the carrying values of recognised assets and liabilities that are hedged items in fair value and cash flow hedges, and are otherwise carried at amortised cost, are adjusted to record changes in fair values attributable to risks that are being hedged; and
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the consolidated financial statements are described in note 5.

(e) Changes in accounting policies

IAS 24 – "Related party disclosures" (revised 2009) supersedes the IAS 24, "Related party disclosures" issued in 2003. The revised standard is effective for periods beginning on or after 1 January 2011 and has been applied by the Group in the Group's consolidated financial statements.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries

Subsidiaries are entities controlled by the Group. Control exists when the Group has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

The consolidated financial statements of the Group comprise the Bank and its subsidiaries as listed below:

Abu Dhabi International Bank Inc.
Curacao, Netherlands Antilles

Abu Dhabi Financial Services LLC
Abu Dhabi, United Arab Emirates

Abu Dhabi National Leasing LLC
Abu Dhabi, United Arab Emirates

Abu Dhabi National Properties PrJC
Abu Dhabi, United Arab Emirates

NBAD Trust Company (Jersey) Limited
Jersey, Channel Islands

NBAD Private Bank (Suisse) SA
Geneva, Switzerland

Abu Dhabi National Islamic Finance Company
Abu Dhabi, United Arab Emirates

Ample China Holding Limited
Hong Kong, China

Abu Dhabi Brokerage Egypt
Egypt

(ii) Special purpose entities

Special purpose entities are entities that are created to accomplish a narrow and well defined objective. The financial statements of special purpose entities are not included in the Group's consolidated financial statements except when the substance of the relationship is that the Group controls the special purpose entity. Information about the Group's special purpose entities is set out in note 43.

(iii) Fund management

The Group manages and administers assets held in trust or in fiduciary capacity on behalf of investors. The financial statements of these funds are not included in these consolidated financial statements except when the Group controls the entity. Information about the Group's fund management and fiduciary activity is set out in note 42.

(iv) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses arising from intra-group transactions are eliminated on consolidation.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, customers' deposits, medium term and subordinated debt on the date that they are originated. All other financial assets and liabilities are initially recognised on the statement of financial position when, the Group becomes a party to the contractual provisions of the instrument.

All regular way purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. Regular way purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position.
Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions (note 16).

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible (note 4).

(iii) Designation at fair value through profit or loss

The Group has designated financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

(iv) Held for trading

Trading assets are those assets that the group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking.

Trading assets are initially recognised and subsequently measured at fair value in the consolidated statement of financial position with transaction costs taken directly to the consolidated income statement. All changes in fair value are recognised as part of net trading income in the consolidated income statement. Trading assets are not reclassified subsequent to their initial recognition.

(v) Designation as available for sale and held-to-maturity

The Group has non-derivative financial assets designated as available for sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity, and which are not designated as at fair value through profit or loss, available for sale or those meet the definition of loans and advances.

(vi) Offsetting

Financial assets and liabilities are set off and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(vii) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

(viii) Fair value measurement

The determination of fair values of financial assets and liabilities is based on quoted market prices or dealer quotations for financial instruments traded in active markets. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. Quoted bid prices are used for financial assets and quoted ask prices are used for financial liabilities.

For financial instruments not traded on an active market, fair value is determined based on recent transactions, brokers' quotes or a widely recognised valuation technique.

Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and option pricing models. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e., the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e., without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets.

(ix) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets (including equity securities) are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both specific and collective level. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

In assessing collective impairment the Group uses statistical modelling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between

the carrying amount of the financial asset and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated income statement and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated income statement.

Impairment losses on available for sale investment securities are recognised by transferring the difference between the amortised acquisition cost and current fair value out of other comprehensive income to the consolidated income statement. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated income statement.

Impairment losses on an unquoted equity instrument that is carried at cost because its fair value cannot be reliably measured, is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the consolidated statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition. These are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. All related realised and unrealised gains or losses are included in net investment income.

(e) Due from banks

These are stated at amortised cost, less any allowance for impairment.

(f) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.
These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest method, adjusted for effective fair value hedges, net of interest suspended and provisions for impairment.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances. In determining of whether an arrangement is a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the assets.

(g)Islamic financing and investing contracts

(i) Definitions

Ijara
Ijara consists of Ijara muntahia bitamleek.

Ijara muntahia bitamleek is an agreement whereby the Group (the lessor) conveys to the customer (the lessee), in return for a specific rent, the right to use a specific asset for a specific period of time, against payment of fixed periodical and variable rental. Under this agreement, the Group purchases or constructs the asset and rents it to the customer. The contract specifies the leasing party and the amount and timing of rental payments and responsibilities of both parties during the term of the lease. The customer provides the Group with an undertaking to settle the rental amount as per the agreed schedule.

The Group retains the ownership of the assets throughout the entire lease term. At the end of the lease term, the Group sells the leased asset to the customer at a nominal value based on a sale undertaking by the Group.

Murabaha
An agreement whereby the Group sells to a customer a commodity, which the Group has purchased and acquired, based on promise received from the customer to buy the item purchased according to specific terms and conditions. The selling price comprises the cost of the commodity and an agreed profit margin.

Mudaraba
A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any generated profits are distributed between the parties according to the profit shares that were pre-agreed upon in the contract. The

Mudarib is responsible for all losses caused by his misconduct, negligence or violation of the terms and conditions of the Mudaraba; otherwise, losses are borne by Rab Al Mal.

Wakala
An agreement whereby the Group provides a certain sum of money to an agent (Wakkil) who invests it in Sharia's compliant transactions according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested).

(ii) Revenue recognition

Ijara
Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha
Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba
Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated income statement on their declaration by the Mudarib.

Wakala
Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(h) Non-trading investments

Included in non-trading investments are available for sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are remeasured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated income statement for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated income statement to the extent of the changes in fair value being hedged.

For the purpose of recognising foreign exchange gains and losses, an available for sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated income statement.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon subsequent derecognition, the profit or loss on sale is recognised in the consolidated income statement for the year.

Included in non-trading investments are held-to-maturity assets which are carried at amortised cost less impairment.

(i) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resale at a specified future date (reverse repos) are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated income statement using the effective interest method.

(j) Property and equipment

(i) Recognition and measurement
All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost, and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated income statement.

(ii) Depreciation
Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	4 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(k) Collateral pending sale

Non-financial assets acquired in settlement of loans and advances are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated income statement. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated income statement. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(l) Due to banks, customers' deposits, Euro commercial paper and medium-term borrowings

Due to banks, customer deposits, Euro commercial paper and medium-term borrowings are initially recognised at their fair value plus transaction costs and subsequently measured at their amortised cost using the effective interest method.

(m) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated income statement using the effective interest method.

(n) Subordinated notes

Subordinated notes include subordinated convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the subordinated convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Subsequent to initial recognition subordinated notes are measured at their amortised cost using the effective interest method.

(o) Share option scheme

On the grant date fair value of options granted to staff is recognised as staff cost, with a corresponding increase in equity, over the period in which the staff become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date.

The fair value of the amount payable to staff in respect of the share appreciation rights that are settled in cash is recognised as an expense with a corresponding increase in liabilities, over the period in which the employees become unconditionally entitled to payment. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in consolidated income statement.

(p) Interest

Interest income and expense are recognised in the consolidated income statement using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash flows through the expected life of the financial asset or liability to the carrying amount of the financial asset or liability.

The calculation of the effective interest rate includes all fees paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the

acquisition or issue of a financial asset or liability. Interest income and expense presented in the consolidated income statement include:

- interest on financial assets and liabilities at amortised cost on an effective interest basis.
- interest on available-for-sale investment securities on an effective interest basis.
- interest on held for trading securities on an effective interest basis.

(q) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated income statement. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided (for example, loan processing fees, investment management fees and loan syndication fees); and
- income earned on the execution of a significant act is recognised as revenue when the act is completed (for example, commission on the allotment of shares to a client, placement fees for arranging a loan between the borrower and an investor).
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income";

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(r) Net investment income

Net investment income comprise gains less losses relating to realised and unrealised gains and losses on investments at fair value through profit or loss, realised gains and losses on non-trading investments and dividend income. Dividend income is recognised when the right to receive payment is established.

(s) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in consolidated income statement.

(ii) Foreign operations

The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate, at the dates of transactions. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

(t) Overseas income tax

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated income statement. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the liability method on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

(u) Zakat

Zakat represents business zakat payable by the Group to comply with the principles of Sharia'a and approved by the Sharia'a Supervisory Board.

The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

(v) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

Derivatives with positive fair values (unrealised gains) are included in other assets and derivatives with negative fair values (unrealised losses) are included in other liabilities.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated income statement. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided certain criteria are met.

Embedded derivatives
Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when the host contract is not itself carried at fair value through profit or loss, the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract, and the economic characteristic and risks of the embedded derivative are not closely related to the economic characteristics and risk of the host contract. Separated embedded derivatives are accounted for depending on their classification, and are presented separately from host contract in the consolidated statement of financial position.

Hedge accounting
It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an ongoing basis, of the effectiveness of the hedge.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an ongoing basis, as to whether the hedging instrument(s) is (are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80-125 percent. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecast transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedge
In relation to fair value hedges, any gain or loss from remeasuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated income statement.

Cash flow hedge
In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement. Gain or loss, if any, relating to the ineffective portion is recognised immediately in the consolidated income statement. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated income statement.

Other derivatives
All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated income statement as a component of net investment income or net foreign exchange gain.

(w) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(x) Staff terminal benefits

UAE operations: UAE nationals employed by the Group are registered in the scheme managed by Abu Dhabi Retirement Pensions & Benefits Fund in accordance with Law number (2) of 2000.

Staff terminal benefits for expatriate employees are accounted for on the basis of their accumulated services at the reporting date and in accordance with the Group's internal regulations, which comply with the UAE federal labour law.

Foreign operations: the Group provides for staff terminal benefits for its employees based overseas in accordance with the applicable regulations in those jurisdictions.

(y) Directors' remuneration

In accordance with the Ministry of Economy and Commerce interpretation of Article 119 of Federal Law No. 8 of 1984 (as amended), Directors' remuneration has been treated as an component of other comprehensive income.

(z) Fiduciary activities

Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and, accordingly, are not included in these consolidated financial statements.

(aa) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Financial guarantee contracts in the nature of credit default guarantees are treated as insurance contracts and accounted under IFRS 4.

For other financial guarantee contracts, financial guarantees are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee.

The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ab) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise subordinated convertible notes and share options granted to staff.

(ac) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Head office segment is comprised of head office as well as aggregated individually insignificant segments.

(ad) Lease payments

Payments made under operating leases are recognised in the consolidated income statement on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(ae) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2011, and have not been applied in preparing these consolidated financial statements:

IAS -1 (Amendments to IAS 1) Presentation of Items of Other Comprehensive Income: the amendments change the grouping of items presented in other comprehensive income Effective 1 July 2012

IFRS - 7 (Amendments to IFRS 7) - Disclosures - Transfers of Financial Assets the amendment introduces disclosure requirement for financial assets and liabilities that are offset in statement of financial position or are subject to master netting arrangement or similar arrangements. Effective 1 January 2013;

IAS -12 (Amendments to IAS 12) - Deferred Tax: Recovery of Underlying Assets: Effective 1 January 2012;

IFRS -10 Consolidated Financial Statements: Replaces the part of IAS 27 Consolidated and separate financial statements and SIC 12 Consolidation - Special purpose entities. IFRS 10 establishes principles for the presentation and preparation of consolidated financial

statements when an entity controls one or more other entities. Effective 1 January 2013;

IFRS -11 Joint Arrangements: Standard on Joint Arrangements provides for a more realistic reflection of joint arrangements by focusing on the rights and obligations of the arrangement, rather than its legal form (as is currently the case).

The standard addresses inconsistencies in the reporting of joint arrangements by requiring a single method to account for interests in jointly controlled entities Effective 1 January 2013

IFRS -12 Disclosure of Interests in Other Entities: Standard on disclosure requirements for all forms of interests in other entities, including subsidiaries, joint arrangements, associates and unconsolidated structured entities Effective 1 January 2013

IFRS -13 Fair Value Measurement: Seeks to increase consistency and comparability in fair value measurements and related disclosures across IFRSs Effective 1 January 2013;

IFRS -9 Financial Instruments: In November 2009 the IASB's issued IFRS 9 as a comprehensive project to replace IAS 39, deals with classification and measurement of financial assets. The requirements of this standard represent a significant change from the existing requirements in IAS 39 in respect of financial assets.

The standard contains two primary measurement categories for financial assets: amortised cost and fair value. The standard eliminates the existing IAS 39 categories of held to maturity, available for sale and loans and receivable.

Gains and losses on remeasurement of financial assets measured at fair value will be recognized in profit or loss, except that for an investment in an equity instrument which is not held-for-trading, IFRS 9 (2010) added guidance to IFRS 9 (2009) on the classification and measurement of financial liabilities, and this guidance is consistent with the guidance in IAS 39 with few exceptions.

IFRS 9 (2010) also added the requirements of IAS 39 for the derecognition of financial assets and liabilities to IFRS 9 without change.

The IASB has deferred the mandatory effective date of the existing chapters of IFRS 9 Financial Instruments (2009) and IFRS 9 (2010) to annual periods beginning on or after January 1, 2015. The early adoption of either standard continues to be permitted.

Given the nature of the Groups operations, this standard is expected to have a pervasive impact on the Group's consolidated financial statement.

4 Financial risk management

(a) Introduction and overview

The Group has exposure to the following risks from financial instruments:

- credit risk
- liquidity risk
- market risk
- operational risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and three management committees (Assets and Liabilities Committee, Group Credit Committee and Operational Risk Management Committee).

(b) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading investments and certain other assets.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each exposure in the Sovereign, Banks and Corporate asset classes is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Other Loans Especially Mentioned (OLEM) and Grades 9 -11 are non – performing each with a rating description.

In addition, the Group manages the credit exposure by obtaining security where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Credit risk arising from other financial instruments are managed by assigning limits, diversification of investment activities, limiting concentration of exposure to industry sectors, geographical locations and counterparties

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

	Due from Banks and financial institutions		Loans and advances		Non-trading investments	
	2011 AED'000	2010 AED'000	2011 AED'000	2010 AED'000	2011 AED'000	2010 AED'000
Individually impaired						
Substandard	-	-	2,292,175	2,054,985	-	-
Doubtful	979	979	1,823,454	558,651	20,055	20,055
Loss	-	-	1,225,818	994,079	-	-
Gross amount	979	979	5,341,447	3,607,715	20,055	20,055
Interest suspended	-	-	(502,139)	(358,624)	-	-
Specific allowance for impairment	(979)	(979)	(2,480,109)	(1,771,860)	(16,712)	(16,712)
Carrying amount	-	-	2,359,199	1,477,231	3,343	3,343
Past due but not impaired						
Past due comprises:						
Less than 30 days	-	-	430,912	202,089	-	-
31 – 60 days	-	-	74,894	45,979	-	-
61 – 90 days	-	-	77,998	443,935	-	-
More than 90 days	-	-	1,774,272	2,472,830	-	-
Carrying amount	-	-	2,358,076	3,164,833	-	-
Neither past due nor Impaired	15,166,763	14,764,757	157,125,500	134,083,653	26,565,997	21,392,662
Collective allowance for impairment	-	-	(2,320,597)	(1,892,221)	-	-
Carrying amount	15,166,763	14,764,757	159,522,178	136,833,496	26,569,340	21,396,005

Non trading investment includes investment in equity instruments amounting to AED 97 million (2010: AED 69 million) which does not carry credit risk.

Impaired loans and advances and non-trading investments
Impaired loans and advances and non-trading investments are financial assets for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements. The Group financial assets that are neither past due nor impaired fall within the grade 1 – 7 in accordance with the Group's internal credit risk grading system.

Past due but not impaired
Past due but not impaired are accounts where either contractual principal or interest are past due or when the accounts show some potential weakness in the borrower's financial position and creditworthiness, and requires more than normal attention.

Such potential weakness is specifically monitored to ensure that the quality of the asset does not deteriorate in the near future affecting negatively the Group's credit position. On this class of asset the Group believes that specific impairment is not appropriate at the current condition, but interest is suspended in certain cases.

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to either deterioration in the borrower's financial position and where the Group has made concessions that it would not otherwise consider or the loans are performing but the terms have been amended. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from either the date of signing of the agreement for restructuring or the date on which the revised terms were first adhered to by the borrower, whichever comes earlier. In the last twelve months, the Group has renegotiated the following exposures:

	2011 AED'000	2010 AED'000
Renegotiated loans	3,159,123	2,734,460

Accounts with re-negotiated terms amounting to AED 50,655 thousand (2010: AED 604,444 thousand) are included in past due but not impaired.

Movement of renegotiated loans during the year

	2011 AED'000	2010 AED'000
Balance at the beginning of the year	2,734,460	3,183,155
Upgraded to neither past due nor impaired during the year	(1,620,838)	(2,386,863)
Downgraded to individually impaired or past due but not impaired during the year	(508,191)	(772,651)
Additions during the year	2,553,692	2,710,819
Balance at the end of the year	3,159,123	2,734,460

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance for losses that have been incurred but not identified, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy

The Group writes off a loan or investment balance (and any related allowances for impairment losses) when the Risk Management Committee determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

Collateral

The Group holds collateral against loans and advances and reverse repurchase agreement in the form of mortgage interests over property, other securities, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. Collateral generally is not held against due from banks, and no such collateral was held at 31 December 2011 or 2010.

An estimate of the collateral coverage against non performing loans and advances (including Islamic financing) is shown below:

	2011 AED'000	2010 AED'000
Collateral value cover		
0 – 50%	2,961,173	2,495,414
50 – 100%	1,358,079	804,340
Above 100%	1,022,195	307,961
Total Gross non performing Loans	5,341,447	3,607,715

During the year 2011 and 2010, the Group repossessed a negligible amount of collateral that was held as security against loans and advances.

Concentrations of risk

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

	Loans and advances		Others	
	2011 AED'000	2010 AED'000	2011 AED'000	2010 AED'000
Concentration by industry sector:				
Agriculture	50,082	103,532	–	-
Energy	30,557,399	25,043,930	3,105,361	2,415,564
Manufacturing	9,152,371	6,583,978	–	13,666
Construction	5,237,302	6,631,172	1,201	110,711
Real estate	27,228,389	23,970,794	824,632	812,764
Trading	4,018,428	3,617,829	59,457	55,430
Transport	6,215,941	5,929,186	153,727	394,472
Banks	16,052,536	4,236,794	21,456,968	19,637,077
Other financial institutions	7,338,342	6,942,760	11,554,296	3,677,504
Services	14,356,321	13,869,731	628,408	919,279
Government	17,293,055	16,949,791	6,810,035	5,539,023
Personal loans for consumption	17,591,302	18,065,721	–	-
Personal loans others	9,252,772	8,489,823	11,020	11,020
Others	480,783	421,160	–	778
	164,825,023	140,856,201	44,605,105	33,587,288
Less: allowance for impairment	(4,800,706)	(3,664,081)	–	-
Less: interest suspended	(502,139)	(358,624)	–	-
Carrying amount	159,522,178	136,833,496	44,605,105	33,587,288

Others comprises of Investments at fair value through profit or loss account, reverse repurchase agreements and non trading investments.

	Investments at fair value through profit or loss		Non-trading investments	
	2011 AED'000	2010 AED'000	2011 AED'000	2010 AED'000
Concentration by counter party:				
Government	248,497	292,898	6,561,538	5,245,962
Supranational	–	-	9,586	36,768
Public sector	298,074	249,660	5,214,065	3,390,161
Banks and financial institutions	407,581	200,584	13,884,779	11,465,305
Corporate sector	656,593	549,684	916,084	1,274,521
	1,610,745	1,292,826	26,586,052	21,412,717
Less: Allowance for impairment	-	-	(16,712)	(16,712)
Total carrying amount	1,610,745	1,292,826	26,569,340	21,396,005

The concentration by counter party for loans and advances is disclosed in note 11.

Concentration by location:

	Due from banks and financial institutions AED'000	Loans and advances AED'000	Reverse repurchase agreements AED'000	Non-trading investments AED'000
As at 31 Dec 2011				
UAE	5,201,923	116,431,965	2,187,054	12,113,857
Europe	3,853,883	19,974,368	8,574,123	7,185,706
Arab countries	3,557,193	13,260,380	5,480,193	5,377,449
America	2,190,238	1,760,516	183,650	731,943
Asia	352,876	7,241,746	-	-
Others	10,650	853,203	-	1,160,385
	15,166,763	**159,522,178**	**16,425,020**	**26,569,340**
As at 31 Dec 2010				
UAE	4,148,392	106,478,359	11,024	10,372,416
Europe	5,941,773	15,005,846	6,833,156	5,212,152
Arab countries	3,014,020	12,899,501	3,727,979	3,610,728
America	1,009,253	674,829	326,298	816,306
Asia	632,079	1,195,792	-	-
Others	19,240	579,169	-	1,384,403
	14,764,757	**136,833,496**	**10,898,457**	**21,396,005**

Concentration by location for loans and advances, due from banks and financial institutions is measured based on the residential status of the borrower. Concentration by location for non-trading investments and reverse repurchase agreements is measured based on the location of the issuer of the security.

Classification of trading securities and investment securities as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2011 AED'000	2010 AED'000	2011 AED'000	2010 AED'000
AAA	198,413	1,407,098	-	-
AA to A	21,046,024	15,154,105	877,368	550,900
BBB to B	2,824,272	2,349,245	92,506	203,279
Lower than B	29,397	-	-	-
Unrated	2,471,234	2,485,557	640,871	538,647
	26,569,340	21,396,005	1,610,745	1,292,826

Unrated investments primarily consist of investments in Government related entities and investments in equities and funds.

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counter party to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group, which are included in other assets. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other bank and financial institutions.

Commitments and contingencies related credit risk

Credit risk arising from commitments and contingencies is discussed in note 37.

(c) Liquidity risk

Liquidity or funding risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk can be caused by market disruptions or credit downgrades which may cause certain sources of funding to dry up immediately.

Management of liquidity risk

The Group's approach to managing liquidity risk is to ensure that, management has diversified funding sources and closely monitors liquidity to ensure adequate funding. The Group maintains a portfolio of short-term liquid assets, largely made up of short-term liquid trading investments, and inter-bank placements. All liquidity policies and procedures are subject to review and approval by ALCO.

The key measure used by the Group for measuring liquidity risk is the ratio of net assets, i.e., total assets by maturity against total liabilities by maturity.

Exposure to liquidity risk

Details of the Group's net liquid assets is summarised in the table below by the maturity profile of the Group's assets and liabilities based on the contractual repayment arrangements and does not take account of the effective maturities as indicated by the Group's deposit retention history. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the reporting date to the contractual maturity date. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

The maturity profile of the assets and liabilities at 31 December 2011 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**24,468,641**	20,424,736	4,026,367	-	-	17,538	-
Investments at fair value through profit or loss	**1,610,745**	1,610,745	-	-	-	-	-
Due from banks and financial institutions	**15,166,763**	12,024,938	3,050,000	91,825	-	-	-
Reverse repurchase agreements	**16,425,020**	13,956,944	1,123,183	1,344,893	-	-	-
Loans and advances	**159,522,178**	29,337,267	22,762,261	34,344,119	16,953,842	56,124,689	-
Non-trading investments	**26,569,340**	2,773,635	2,247,170	5,413,694	2,737,498	13,397,343	-
Other assets	**9,689,058**	8,024,985	1,110,655	172,308	224,054	157,056	-
Property and equipment	**2,215,760**	-	-	-	-	-	2,215,760
	255,667,505	**88,153,250**	**34,319,636**	**41,366,839**	**19,915,394**	**69,696,626**	**2,215,760**
Liabilities and equity							
Due to banks and financial institutions	**39,795,601**	37,025,180	2,678,596	91,825	-	-	-
Repurchase agreements	**3,513,726**	3,513,726	-	-	-	-	-
Euro commercial paper	**-**	-	-	-	-	-	-
Customers' deposits	**151,816,887**	133,965,879	13,032,057	4,609,798	52,414	156,739	-
Medium-term borrowings	**15,148,516**	2,010,311	1,535,793	6,432,823	3,466,416	1,703,173	-
Other liabilities	**11,013,236**	8,798,754	1,683,787	165,233	214,855	150,607	-
Subordinated notes	**7,990,054**	-	-	-	1,040,631	6,949,423	-
Equity	**26,389,485**	-	-	-	-	-	26,389,485
	255,667,505	**185,313,850**	**18,930,233**	**11,299,679**	**4,774,316**	**8,959,942**	**26,389,485**
Undrawn commitments to extend credit	**20,873,395**	1,930,648	1,947,945	2,830,702	1,533,254	12,630,846	-
Financial guarantees	**11,564,783**	2,036,563	820,569	2,752,441	5,950,260	4,950	-

The maturity profile of the assets and liabilities at 31 December 2010 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**18,429,827**	11,309,721	7,029,532	57,539	-	33,035	-
Investments at fair value through profit or loss	**1,292,826**	1,292,826	-	-	-	-	-
Due from banks and financial institutions	**14,764,757**	12,123,601	2,636,611	4,545	-	-	-
Reverse repurchase agreements	**10,898,457**	10,486,628	411,829	-	-	-	-
Loans and advances	**136,833,496**	29,141,848	12,164,823	26,579,103	18,531,968	50,415,754	-
Non-trading investments	**21,396,005**	1,254,594	2,177,423	2,323,627	5,062,410	10,577,951	-
Other assets	**5,601,350**	4,177,268	1,002,320	113,809	171,115	136,838	-
Property and equipment	**2,210,552**	-	-	-	-	-	2,210,552
	211,427,270	**69,786,486**	**25,422,538**	**29,078,623**	**23,765,493**	**61,163,578**	**2,210,552**
Liabilities and equity							
Due to banks and financial institutions	**31,551,346**	28,870,318	2,589,203	91,825	-	-	-
Repurchase agreements	**2,542,896**	2,542,896	-	-	-	-	-
Euro commercial paper	**35,053**	-	35,053	-	-	-	-
Customers' deposits	**123,130,589**	103,099,653	14,444,607	3,074,843	2,479,214	32,272	-
Medium-term borrowings	**14,458,665**	-	-	6,463,841	6,939,162	1,055,662	-
Other liabilities	**7,283,019**	5,567,513	1,348,078	92,966	139,777	134,685	-
Subordinated notes	**8,312,286**	-	-	-	-	8,312,286	-
Equity	**24,113,416**	-	-	-	-	-	24,113,416
	211,427,270	**140,080,380**	**18,416,941**	**9,723,475**	**9,558,153**	**9,534,905**	**24,113,416**
Undrawn commitments to extend credit	**24,364,556**	2,729,890	2,466,361	7,040,426	543,594	11,584,285	-
Financial guarantees	**10,066,405**	615,232	2,857,006	3,103,250	899,885	2,591,032	-

(d) Market risk

Market risk is the risk that the Group's income and / or value of a financial instrument will fluctuate because of changes in market prices such as interest rates, foreign exchange rates and market prices of equity and commodity price.

Management of market risk
The Risk Management Committee has set risk limits based on sensitivity analysis and notional limits which are closely monitored by the Risk Management Division and reported regularly to Senior Management and discussed monthly by the Assets and Liabilities Committee.

The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis.

Interest rate risk
Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 38.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

The effective interest rate of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is an original effective interest rate for a fixed rate instrument carried at amortised cost and a current market rate for a floating instrument or an instrument carried at fair value.

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2011 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**24,468,641**	18,928,096	4,026,367	-	-	4,770	1,509,408
Investments at fair value through profit or loss	**1,610,745**	39,276	250,296	290,552	115,779	316,056	598,786
Due from banks and financial institutions	**15,166,763**	14,371,954	150,000	91,825	-	-	552,984
Reverse repurchase agreements	**16,425,020**	13,956,943	1,123,184	1,344,893	-	-	-
Loans and advances	**159,522,178**	134,372,583	21,817,149	1,981,243	183,904	755,428	411,871
Non-trading investments	**26,569,340**	8,164,665	2,925,075	3,946,774	2,097,248	9,328,190	107,388
Other assets	**9,689,058**	-	-	-	-	-	9,689,058
Property and equipment	**2,215,760**	-	-	-	-	-	2,215,760
	255,667,505	**189,833,517**	**30,292,071**	**7,655,287**	**2,396,931**	**10,404,444**	**15,085,255**
Liabilities and equity							
Due to banks and financial institutions	**39,795,601**	34,075,491	2,678,596	-	-	-	3,041,514
Repurchase agreements	**3,513,726**	3,513,726	-	-	-	-	-
Euro commercial paper	**-**	-	-	-	-	-	-
Customers' deposits	**151,816,887**	92,076,934	11,089,841	3,457,066	52,414	153,838	44,986,794
Medium-term borrowings	**15,148,516**	6,300,854	-	3,678,073	3,466,416	1,703,173	-
Other liabilities	**11,013,236**	-	-	-	-	-	11,013,236
Subordinated notes	**7,990,054**	2,077,407	-	-	-	5,912,647	-
Equity	**26,389,485**	-	-	-	-	-	26,389,485
	255,667,505	**138,044,412**	**13,768,437**	**7,135,139**	**3,518,830**	**7,769,658**	**85,431,029**
On statement of financial position gap		51,789,105	16,523,634	520,148	(1,121,899)	2,634,786	(70,345,774)
Off statement of financial position gap		(7,535,883)	2,783,095	(687,595)	7,993,211	(2,552,828)	-
Total interest rate sensitivity gap		**44,253,222**	**19,306,729**	**(167,447)**	**6,871,312**	**81,958**	**(70,345,774)**
Cumulative interest rate sensitivity		**44,253,222**	**63,559,951**	**63,392,504**	**70,263,816**	**70,345,774**	**-**

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2010 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**18,429,827**	5,298,703	7,112,801	57,368	-	5,689	5,955,266
Investments at fair value through profit or loss	**1,292,826**	45,404	68,752	209,840	273,278	217,864	477,688
Due from banks and financial institutions	**14,764,757**	10,487,196	2,636,611	4,545	-	-	1,636,405
Reverse repurchase agreements	**10,898,457**	10,443,480	411,829	-	-	-	43,148
Loans and advances	**136,833,496**	59,782,435	71,424,301	2,002,363	1,098,242	2,380,363	145,792
Non-trading investments	**21,396,005**	7,645,966	3,030,580	985,347	4,511,951	5,118,310	103,851
Other assets	**5,601,350**	-	-	-	-	-	5,601,350
Property and equipment	**2,210,552**	-	-	-	-	-	2,210,552
	211,427,270	**93,703,184**	**84,684,874**	**3,259,463**	**5,883,471**	**7,722,226**	**16,174,052**
Liabilities and equity							
Due to banks and financial institutions	**31,551,346**	26,687,290	3,015,743	-	-	-	1,848,313
Repurchase agreements	**2,542,896**	2,542,896	-	-	-	-	-
Euro commercial paper	**35,053**	-	35,053	-	-	-	-
Customers' deposits	**123,130,589**	82,248,622	14,024,404	2,931,458	1,998,063	28,491	21,899,551
Medium-term borrowings	**14,458,665**	4,295,433	-	2,168,408	6,939,162	1,055,662	-
Other liabilities	**7,283,019**	-	-	-	-	-	7,283,019
Subordinated notes	**8,312,286**	2,685,378	-	-	-	5,626,908	-
Equity	**24,113,416**	-	-	-	-	-	24,113,416
	211,427,270	**118,459,619**	**17,075,200**	**5,099,866**	**8,937,225**	**6,711,061**	**55,144,299**
On statement of financial position gap		(24,756,435)	67,609,674	(1,840,403)	(3,053,754)	1,011,165	(38,970,247)
Off statement of financial position gap		(8,871,682)	(1,800,690)	4,356,310	5,308,882	1,007,180	-
Total interest rate sensitivity gap		**(33,628,117)**	**65,808,984**	**2,515,907**	**2,255,128**	**2,018,345**	**(38,970,247)**
Cumulative interest rate sensitivity		**(33,628,117)**	**32,180,867**	**34,696,774**	**36,951,902**	**38,970,247**	**-**

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points (2010: 50 basis points) and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year AED'000 2011	Equity AED'000 2011	Net profit for the year AED'000 2010	Equity AED'000 2010
Fluctuation in yield	229,808	398,733	(26,362)	117,480

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 240,582 million (2010: AED 195,253 million) interest bearing assets and AED 170,236 million (2010: AED 156,283 million) interest bearing liabilities. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long AED'000	Forward position (short)/long AED'000	Total 2011 (short)/long AED'000	Total 2010 (short)/long AED'000
Currency				
US Dollar	8,108,374	(6,364,130)	1,744,244	(5,658,953)
UK Sterling Pound	(3,046,049)	3,083,595	37,546	(6,321)
Euro	5,288,216	(5,332,372)	(44,156)	3,146
Kuwaiti Dinar	213,159	(173,597)	39,562	57
Omani Riyal	401,058	(668,847)	(267,789)	3,689
Saudi Riyal	(2,557,820)	2,049,565	(508,255)	(22,820)
Japanese Yen	1,502,935	(1,496,624)	6,311	210,715
Swiss Franc	252,127	(312,661)	(60,534)	(56,492)

The exchange rate of AED against US Dollar is pegged since November 1980 and the Group's exposure to currency risk is limited to that extent. Exposure to other foreign currencies is insignificant.

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(e) Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through ORMC with an established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational losses. Where appropriate, risk is mitigated by way of insurance. The framework also provides the interrelation with other risk categories.

Compliance with policies and procedures is supported by periodic reviews undertaken by the Compliance Division. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

(f) Capital management

The Group's lead regulator, the Central Bank of the UAE, sets and monitors regulatory capital requirements. The overseas branches and subsidiaries are directly supervised by their local regulators.

The Group's objectives when managing capital are:

- safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- comply with regulatory capital requirements set by the Central Bank of the UAE and the respective regulators where the overseas units operate.

During 2011, the Group's strategy, which was unchanged from 2010, was to:

- maintain a cap for payment of cash dividend ratio of 40% to increase capital through retention;
- maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel accord guidelines;
- maintain the highest credit rating in the Middle East; and
- efficiently allocate capital to various businesses.

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds in sovereign bonds and short term money market placements with either the Central Bank of the UAE or above investment grade financial institutions.

In implementing current capital requirements, the Group calculates its risk asset ratio in accordance with capital adequacy guidelines established by the Central Bank of the UAE prescribing the ratio of total capital to total risk-weighted assets. Further, the Group also calculates its capital adequacy ratio in accordance with Basel II Accord which was adopted by the Central Bank of the UAE with effect from 31 December 2008.

The Group's regulatory capital adequacy ratios, set by the Central Bank of the UAE at a minimum level of 12% (2010: 12%), is analysed into two tiers as follows:

	2011 AED'000	2010 AED'000
Tier 1 capital		
Ordinary share capital	2,870,043	2,391,703
Retained earnings	4,385,622	4,180,205
Statutory and special reserve	3,563,274	3,324,105
General reserve and share option scheme	12,446,567	10,560,537
Foreign currency translation reserve	(4,646)	(3,453)
Subordinated convertible notes - equity component	27,639	74,925
Government of Abu Dhabi tier 1 capital notes	4,000,000	4,000,000
Total	27,288,499	24,528,022
Tier 2 capital		
Fair value reserve	(899,014)	(414,606)
Qualifying subordinated liabilities	7,781,927	8,312,286
Total	6,882,913	7,897,680
Deductions from Tier 1 and Tier 2		
Investments in associates	(30,962)	(3,450)
Total	(30,962)	(3,450)
Total capital base	34,140,450	32,422,252
Risk weighted assets:		
On statement of financial position	123,866,344	107,314,413
Off statement of financial position	32,516,110	33,176,711
Risk weighted assets	156,382,454	140,491,124
Risk asset ratio	21.83%	23.08%

Notes to the consolidated financial statements

The Group's capital adequacy ratio as per effective regulatory framework, Basel II, at a minimum level of 12% (2010: 12%), is analysed into two tiers as follows:

	Basel II 2011 AED'000	Basel II 2010 AED'000
Tier 1 capital		
Ordinary share capital	2,870,043	2,391,703
Retained earnings	4,385,622	4,180,205
Statutory and special reserve	3,563,274	3,324,105
General reserve and share option scheme	12,446,567	10,560,537
Foreign currency translation reserve	(4,646)	(3,453)
Subordinated convertible notes - equity component	27,639	74,925
Government of Abu Dhabi tier 1 capital notes	4,000,000	4,000,000
Total	27,288,499	24,528,022
Tier 2 capital		
Fair value reserve	(899,014)	(414,606)
Qualifying subordinated liabilities	7,781,927	8,312,286
Allowance for collective impairment	1,947,580	1,892,221
Total	8,830,493	9,789,901
Deductions from capital		
Investments in associates and others	(30,962)	(76,910)
Total capital base	36,088,030	34,241,013
Risk weighted assets:		
Credit risk	155,787,562	135,961,126
Market risk	5,582,395	3,801,669
Operational risk	13,411,531	11,799,293
Risk weighted assets	174,781,488	151,562,088
Risk asset ratio	20.65%	22.59%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, management has made the following estimates and judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and investments

Impairment losses are evaluated as described in accounting policy 3(b) (ix).

The Group evaluates impairment on loans and advances and investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated income statement. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii)Impairment charge on property and equipment

Impairment losses are evaluated as described in accounting policy 3(j) (iii).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuers companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(iv)Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(v) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held-to-maturity" or "available for sale", the Group has determined it meets the description as set out in accounting policy 3(b) (iii, iv and v) respectively.

(b) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Valuation of financial instruments

The Group's accounting policy on fair value measurements is discussed in accounting policy 3(b) (viii) and note 6.

Notes to the consolidated financial statements

6 Financial assets and liabilities

Fair value of financial instruments

All financial assets and liabilities are measured at amortised cost except for derivatives, trading and non-trading investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques such as discounted cash flow method.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable willing parties in an arm's length transaction. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1: Quoted market price (unadjusted) in active market for an identical instrument.
- Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.
- Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation.

Valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, Black-Scholes and other valuation models.

Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other inputs used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and correlations.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The fair values of due from banks and financial institutions, reverse repurchase agreement , due to banks and financial institutions, repurchase agreements and customers' deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time of collection, the net result of which is not materially different from the carrying value.

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2011:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	24,468,641	**24,468,641**
Investments at fair value through profit or loss	-	1,610,745	-	-	-	-	**1,610,745**
Due from banks and financial institutions	-	-	-	-	-	15,166,763	**15,166,763**
Reverse repurchase agreements	-	-	-	-	-	16,425,020	**16,425,020**
Loans and advances	-	-	-	-	159,522,178	-	**159,522,178**
Non-trading investments	-	-	21,357,205	5,212,135	-	-	**26,569,340**
Other assets	797,258	4,808,389	-	-	-	4,054,174	**9,659,821**
	797,258	**6,419,134**	**21,357,205**	**5,212,135**	**159,522,178**	**60,114,598**	**253,422,508**
Due to banks and financial institutions	-	-	-	-	-	39,795,601	**39,795,601**
Repurchase agreements	-	-	-	-	-	3,513,726	**3,513,726**
Euro commercial paper	-	-	-	-	-	-	-
Customers' deposits	-	-	-	-	-	151,816,887	**151,816,887**
Medium-term borrowings	-	-	-	-	-	15,148,516	**15,148,516**
Other liabilities	825,668	3,958,805	-	-	-	5,743,997	**10,528,470**
Subordinated notes	-	-	-	-	-	7,990,054	7,990,054
	825,668	**3,958,805**	**-**	**-**	**-**	**224,008,781**	**228,793,254**

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2010:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	18,429,827	**18,429,827**
Investments at fair value through profit or loss	-	1,292,826	-	-	-	-	**1,292,826**
Due from banks and financial institutions	-	-	-	-	-	14,764,757	**14,764,757**
Reverse repurchase agreements	-	-	-	-	-	10,898,457	**10,898,457**
Loans and advances	-	-	-	-	136,833,496	-	**136,833,496**
Non-trading investments	-	-	19,559,505	1,836,500	-	-	**21,396,005**
Other assets	465,480	1,901,770	-	-	-	3,205,601	**5,572,851**
	465,480	**3,194,596**	**19,559,505**	**1,836,500**	**136,833,496**	**47,298,642**	**209,188,219**
Due to banks and financial institutions	-	-	-	-	-	31,551,346	**31,551,346**
Repurchase agreements	-	-	-	-	-	2,542,896	**2,542,896**
Euro commercial paper	-	-	-	-	-	35,053	**35,053**
Customers' deposits	-	-	-	-	-	123,130,589	**123,130,589**
Medium-term borrowings	-	-	-	-	-	14,458,665	**14,458,665**
Other liabilities	403,141	1,629,548	-	-	-	4,808,193	**6,840,882**
Subordinated notes	-	-	-	-	-	8,312,286	**8,312,286**
	403,141	**1,629,548**	**-**	**-**	**-**	**184,839,028**	**186,871,717**

Fair value hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2011				
Financial assets held for trading	1,610,745	-	-	**1,610,745**
Available-for-sale financial assets	16,856,573	4,476,246	24,386	**21,357,205**
Derivative financial assets	501	5,605,146	-	**5,605,647**
Derivative financial liabilities	271	4,784,202	-	**4,784,473**
	18,468,090	**14,865,594**	**24,386**	**33,358,070**
As at 31 December 2010				
Financial assets held for trading	1,292,826	-	-	**1,292,826**
Available-for-sale financial assets	14,338,227	4,802,040	419,238	**19,559,505**
Derivative financial assets	1,699	2,365,551	-	**2,367,250**
Derivative financial liabilities	787	2,031,902	-	**2,032,689**
	15,633,539	**9,199,493**	**419,238**	**25,252,270**

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3:

	2011 AED'000	2010 AED'000
Available-for-sale financial assets		
Balance as at 1 January	**419,238**	414,571
Purchases	**-**	260,281
Settlements and transfers	**(394,852)**	(255,614)
Balance as at 31 December	**24,386**	419,238

7 Cash and balances with central banks

	2011 AED'000	2010 AED'000
Cash on hand	1,132,344	883,438
Balances with the Central Bank of the UAE		
cash reserve deposits	6,524,220	5,132,293
certificates of deposits	6,000,000	9,800,000
other deposits and balances	914,352	-
Balances with other central banks		
cash reserve deposits	1,388,580	1,514,883
other deposits and balances	8,509,145	1,099,213
	24,468,641	18,429,827

Cash reserve deposits are not available for the day to day operations of the Group.

8 Investments at fair value through profit or loss

	2011 AED'000	2010 AED'000
Trading portfolio		
Managed portfolios	570,474	375,395
Debt and equity instruments	1,040,271	917,431
	1,610,745	1,292,826

9 Due from banks and financial institutions

	2011 AED'000	2010 AED'000
Current, call and notice deposits	3,121,542	1,904,919
Margin deposits	284,228	601,366
Fixed deposits	10,370,993	11,598,472
Wakala placements	1,390,000	660,000
	15,166,763	14,764,757

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing.

The carrying amount of financial assets at the reporting date amounted to AED 16,425 million (2010: AED 10,898 million).

No allowances for impairment have been recognised against reverse repurchase agreements during the year (2010: nil).

Notes to the consolidated financial statements

11 Loans and advances

	2011 AED'000	2010 AED'000
Gross loans and advances	164,825,023	140,856,201
Less: allowance for impairment	(4,800,706)	(3,664,081)
Less: interest suspended	(502,139)	(358,624)
Net loans and advances	159,522,178	136,833,496

An analysis of gross loans and advances by counterparty at the reporting date is shown below:

	2011 AED'000	2010 AED'000
Government sector	17,293,055	16,949,791
Public sector	45,346,578	37,698,440
Banking sector	16,052,536	4,236,794
Corporate / private sector	59,288,780	55,415,632
Personal / retail sector	26,844,074	26,555,544
Gross loans and advances	164,825,023	140,856,201

The movement in the allowance for impairment during the year is shown below:

	2011 AED'000	2010 AED'000
At 1 January	3,664,081	2,657,510
Charge for the year		
Collective provision	428,376	288,133
Specific provision	1,291,038	1,071,394
Recoveries	(128,195)	(48,962)
Write-backs during the year	(268,939)	(199,405)
Amounts written off	(185,655)	(104,589)
At 31 December	4,800,706	3,664,081

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2011 AED'000	2010 AED'000
Ijara	6,804,114	6,183,730
Murabaha	611,588	517,883
Mudaraba	2,940	14,699
Others	2,533	1,106
Total Islamic financing contracts	7,421,175	6,717,418
Less: allowance for impairment	(63,290)	(62,928)
Less: suspended profit	(2,263)	(3,239)
	7,355,622	6,651,251

The movement in the allowance for impairment during the year is shown below:

	2011 AED'000	2010 AED'000
Balance as at 1 January	62,928	56,540
Charge for the year		
Collective provision	475	10,321
Specific provision	-	213
Recoveries	-	-
Write-backs during the year	(113)	-
Amounts written off and other adjustments	-	(4,146)
Balance as at 31 December	63,290	62,928

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2011 AED'000	2010 AED'000
Gross Ijara		
Less than one year	1,493,258	954,259
Between one and five years	3,796,320	3,683,588
More than five years	2,968,025	3,029,182
	8,257,603	7,667,029
Less: deferred income	(1,453,489)	(1,483,299)
Net Ijara	6,804,114	6,183,730

	2011 AED'000	2010 AED'000
Net present value of minimum lease payments		
Less than one year	1,165,508	669,700
Between one and five years	3,020,008	2,870,764
More than five years	2,618,598	2,643,266
	6,804,114	6,183,730

12 Non-trading investments

Available-for-sale investments

	2011 AED'000	2010 AED'000
Unquoted investments	41,098	435,950
Less: allowance for impairment	(16,712)	(16,712)
	24,386	419,238
Quoted investments	21,332,819	19,140,267
Total available for sale investments	21,357,205	19,559,505

Unquoted investments comprise unquoted equity securities amounting to AED 24,095 thousand (2010: AED 24,104 thousand) which are carried at cost as their fair value cannot be reliably estimated. The Group does not intend to dispose of these investments in near term.

Debt instruments under repurchase agreements included in quoted available for sale investments at 31 December 2011 amounted to AED 2,067 million (2010: AED 2,361 million) (note 16).

Held-to-maturity

	2011 AED'000	2010 AED'000
Debt securities	5,212,135	1,836,500
Total non-trading investments	26,569,340	21,396,005

During the year the Group reclassified Debt securities amounting to AED 266,692 thousand (2010: AED nil) from available from sale investments to held to maturity as a result of such reclassification there is no impact in the profit and loss account or fair value reserve.

13 Other assets

	2011 AED'000	2010 AED'000
Interest receivable	1,846,396	1,210,740
Acceptances	1,369,955	1,295,000
Sundry debtors and other receivables	837,823	699,861
Deferred tax asset	29,237	28,499
Positive fair value of derivatives (note 38)	5,605,647	2,367,250
	9,689,058	5,601,350

14 Property and equipment

	Land, building and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work - in progress AED'000	Total AED'000
Cost					
At 1 January 2010	1,973,685	313,632	220,856	186,199	2,694,372
Acquisitions	117,427	33,663	50,439	175,252	376,781
Transfer	100,340	20,102	1,796	(122,238)	-
Disposals / write off	(21,283)	(14,838)	(17,405)	-	(53,526)
At 31 December 2010	**2,170,169**	**352,559**	**255,686**	**239,213**	**3,017,627**
Acquisitions	49,032	39,117	33,318	204,184	325,651
Transfer	49,110	101,374	4,929	(155,413)	-
Disposals / write off	(7,220)	(3,966)	(11,961)	-	(23,147)
At 31 December 2011	**2,261,091**	**489,084**	**281,972**	**287,984**	**3,320,131**
Accumulated depreciation and impairment losses					
At 1 January 2010	334,858	172,384	139,285	-	646,527
Charge for the year	42,399	47,853	30,892	-	121,144
Disposals	(9,038)	(13,593)	(14,966)	-	(37,597)
Impairment loss (note 34)	77,001	-	-	-	77,001
At 31 December 2010	**445,220**	**206,644**	**155,211**	**-**	**807,075**
Charge for the year	48,847	70,067	38,363	-	157,277
Disposals	(6,181)	(2,198)	(10,975)	-	(19,354)
Impairment loss (note 34)	159,373	-	-	-	159,373
At 31 December 2011	**647,259**	**274,513**	**182,599**	**-**	**1,104,371**
Carrying amounts					
At 31 December 2010	1,724,949	145,915	100,475	239,213	2,210,552
At 31 December 2011	**1,613,832**	**214,571**	**99,373**	**287,984**	**2,215,760**

Land, building and alteration includes plots of land for which no plans for construction have been formalised. These lands are carried at current market value which is lower than there cost.

Capital work in progress mainly comprises of properties under construction.

Notes to the consolidated financial statements

15 Due to banks and financial institutions

	2011 AED'000	2010 AED'000
Banks and financial institutions		
Current, call and notice deposits	1,705,058	770,406
Margin	155,754	-
Fixed deposits	25,053,561	20,893,196
Wakala deposit	5,808,400	4,080,000
	32,722,773	25,743,602
Central banks		
Current and call	1,351,001	890,608
Fixed and certificate of deposits	5,721,827	4,917,136
	7,072,828	5,807,744
	39,795,601	31,551,346

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of 0% to 4.50% (2010: 0% to 4.20%).

16 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The carrying amount of financial assets at the reporting date amounted to AED 2,067 million (2010: AED 2,361 million) (note 12) and their associated financial liabilities amounted to AED 3,514 million (2010: AED 2,543 million).

17 Euro commercial paper

The Bank established a USD 2,000,000 thousand Euro-Commercial Paper Programme (the "ECP Programme") for the issuance of Euro-commercial paper under an agreement dated 13 September 2006 with Citibank, N.A.

The notes outstanding as at the reporting date amounting AED nil (2010: AED 35 million denominated in SGD carrying 1.01% and maturing less than 12 months).

18 Customers' deposits

	2011 AED'000	2010 AED'000
By account:		
Current accounts	32,150,382	28,195,567
Savings accounts	6,814,788	5,151,931
Notice and time deposits	105,288,051	84,877,678
Certificates of deposit	7,563,666	4,905,413
	151,816,887	123,130,589

	2011 AED'000	2010 AED'000
By sector:		
Government sector	46,594,553	32,090,292
Public sector	26,077,291	22,140,648
Corporate / private sector	45,909,760	41,644,916
Retail sector	33,235,283	27,254,733
	151,816,887	123,130,589

During the year 2010 special deposits amounting to AED 5,606 million received from the UAE Ministry of Finance with original contractual maturities of 3 and 5 years were converted into Tier 2 notes maturing in December 2016 (see note 21).

	2011 AED'000	2010 AED'000
By location:		
UAE	101,848,077	81,016,731
Europe	19,803,853	11,142,665
Arab countries	20,074,335	24,257,788
America	3,994,167	2,233,659
Asia	4,724,381	2,812,894
Others	1,372,074	1,666,852
	151,816,887	123,130,589

Islamic customers' deposits

Included in the above customers' deposits are the following Islamic customer deposits:

	2011 AED'000	2010 AED'000
Wakala deposits	2,769,106	1,949,307
Mudaraba deposit	146,285	140,961
	2,915,391	2,090,268

19 Medium-term borrowings

	2011 AED'000	2010 AED'000
Club loan and other facilities	3,489,350	3,489,350
Medium term notes	11,659,166	10,969,315
	15,148,516	14,458,665

The following medium term notes are outstanding at 31 December:

Currency	Interest	Year of maturity	2011 AED'000	2010 AED'000
GBP	5.875 per cent (fixed)	Feb 2012	2,010,313	2,080,706
EUR	3M EURIBOR + step-up spread	Jun 2012	166,569	168,671
EUR	3M EURIBOR + step-up spread	Jul 2012	556,815	563,842
USD	3M USD LIBOR + 120bps	Oct 2012	77,808	73,570
HKD	1.65 per cent (fixed)	Oct 2013	89,088	87,702
USD	4.5 per cent (fixed)	Sep 2014	3,270,204	3,229,021
HKD	3.8 per cent (fixed)	Sep 2014	197,718	194,713
HKD	3.9 per cent (fixed)	Oct 2014	121,063	119,055
USD	4.25 per cent (fixed)	Mar 2015	2,892,966	2,818,543
MYR	4.75 per cent (fixed)	Jun 2015	573,449	577,830
HKD	3.40 per cent (fixed)	Sep 2017	152,752	141,605
USD	3.71 per cent (fixed)	Sep 2017	113,829	104,732
HKD	4.32 per cent (fixed)	Sep 2017	155,508	145,857
HKD	4.45 per cent (fixed)	Sep 2019	165,833	150,844
MYR	4.90 per cent (fixed)	Dec 2020	549,922	512,624
JPY	2.60 per cent (fixed)	Jul 2026	491,869	-
USD	4.80 per cent (fixed)	Sep 2036	73,460	-
			11,659,166	10,969,315

The Group has not had any defaults of principal, interests, or other breaches with respect to its medium term borrowings during 2011 and 2010.

20 Other liabilities

	2011 AED'000	2010 AED'000
Interest payable	1,368,526	941,507
Acceptances	1,331,543	1,290,312
Provision for staff terminal benefits	421,146	388,320
Accounts payable, sundry creditors and other liabilities	3,043,928	2,576,374
Negative fair value of derivatives (note 38)	4,784,473	2,032,689
Overseas income tax	63,620	53,817
	11,013,236	7,283,019

The movement in the provision for employees' staff terminal benefits was as follows:

	2011 AED'000	2010 AED'000
Balance at 1 January	388,320	379,531
Provided during the year	77,659	72,821
Paid during the year	(44,833)	(64,032)
Balance at 31 December	421,146	388,320

The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2011 AED'000	2010 AED'000
At 1 January	53,817	62,309
Charge for the year (note 35)	111,624	88,291
Overseas income tax paid, net of recoveries	(101,821)	(96,783)
At 31 December	63,620	53,817

21 Subordinated notes

	2011 AED'000	2010 AED'000
Subordinated note – Ministry of Finance Tier 2 notes	5,912,647	5,626,908
Subordinated notes	2,077,407	2,685,378
	7,990,054	8,312,286

Ministry of Finance Tier 2 notes

The notes maturing in December 2016 carry a fixed step up coupon and are paid quarterly in arrears. The bank has hedged the interest rate exposure on these notes.

	2011 AED'000	2010 AED'000
Liability component		
15 March 2006 issue	1,040,632	1,099,672
28 February 2008 issue	1,036,775	1,585,706
	2,077,407	2,685,378
Equity component		
15 March 2006 issue	72,926	72,926
28 February 2008 issue	52,984	52,984
Less: conversion of 15 March 2006 issue	(40,502)	(40,502)
Less: Buy back of 28 February 2008 issue	(25,345)	(10,483)
Transfer to general reserve	(32,424)	-
	27,639	74,925

15 March 2006 issue:

The Bank issued AED 2.5 billion subordinated convertible notes due on 15 March 2016 in accordance with the approval of the Extraordinary General Meeting held on 22 November 2005. The notes bear an interest rate equal to 3 month EBOR plus 0.25% paid quarterly.

During the year, the conversion option for 15 March 2006 issue expired, accordingly, the equity component of AED 32,424 thousand related to this issue was transferred to general reserve.

Further during the year, the Bank purchased back AED 62,000 thousand (2010: AED nil) of this issue from the market for AED 54,405 thousand (2010: AED nil). As a result, the total outstanding liability components were decreased by AED 60,191 thousand (2010: AED nil). Further, a gain on the extinguishment in the amount of AED 7,022 thousand (2010: AED nil) was recognised in the consolidated income statement.

The above mentioned notes are presented in the consolidated statement of financial position as follows:

	2011 AED'000	2010 AED'000
Proceeds from issue of convertible notes	2,500,000	2,500,000
Less: amount classified as equity	(72,926)	(72,926)
Carrying amount of liability component on initial recognition	2,427,074	2,427,074
Add: cumulative accreted interest	21,722	20,571
Less: converted liability component	(1,347,973)	(1,347,973)
Carrying amount of liability bought back	(60,191)	-
Carrying amount of liability component	1,040,632	1,099,672

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for an equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2011 was 1.811% (2010: 2.34%).

28 February 2008 issue:

Further, on 28 February 2008, the Bank issued AED 2 billion subordinated convertible notes due on 28 February 2018 in accordance with the approval of the Extraordinary General Meeting held on 5 September 2007. The notes bear an interest rate equal to 3 month EBOR less 0.25% paid quarterly.

These convertible notes are presented in the consolidated statement of financial position as follows:

	2011 AED'000	2010 AED'000
Proceeds from issue of convertible notes	2,000,000	2,000,000
Less: amount classified as equity	(52,984)	(52,984)
Carrying amount of liability component on initial recognition	1,947,016	1,947,016
Add: cumulative accreted interest	21,124	23,916
Carrying amount of liability bought back	(931,365)	(385,226)
Carrying amount of liability component	1,036,775	1,585,706

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2011 was 1.384% (2010: 2.02%).

At the option of the holder, the notes may be converted into ordinary shares of the Bank at any time during the period beginning from 28 May 2008 and ending on the date falling 10 trading days prior to the first call date being 28 February 2013 at the conversion price of AED 17.41 per ordinary share (subsequent to the issue of bonus shares). The Bank has the option to redeem these notes on the first call date being 28 February 2013.

The subordinated convertible notes form part of Tier II capital of the Bank.

During the year, the Bank purchased back AED 561,000 thousand (2010: AED 181,710 thousand) of this issue from the market for AED 536,930 thousand (2010: AED 154,478 thousand). As a result, the total outstanding liability and equity components were decreased by AED 546,139 thousand (2010: AED 175,922 thousand) and AED 14,862 thousand, (2010: AED 4,787 thousand) respectively. Further, a gain on the extinguishment in the amount of AED 26,068 thousand (2010: AED 26,669 thousand) was recognised in the consolidated income statement.

Fair value

The carrying amount of the liability component of the convertible notes reflects its current fair value based on discounted cash flows.

The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated convertible notes during 2011 and 2010.

22 Capital and reserves

Share capital
The authorised share capital of the Bank comprise 2,870 million ordinary shares of AED 1 each (2010: 2,392 million shares of AED 1 each). The issued and fully paid share capital at 31 December 2011 is comprised of 2,870 million of AED 1 each (2010: 2,392 million ordinary shares of AED 1 each).

Statutory reserve
The UAE Commercial Companies Law No. (8) of 1984 (as amended) and Article 56 of the Bank's Articles of Association require that 10% of the annual net profit to be transferred to a statutory reserve until it equals 50% of the paid-up share capital. The statutory reserve is not available for distribution to the shareholders.

Special reserve
Transfers to the special reserve are made in accordance with Union Law No. 10 of 1980 and Article 56 of the Bank's Articles of Association under which not less than 10% of the annual net profit is to be transferred to this reserve until it equals 50% of the paid-up share capital. The special reserve is not available for distribution to the shareholders.

Dividends
The following cash dividend was paid by the Group during the year ended 31 December:

	2011 AED'000	2010 AED'000
Cash dividend AED 0.3		
per ordinary share (2010: 0.1)	717,511	217,428
20 % bonus shares (2010: 10% bonus shares) issued	478,340	217,428

Proposed dividends:
On 31 January 2012, a cash dividend of AED 0.3 per ordinary share and bonus shares of 30 % (2010: AED 0.3 cash dividend per ordinary share and 20% bonus share) was proposed by the Board of Directors in respect of 2011 which is subject to the approval of the shareholders at the Annual General Meeting.

Other reserves
Other reserves include the following:

(i) General reserve
The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors to the shareholders. On 13 March 2011 the AGM approved the transfer of AED 2.3 billion (2010: AED 2.1 billion) to general reserve.

(ii) Fair value reserve
The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	2011 AED'000	2010 AED'000
Revaluation reserve – available for sale investments		
At 1 January	(414,606)	(841,388)
(Increase) / decrease in unrealised losses during the year	(675,949)	326,288
Net realised losses recognised in the consolidated income statement during the year	174,317	100,494
At 31 December	(916,238)	(414,606)
Hedging reserve – cash flow hedge		
At 1 January	-	(3,835)
Changes in fair value	17,224	3,835
At 31 December	17,224	-
Total at 31 December	(899,014)	(414,606)

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions.

(iii) Foreign currency translation reserve

Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations.

23 Government of Abu Dhabi Tier 1 capital notes

Under the Government of Abu Dhabi 2009 Bank capitalisation programme, the Bank issued regulatory Tier 1 capital notes (the "Notes") in the amount of AED 4 billion. The Notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi annually in arrears. After the initial period, the Notes attract a coupon rate of 6 month EIBOR plus a fixed margin. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default.

The issuance was approved in the shareholders Extra Ordinary General Meeting held on 11 March 2009. During the year, a coupon payment election was made by the Bank in the amount of AED 240 million (2010: AED 240 million).

24 Share option scheme

The Bank introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the three years after the vesting period.

During the year, in continuation with the existing staff share option scheme, the Bank has granted a new tranche of 17,050 thousand options (2010: 4,839 thousand options) to eligible employees.

Each option is generally subject to a 3 year vesting period and 3 year exercise period. The key vesting condition is that the option holder is in continued employment with NBAD on the date of vesting. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The numbers of share options are as follows:

	2011 Number of options in thousands	2010 Number of options in thousands
Outstanding at 1 January	23,730	19,666
Forfeited during the year	(1,256)	(775)
Exercised during the year	-	-
Granted during the year	17,050	4,839
Outstanding at 31 December	39,524	23,730

As a result of the issue of bonus shares, the exercise price was revised on 13 March 2011 from AED15.55 to AED 12.95 per share (2010: AED 17.28 to AED 15.55). All the options outstanding as at 31 December 2011 have an exercise price of AED 12.95 (2010: AED 15.55).

25 Interest income

	2011 AED'000	2010 AED'000
Interest from		
Central banks	71,574	78,562
Banks and financial institutions	607,188	359,247
Reverse repurchase agreements	94,341	24,393
Investments at fair value through profit or loss	8,326	13,614
Non-trading investments	972,069	857,762
Loans and advances	5,898,288	5,813,280
	7,651,786	7,146,858

26 Interest expense

	2011 AED'000	2010 AED'000
Interest to		
Banks and financial institutions	271,272	205,751
Repurchase agreements	19,628	19,100
Euro commercial paper	138	221
Customers' deposits	912,743	993,518
Certificates of deposit	115,935	103,930
Medium-term borrowings	511,339	464,444
Subordinated notes	325,483	342,281
	2,156,538	2,129,245

Notes to the consolidated financial statements

27 Income from Islamic financing contracts

	2011 AED'000	2010 AED'000
Ijara	300,418	245,073
Murabaha	61,905	37,790
Mudaraba	488	362
	362,811	283,225

28 Depositors' share of profits

	2011 AED'000	2010 AED'000
Wakala Deposit	52,164	49,599
Mudaraba Deposit	3,001	2,399
	55,165	51,998

29 Net fee and commission income

	2011 AED'000	2010 AED'000
Fee and commission income		
Letters of credit	174,261	146,254
Letters of guarantee	237,240	223,890
Brokerage income, net	16,170	22,083
Initial Public Offerings (IPO)	2,436	879
Asset management and investment services	111,337	109,606
Risk participation fees	105,988	61,564
Retail and corporate lending fees	752,721	659,990
Low credit balance fees	19,908	26,053
Commission on transfers	32,456	33,262
Others	183,428	176,997
Total fee and commission income	1,635,945	1,460,578
Fee and commission expense		
Brokerage commission	15,314	12,303
Handling charges	4,508	4,309
Credit card charges	174,099	102,995
Other commission	51,205	56,920
Total fee and commission expense	245,126	176,527
Net fee and commission income	1,390,819	1,284,051

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

30 Net gain on investments

	2011 AED'000	2010 AED'000
Net realised and unrealised (loss) / gains on investments at fair value through profit or loss and derivatives	(83,066)	176,550
Net gain from sale of non-trading investments	174,317	122,479
Dividend income	2,289	2,191
	93,540	301,220

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

31 Net foreign exchange gain

	2011 AED'000	2010 AED'000
Trading and retranslation gain / (loss) on foreign exchange and related derivatives	98,698	(38,278)
Dealings with customers	423,533	312,169
	522,231	273,891

32 Other operating income

	2011 AED'000	2010 AED'000
Gain on buy back of issued convertible notes	33,090	26,669
Others	38,288	43,863
	71,378	70,532

33 General, administration and other operating expenses

	2011 AED'000	2010 AED'000
Staff costs	1,716,380	1,495,821
Other general and administration expenses	639,799	534,248
Depreciation	157,277	121,144
Donations and charity	50,268	34,789
	2,563,724	2,186,002

Notes to the consolidated financial statements

34 Net impairment charge

	2011 AED'000	2010 AED'000
Collective provision for loans and advances (note 11)	428,376	288,133
Specific provision for loans and advances (note 11)	1,291,038	1,071,394
Write back of provisions for loans and advances (note 11)	(268,939)	(199,405)
Recovery of loan loss provisions (note 11)	(128,195)	(48,962)
Write-off of impaired loans and advances to consolidated income statement	19,133	4,672
Recovery of loans previously written off	(2,231)	(2,315)
Provisions for investment	-	16,253
Impairment of non financial assets* (note 14)	159,373	77,001
	1,498,555	1,206,771

*During the year the Group modified the assumption in its value in use working revaluation for a certain property held for own use, the modification resulted in an additional impairment charge of AED 159,373 thousand (2010: AED 77,001 thousand) (note 5 (iii)).

35 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated income statement for the year was as follows:

	2011 AED'000	2010 AED'000
Charge for the year (note 20)	111,624	88,291
Adjustments relating to deferred taxation	(588)	14,311
	111,036	102,602

36 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2011 AED'000	2010 AED'000
Cash and balances with central banks	20,332,004	11,548,833
Due from banks and financial institutions	9,657,573	9,427,746
Cash and cash equivalents	29,989,577	20,976,579

37 Commitments and contingencies

	2011 AED'000	2010 AED'000
Letters of credit	32,279,658	36,744,734
Letters of guarantee	45,411,893	47,854,797
Undrawn commitments to extend credit	20,873,395	24,364,556
Financial guarantees	11,564,783	10,066,405
	110,129,729	119,030,492

Capital and operating lease commitments at the reporting date is shown below:

	2011 AED'000	2010 AED'000
Commitments for future capital expenditure	89,573	55,179
Commitments for future operating lease payments for premises	164,785	150,981
	254,358	206,160
Total commitments and contingencies	110,384,087	119,236,652

Letters of credit and guarantee commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Commitments for operating lease payments are payable as follows:

	2011 AED'000	2010 AED'000
Less than one year	51,246	43,042
Between one and five year	90,811	85,409
More than five year	22,728	22,530
Total commitments	164,785	150,981

Financial guarantees contracts included credit default agreements entered with banks and financial institutions amounting to AED 8,845 million (2010: 6,439 million) which are primarily denominated in US dollar.

	2011 AED'000	2010 AED'000
Concentration by location:		
UAE	367,300	1,707,945
Europe	2,093,610	954,980
Arab countries	139,574	727,254
America	293,840	385,665
Asia	4,536,155	2,589,465
Others	1,414,105	73,460
	8,844,584	6,438,769

38 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with Banks and financial institutions.

Forwards and futures contracts are commitments to either purchase or sell foreign currencies, commodities or financial instruments at a specified future date for a specified price.

Swaps are the agreements between the Group and other parties to exchange future cash flows based upon agreed notional amounts. Swaps most commonly used by the Group are interest rate swaps and cross currency swaps.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price either at fixed future date or at any time within a specified period.

Derivatives are measured at fair value by reference to published price quotations in an active market or counterparty prices or valuation techniques such as discounted cash flows.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

31 December 2011

	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate swaps	3,104,434	2,784,338	206,641,368	21,092,254	39,295,128	60,286,017	47,472,586	38,495,383
Cross currency interest rate swap	27,673	26,800	621,741	585,231	-	36,510	-	-
Currency swap	828,985	323,578	149,933,619	101,180,092	44,591,113	4,162,414	-	-
Bond option	-	-	-	-	-	-	-	-
Forward purchase of securities and Interest rate future	501	271	243,137	243,137	-	-	-	-
Forward rate agreements	-	3,856	3,862,251	-	3,862,251	-	-	-
Structured product	351,097	348,285	13,643,383	-	3,189,032	4,867,420	797,208	4,789,723
Currency options and foreign exchange forwards	495,699	471,677	6,825,996	4,019,744	1,844,931	961,321	-	-
Credit default swaps	-	-	297,196	-	55,095	242,101	-	-
	4,808,389	**3,958,805**	**382,068,691**	**127,120,458**	**92,837,550**	**70,555,783**	**48,269,794**	**43,285,106**
Held as fair value hedges:								
Interest rate swaps	644,265	734,168	20,080,137	4,155,065	3,255,211	4,160,727	8,361,136	147,998
Cross currency interest rate swaps	130,068	81,200	10,734,330	990,048	404,728	2,553,177	846,665	5,939,712
Total return swaps	-	-	15,256	15,256	-	-	-	-
Forward rate agreement	-	4,599	367,300	-	-	367,300	-	-
	774,333	**819,967**	**31,197,023**	**5,160,369**	**3,659,939**	**7,081,204**	**9,207,801**	**6,087,710**
Held as cash flow hedges:								
Interest rate swaps	23	-	35,652	-	-	-	-	35,652
Currency options and foreign exchange forwards	2,227	5,701	5,538,492	2,636,087	2,902,405	-	-	-
Cross currency interest rate swaps	20,675	-	331,041	-	-	-	-	331,041
	22,925	**5,701**	**5,905,185**	**2,636,087**	**2,902,405**	**-**	**-**	**366,693**
Total	**5,605,647**	**4,784,473**	**419,170,899**	**134,916,914**	**99,399,894**	**77,636,987**	**57,477,595**	**49,739,509**

31 December 2010			---------- Notional amounts by term to maturity ----------					
	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate swaps	1,120,006	974,412	108,969,793	13,430,127	23,178,385	29,772,892	17,505,535	25,082,854
Cross currency interest rate swap	385,884	388,155	4,437,549	-	4,437,549	-	-	-
Currency swap	-	-	-	-	-	-	-	-
Bond option	271	331	29,440,210	29,440,210	-	-	-	-
Forward purchase of securities and Interest rate future	1,428	456	9,638,099	9,638,099	-	-	-	-
Structured product	263,892	263,892	24,894,053	-	-	21,882,400	223,700	2,787,953
Currency options and foreign exchange forwards	130,289	2,302	108,528,148	69,025,534	34,826,965	4,405,869	269,780	-
Credit default swaps	-	-	-	-	-	-	-	-
	1,901,770	1,629,548	285,907,852	121,533,970	62,442,899	56,061,161	17,999,015	27,870,807
Held as fair value hedges:								
Interest rate swaps	450,705	311,284	20,009,247	-	2,175,103	5,509,173	7,110,021	5,214,950
Cross currency interest rate swaps	14,775	91,857	4,321,327	-	80,334	398,070	1,771,666	2,071,257
Total return swaps	-	-	13,752	13,752	-	-	-	-
Forward rate agreement	-	-	-	-	-	-	-	-
	465,480	403,141	24,344,326	13,752	2,255,437	5,907,243	8,881,687	7,286,207
Held as cash flow hedges:								
Interest rate swaps	-	-	-	-	-	-	-	-
Currency options and foreign exchange forwards	-	-	-	-	-	-	-	-
Cross currency interest rate swaps	-	-	-	-	-	-	-	-
	-	-	-	-	-	-	-	-
Total	2,367,250	2,032,689	310,252,178	121,547,722	64,698,336	61,968,404	26,880,702	35,157,014

The positive / negative fair value in respect of derivatives represents the gain / loss respectively, arising on fair valuation of the hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances and non-trading investments.

Derivatives held for trading

The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge

The Group uses interest rate swaps, to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, medium term borrowings and subordinate note. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge

The Group uses cross-currency interest rate swaps and non deliverable forward contract to hedge the foreign currency and interest rate risk arising from its financial instruments and for highly probable forecasted transactions. The Group has substantially matched the critical terms of the cross-currency swaps to have an effective hedge relationship.

39 Related parties

Identity of related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholders, directors and key management personal of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party

Pursuant to the provisions of Law No. 16 of 2006, Abu Dhabi Investment Council (the "Council") was established which holds 70.48% of the share capital of the Bank.

Compensation of directors and key management personnel

	2011 AED'000	2010 AED'000
Key management compensation		
Short term employment benefits	61,435	49,140
Post employment benefits	1,358	1,241
Termination benefits	1,512	1,313

	2011 AED'000	2010 AED'000
Directors' remuneration	5,450	4,950

During the year, a coupon payment election was made by the Bank in relation to Government of Abu Dhabi Tier 1 capital notes in the amount of AED 240 million (2010: AED 240 million).

Terms and conditions

Loans and deposits are granted and accepted in various currency denominations and for various time periods. Interest rates earned on such loans and advances extended to related parties during the year have ranged from 0.05% to 7% per annum (2010:1% to 18% per annum) and interest rates incurred on customers' deposits placed by related parties during the year have ranged from nil (non-interest bearing accounts) to 4.5% per annum (2010: nil (non interest bearing accounts) to 2% per annum).

Fees and commissions earned on transactions with related parties during the year have ranged from 0.50% to 1.00 % (2010: 0.50% to 1.00%).

Collaterals against lending to related parties range from being unsecured to fully secure.

Notes to the consolidated financial statements

Balances

Balances with related parties at the reporting date are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2011 Total AED'000	2010 Total AED'000
Loans and advances	894,349	578,400	48,834,971	50,307,720	39,961,039
Customers' deposits	423,444	68,742	47,494,737	47,986,923	33,274,617
Contingent liabilities	616,666	211,320	26,676,259	27,504,245	55,199,418

Others comprise Government of Abu Dhabi entities.

Transactions

Transactions carried out during the year with related parties are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2011 Total AED'000	2010 Total AED'000
Fee and commission income	5,034	2,002	16,751	23,787	35,934
Interest income	31,293	29,488	996,106	1,056,887	1,231,993
Interest expense	2,015	1,050	205,825	208,890	436,809

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year (2010: AED nil).

Due to the pervasiveness of the ultimate controlling party and related concerns, it is impractical to fully disclose related party transactions as described by International Accounting Standard 24.

40 Segmental information

The Group is structured into the following seven major business segments, which form the basis on which the primary segment information is reported:

- *Domestic Banking*
  The Domestic Banking Division (''DBD'') is responsible for three major customer segments together with the associated operations and administration. The DBD is structured on the basis of the Issuer's customer segments and the differing needs of the Issuer's broad customer base. The DBD comprises of three segments: Consumer Banking, Business Banking group and Elite Banking.

- *International Banking*
  The International Banking Division (''IBD'') manages the overseas banking network and credit derivative book. It primarily comprises of both Arab world banking (which includes the Issuer's networks in Bahrain, Egypt, Oman, Kuwait, Jordan, Sudan and Libya) and international banking (which includes the Issuer's operations in France, Malaysia, Hong Kong , the United Kingdom and the United States of America);

- *Financial Markets*
  The Financial Markets Division (''FMD'') is the Group's key access point to the markets globally, it also ensures the liquidity for the entire Group. FMD currently operates through Liquidity management and Interest rate group, Trading and investment group and Institutional Coverage and primary market, Corporate coverage and Ecommerce group.

- *Corporate and Investment Banking*
  Corporate and Investment Banking Division (''CIBD'') provides corporate and investment clients with strategic advice and bespoke innovative solutions. The CIBD comprises six business units: Corporate Banking Group, Investment Banking Group, Wholesale Banking Group, Abu Dhabi National Leasing LLC, Abu Dhabi National Properties and Special asset advisory.

- *Global Wealth*
  Global Wealth comprises Private Banking, Asset Management Group (which includes local and global funds as well as discretionary portfolio management), Custody and Business development and the Banks wholly-owned stockbroker Abu Dhabi Financial Services and Abu Dhabi Brokerage Company Egypt.

- *Islamic Business*
  Islamic Banking comprises Abu Dhabi National Islamic Finance and the Issuer's Islamic Division.

- *Head Office*
  The Group provides centralised human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, collective provisions, operations and administrative support to all of its businesses units. The Head Office, which is run like a business, manages the Groups' free capital.

  The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates on rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

  Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2011:								
Operating income	1,855,907	1,139,436	985,611	2,746,823	242,760	240,335	669,990	**7,880,862**
Net impairment charge	208,757	115,219	-	589,906	5,509	362	578,802	**1,498,555**
Profit / (loss) before taxation	862,046	626,150	845,133	1,933,174	59,900	158,955	(666,775)	**3,818,583**
Overseas taxation	-	108,065	-	-	2,971	-	-	**111,036**
Net profit / (loss) for the year	862,046	518,085	845,133	1,933,174	56,929	158,955	(666,775)	**3,707,547**
Segment total assets	38,161,060	53,882,988	81,032,958	101,818,967	7,721,189	9,933,120	51,334,172	**343,884,454**
Inter segment balances								**(88,216,949)**
Total assets								**255,667,505**
Segment total liability	37,278,142	51,140,937	81,000,396	99,637,619	7,258,254	9,355,964	31,823,657	**317,494,969**
Inter segment balances								**(88,216,949)**
Total liability								**229,278,020**

Note: Except for Islamic subsidiary the collective provisions of the Group's United Arab Emirates operations are recognised centrally in the Head office accounts and are not allocated to the business units.

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2010:								
Operating income	1,760,529	942,179	822,881	2,682,586	174,324	158,238	637,797	**7,178,534**
Net impairment charge	(211,848)	(65,856)	-	(558,486)	(3,292)	(1,735)	(365,554)	**(1,206,771)**
Profit / (loss) before taxation	918,808	522,486	711,738	1,915,358	8,176	94,042	(384,847)	**3,785,761**
Overseas taxation	-	(102,497)	-	-	(105)	-	-	**(102,602)**
Net profit / (loss) for the year	918,808	419,989	711,738	1,915,358	8,071	94,042	(384,847)	**3,683,159**
Segment total assets	34,185,356	36,213,902	76,507,849	92,910,356	4,958,051	7,684,765	38,723,929	**291,184,208**
Inter segment balances								**(79,756,938)**
Total assets								**211,427,270**
Segment total liability	33,260,991	33,828,723	76,029,081	91,095,413	4,528,958	7,269,658	21,057,968	**267,070,792**
Inter segment balances								**(79,756,938)**
Total liability								**187,313,854**

Note: Except for Islamic subsidiary the collective provisions of the Group's United Arab Emirates operations are recognised centrally in the Head office accounts and are not allocated to the business units.

41 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2011	2010
Basic earnings per share:		
Net profit for the year (AED'000)	3,707,547	3,683,159
Less: Payment on Tier 1 capital notes (AED'000)	(240,000)	(240,000)
Net profit after payment of Tier 1 capital notes (AED'000)	3,467,547	3,443,159
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000s)	2,391,703	2,174,275
Effect of bonus shares issued during 2011 ('000s)	478,340	478,340
Effect of bonus shares issued during 2010 ('000s)	-	217,428
Weighted average number of ordinary shares ('000s)	2,870,043	2,870,043
Basic earnings per share (AED)	1.21	1.20
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	3,467,547	3,443,159
Add: Interest on subordinated convertible notes (AED'000)	32,635	72,279
Net profit for the year for calculating diluted earnings per share (AED'000)	3,500,182	3,515,438
Weighted average number of ordinary shares ('000s)	2,870,043	2,870,043
Effect of dilutive potential ordinary shares issued ('000s)	79,146	153,554
Weighted average number of ordinary shares in issue for diluted earnings per share ('000s)	2,949,189	3,023,597
Diluted earnings per share (AED)	1.19	1.16

42 Fiduciary activities

The Group held assets in trust or in a fiduciary capacity for its customers at 31 December 2011 amounting to AED 2,553 million (2010: AED 3,087 million). Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from the consolidated financial statements of the Group.

43 Special Purpose Entities

The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs› operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs› assets, liabilities and results of operations are not included in the consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2011
NBAD Nominees Limited	Shares registration	England	100%
NBAD Fund Managers (Guernsey) Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
NBAD Global Growth Fund PCC Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	57.14%
NBAD Deucalion Investment Manager Limited	Fund Management	Cayman Island	50%

44 Comparative figures

Comparative figures have been reclassified to conform with the presentation for the current year.



Risk Management & Basel II-Pillar III Disclosures



Risk Management & Basel II Pillar III Disclosures

National Bank of Abu Dhabi (NBAD) and its subsidiaries, collectively known as the "Group" assesses its capital adequacy based on the Capital Adequacy Standards of the Central Bank of UAE (CBUAE) published in November 2009 for Standardized Approach. The document is adopted from BIS Revised Framework – 'International Convergence of Capital Measurement and Capital Standards'. The framework is structured around three Pillars: Pillar I - Minimum Capital Requirements; Pillar II – the Supervisory Review Process and the Internal Capital Adequacy Assessment Process (ICAAP); and Pillar III - Market Discipline.

Pillar I deals with the computation of Regulatory Capital ratio. It involves criteria based assessment of risk for various asset classes and calculation of Risk Weighted Assets (RWAs) for credit, market and operational risk, to derive the required regulatory capital. All UAE banks are subject to a minimum capital adequacy ratio of 12%, which is significantly higher than the global required minimum of 8%. Capital adequacy for the Group as at 31st December 2011 was 20.65% - substantially higher than the regulatory minimum.

Credit Risk

Basel II provides three approaches to the calculation of credit risk regulatory capital. NBAD has adopted the Standardized approach that requires banks to use external credit ratings to determine the risk weightings applied to rated counterparties, and groups other counterparties into respective asset classes and applies standardized risk weightings to these categories. However, during 2011, NBAD has applied to Central Bank of UAE (CBUAE) with a request to initiate the accreditation process that would allow the Bank to use its internal credit risk rating models to calculate and report credit risk regulatory capital which would eventually enable NBAD to progress towards the Foundation Internal Rating Based (F-IRB) approach.

Market Risk

NBAD has adopted the Standardized approach for determining the market risk capital charge for its trading book. As per the approach, the Bank calculates the capital charge for interest rate, foreign exchange, equity, commodity exposures and options risk based on the risk weights suggested by Basel II guidelines.

Operational Risk

NBAD computes capital by the Basic Indicator Approach. Based on this approach, the Bank holds capital for operational risk equal to 15% of average annual income over previous three years. However, it is strengthening its policy, processes and tools to ensure a gradual transition to advanced approaches.

Pillar II deals with (a) Supervisory Review of Bank's risk management framework and taking a view on whether additional capital needs to be held for risks not covered under Pillar I and (b) Internal Capital Adequacy Assessment Process (ICAAP), which is the Bank's own framework to assess its solvency (Capital and Liquidity) requirements over the next business cycle.

NBAD will be submitting its ICAAP document for 2011 to CBUAE during April 2012. The ICAAP document:

- Defines risk appetite of the bank in terms of KPIs (financial and operational)
- Introspects into business strategies under various adverse scenarios (e.g. Severe Recession, Liquidity Crisis, etc.) to estimate additional solvency requirements (Stress Test) to operate within the Bank's risk appetite.
- Quantifies additional capital requirements for quantifiable (e.g. Concentration risk, Interest Rate Risk in the Banking Book) and qualitative risks (e.g. Reputational Risk) over and above the Pillar I requirements.

As per current internal estimates, the Bank's current level of capital adequacy is deemed more than sufficient to deal with all these additional risks and under appropriate stressed scenarios.

Pillar III relates to market discipline and requires the Bank to disclose detailed qualitative and quantitative information of its risk management and capital adequacy policies and processes.

Pillar III Qualitative & Quantitative Disclosures

Disclosures under Pillar III follow the guidelines and formats of the Capital Adequacy Standards (Standardized Approach) of the CBUAE. All subsidiaries are consolidated and significant investments are deducted as per the Basel II guidelines (also consistent with IFRS guidelines).

Table 1: Subsidiaries and Significant Investments

As at December 2011	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries:				
Abu Dhabi International Bank	Curacao, Netherlands Antilles	100%	Banking	Fully Consolidated
Abu Dhabi Financial Services	Abu Dhabi, UAE	100%	Shares & Securities	Fully Consolidated
Abu Dhabi National Leasing	Abu Dhabi, UAE	100%	Leasing	Fully Consolidated
Abu Dhabi National Islamic Finance Company	Abu Dhabi, UAE	100%	Islamic Finance	Fully Consolidated
NBAD Private Bank (Suisse) SA	Geneva, Switzerland	100%	Private Banking	Fully Consolidated
NBAD Trust Company (Jersey) Ltd	Jersey, Channel Islands	100%	Fund Management	Fully Consolidated
Ample China Holding Limited	Hong Kong, China	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties	Abu Dhabi, UAE	100%	Property Management	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	70%	Brokerage	Fully Consolidated
Significant Investments:				
NBAD Special Purpose Entities				
NBAD Nominees Ltd.	England	100%	Shares Registration	Deducted from Capital
NBAD Fund Managers (Guernsey Limited)	Bailiwick of Guernsey	100%	Fund Management	Deducted from Capital
NBAD Private Equity	Cayman Islands	57%	Fund Management	Not Included
NBAD Global Growth Fund PCC Limited	Bailiwick of Guernsey	100%	Fund Management	Not Included
One Share PLC	Republic of Ireland	100%	Investment	Not Included
NBAD Deucalion Investment Manager Ltd	Cayman Islands	50%	Fund Management	Not Included
Others				
Misr Iran	Egypt	20%	Construction	Deducted from Capital

Note 1: There is no major restriction on inter-Group transfer of funds. In certain jurisdictions where these apply it constitute less than 1% of Group's capital.

The consolidated eligible capital for capital adequacy computation as at December 2011 as per the said guidelines is presented below:

Table 2: Consolidated Capital Structure as at 31st December 2011

As at 31st December 2011	Amount (AED 000)
Tier 1 Capital*	
1. Paid up share capital/common stock	2,870,043
2. Reserves	
a. Statutory reserve	1,435,022
b. Special reserve	2,128,252
c. General reserve	12,446,567
d. Retained Earnings	4,385,622
e. Others	22,993
3. Minority interests in the equity of subsidiaries	
4. Innovative capital instruments	4,000,000
5. Other capital instruments	
6. Surplus capital from insurance companies	
Sub-total	27,288,499
Less: Deductions for regulatory calculation	
Less: Deductions from Tier 1 capital	
i. Tier 1 Capital - Subtotal	27,288,499
ii. Tier 2 capital	8,830,493
iii. Other deductions from capitals	30,962
iv. Total eligible capital after deductions	36,088,030

* Includes Government of Abu Dhabi Tier 1 capital notes of AED 4 billion.

As at 31st December 2011, the capital adequacy ratio of the NBAD Group is:

Table 3: Capital Adequacy as at 31st December 2011

Quantitative Disclosures	Capital Charge	Capital Ratio (%)
	(AED 000's)	
Capital Requirements		
1. Credit Risk		
a. Standardized Approach	18,694,507	
b. Foundation IRB		
c. Advanced IRB		
2. Market Risk		
a. Standardized Approach	669,887	
b. Models Approach		
3. Operational Risk		
a. Basic Indicator Approach	1,609,384	
b. Standardized Approach		
c. Advanced Measurement Approach		
Total Capital requirements	20,973,778	
Capital Ratio		
a. Total for Top consolidated Group		20.65%
b. Tier 1 ratio only for top consolidated Group		15.61%
c. Total for each significant bank subsidiary		

During 2010, Basel Committee on Banking Supervision (BCBS) officially announced the new regulatory capital rules, dubbed as Basel III, as per which three important ratios will be phased in by 2015 while keeping the Capital Adequacy Ratio (CAR) intact at current level. First, the banks will be required to increase the Minimum Common Equity Ratio from existing 2% to 4.5% and in addition, they will also be required to hold a capital conservation buffer of 2.5% leading to new regulatory minimum at 7%. Second, the banks are progressively required to increase the Minimum Tier I Capital to 6% by the end of 2018. Third, BCBS has suggested a minimum Leverage Ratio of 3% which may be changed before the full implementation. In this context, the respective ratios for NBAD as at 31st December 2011 are as below.

Table 4: Basel III Ratio as at 31st December 2011

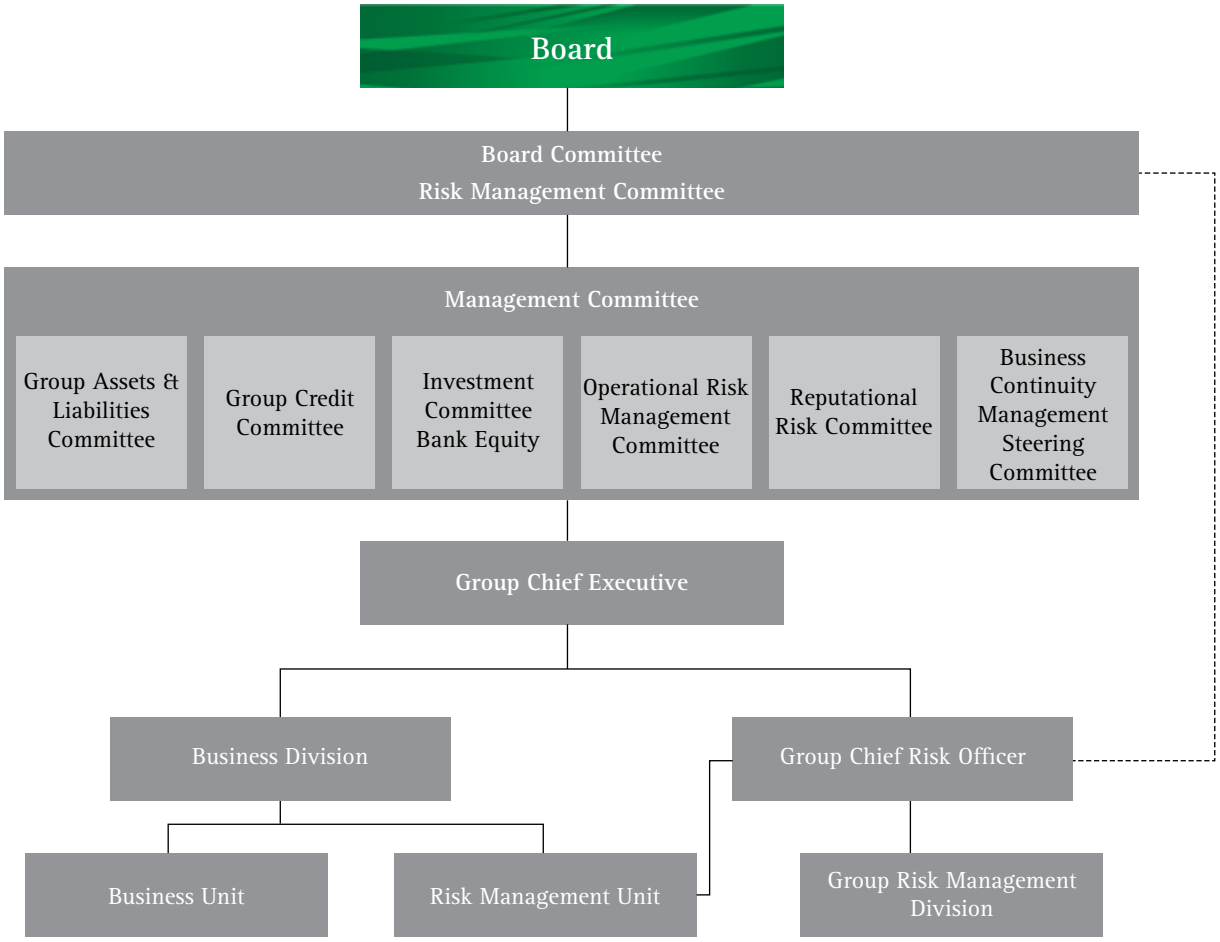
As at 31st December 2011	Ratio
Minimum Common Equity ratio	13.31%
Minimum Tier I ratio	15.61%
Leverage ratio	7.23%

Group Risk Governance Structure

Structure and Organization of the Risk Management Function vis-à-vis Group

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by the board level risk committee – Risk Management Committee as well as six management risk committees shown below.

NBAD Group Risk Governance Structure



Board Committee

Risk Management Committee (RMC), comprises of members from the Board, and is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC is also set-up to monitor the Group's credit, operational and market risks, to take credit decisions above management's discretionary powers and to set market risk limits under which the Group's management operates.

Management committees

The Management level Risk Committees are:

i. Assets and Liabilities Committee (ALCO);
ii. Group Credit Committee (GCC);
iii. Operational Risk Management Committee (ORMC);
iv. Investment Committee Bank Equity;
v. Reputational Risk Committee; and
vi. Business Continuity Management Committee.

The management committees are responsible for implementing the risk management framework. The major functions of the six management committees are given below:

i. Assets and Liabilities Committee (ALCO): The principal aim of ALCO is to achieve sustainable and stable profits within a framework of acceptable financial risks, which includes market risk for proprietary trading and investment portfolio, liquidity risk, interest rate risk, and foreign exchange risk for Treasury and Banking Book and capital management.

ii. Group Credit Committee (GCC): GCC is responsible for approving credit proposals under authority delegated by the Board. Credit proposals exceeding the authority of the GCC are referred to the RMC. The GCC also recommends credit policy and strategy issues and periodically monitors the credit portfolio of the Group. The provisioning assessment exercise also forms part of the GCC function. The GCC in turn delegates authority to divisional credit committees.

iii. Operation Risk Management Committee (ORMC): ORMC is to ensure appropriate involvement and coordination of business management in the ORM activities at Senior Management levels and to act as the key sponsor for ORM Unit activities.

iv. Investment Committee Bank Equity: The key responsibilities of the committee are to assess the capital required for the Group's growth and expansion plans, maintain capital adequacy for the Group operations and regulatory requirement, to manage Bank's capital within authorized limits and, to formulate investment strategies for Bank's free capital.

v. Reputational Risk Committee: The committee is responsible for reviewing and making final determinations on all reputational risk issues where escalation of such issue is made by senior management or required under group policies and procedures. The committee also ensures that reputation risk is embedded into a comprehensive risk management program.

vi. Business Continuity Management Committee: The committee is responsible for providing oversight and strategic considerations for Business Continuity Planning and Disaster Recovery Management at NBAD. The committee solicits input from business and support functions from within the Bank to aid in decision making and priority setting to ensure success of the business continuity infrastructure at NBAD.

A separate Risk Management Division (RMD), reporting to the RMC, assists in carrying out the oversight responsibility of the Board. There are four main independent functions of the RMD, which are: (i) Credit Underwriting which deals with independent underwriting of domestic and international advances; (ii) Independent Risk Management, clearly segregated from credit approval function and is responsible for overall management of portfolio credit risk, market risk and operational risk as well as overall risk architecture of the Group; (iii) Credit Administration which provides logistical support from an administrative, systems and compliance perspective and (iv) Remedial Management which manages the impaired accounts and is responsible for negotiating proposals with counterparties with the ultimate objective of arriving at settlement arrangements/ agreements with minimum possible loss.

All risk management policies are reviewed and approved regularly by the applicable committee of the Board and / or management to reflect changes in market conditions, products and services offered.

A new function within RMD, Risk Quality Assurance (RQA), reporting directly to the Group Chief Risk Officer (GCRO), was created during 2010 which is intended to perform independent review of Group risk management within NBAD. The major goals of the RQA unit are to carry out independent review of all aspects of risks including, credit, market, operational, liquidity and portfolio risks. The review would assess whether the risk infrastructure for credit and investment underwriting and independent risk management within the bank are commensurate with the size, nature and complexity of its operations.

During 2011, in order for RMD to assist NBAD to build a

strong scalable risk based infrastructure and support future growth, the Bank has established risk management functions within business units. This concept entails the creation of risk management units within each business units both for UAE and overseas operation. This has been undertaken to fill a gap keeping in view the expanding nature of the business. The CRO assigned within business unit has two solid reporting lines – one to the business head and the other to the GCRO. The key objectives are as below.

- Efficient coordination between business units and RMD on all related credit and risk initiatives
- Accelerated adjudication process through controlled delegation of authorities
- Ensuring the full utilization of risk architecture (models, systems, process et cetera) within the business units
- Improved risk governance by enhancing risk culture at business unit level

CREDIT RISK

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and non-trading investments.

a. Management of credit risk

The Group's Credit Risk Management framework includes policies & procedures to monitor and manage these risks. The Group Risk Management function ensures centralized oversight for credit risk management including:

- Establishment of authorization structure and limits for the approval and renewal of credit facilities;
- Reviewing and assessing credit exposures in accordance with authorization structure and limits, prior to facilities being committed to customers. Review and renewal of facilities are subject to the same process;
- Diversification of lending and investment activities;
- Limiting concentrations of exposure to industry sectors, geographic locations and counterparties; and
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties, industries and countries and reviewing limits in accordance with risk management strategy and market trends.

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each Corporate and Public Sector Enterprise (PSE) exposure is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9-11 are non–performing each with a rating description. These grades are mapped to the external credit ratings (Standard and Poor, Moody's and Fitch).

- For Corporate and SMEs, these are mapped to an Internal Rating Based (IRB) expert system, validated for GCC conditions.
- Each grade in the rating system is linked to a statistical Probability of Default (PD).

The internal risk rating system plays a significant role in efficient use of credit risk measurement and management including:

- Risk based pricing and determination of Risk adjusted return on capital
- Risk based monitoring (Frequency and intensity of monitoring)
- Determining risk based delegation of powers at various sanction authority levels
- Estimation of collective provisioning
- Estimation of regulatory capital as per Basel II F-IRB

The rating system is subjected to an annual validation process. During 2011, the rating models were validated by an external third party in line with UAECB guidelines. Modifications to the rating system are planned to be carried out during 2012 by incorporating enhancements (from the validation process) and updating models in line with the Bank's portfolio and general economic trends.

The Group currently uses rating models based on statistical analysis but supplements them with expert judgment. As data availability (both qualitative and quantitative) improves, the rating system would tend more towards statistical models, but would retain expert judgment to ensure that models are suitable for banks portfolio and in line with the banks policies and culture.

Retail lending business is governed by product programs vetted by the risk management department and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement.

Sovereign and bank exposures are governed by the ratings from external credit rating agencies.

Global Limit and Collateral Management System (GLCMS)

The implementation of the Global Limits and Collateral

Management System (GLCMS) which went live during 2010 delivers significant benefits to the Bank by bringing together in one place all of the Bank's banking book counterparty limits and utilization. GLCMS provides a single customer and group view which allows for managing and monitoring aggregate limits, setting coverage based limits, netting calculations and having a unique customer number mapped to multiple identifiers in the Bank's many transactional systems representing various business lines. The key objectives of the GLCMS are as below:

- Provides a platform for the management of all limit types post credit sanctioning for the banking book for wholesale credit;

- Provides a platform for the calculation and monitoring of all the Counterparty Credit risk exposures pertaining to banking book on a gross and mitigant adjusted basis; and

- Provides a platform for the storage and management of banking book related collateral and other mitigation

b. Credit risk monitoring is performed at various levels

- Monitoring of risk quality (Obligor level): The Group has a rocess of periodic review of credit based on the internal rating grades. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group has a process of defining and reporting all the potential problem accounts.

- Monitoring of risk quality (Portfolio level): Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are generated periodically and the senior management is informed on the same.

- Monitoring of past dues on principal and interest: All the past dues on principal and interest on loans and advances portfolio of the Group are reported periodically to the senior management. Measures to realize such past dues are initiated with stringent follow up thereafter.

- Monitoring of excess over limits: Group has a policy for monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realize and regularize such excesses.
- Monitoring of potential loss accounts (Watch-list): This category comprises of accounts where principal or interest are past due for more than 30 days and which show some potential weakness in the borrower's financial position and credit worthiness, which requires greater follow-up and monitoring.

- Rating migration: The Bank reviews transition matrix for all the internally rated customers on a quarterly basis which provides insights regarding the credit quality migration as well as model performance.

- Counterparty credit risk: The Bank has internally designed and implemented the methodology to estimate the potential future exposure (PFE) associated with FX, interest rate and commodity OTC derivatives. The PFEs are used by the Bank to set the risk limit as well as to monitor counterparty exposure on daily basis.
- Collateral management: The Bank has adopted a rigorous system of controls, reviews and approvals to ensure an effective collateral management. This includes minimum loan to value (LTV) requirement for each facility, specific collateral requirement for lending against shares and real estate portfolio, margin calls for treasury products and robust legal enforceability.

RQA will further strengthen the post facto review of credit and investment underwriting process and to an extent supplement Group Audit and Group Compliance Divisions. The Loan Review Mechanism (LRM) ensures that credit and investment underwriting operates within a sound, well defined framework with appropriate use of expert judgment. The review also covers the risk rating framework, methodology and process for managing credit and investment transactions as well as monitoring of early warning triggers, remedial action and loss estimation.

c. Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industry or sector, country or geographical locations. The first level of protection against concentration risk is through country and industry thresholds limits set by the RMC and GCC. Credit exposures to individual customers or customer groups is controlled through a risk based delegation of powers (DoP) matrix with borrower's Risk Rating and collateral forming the inputs to the DoP matrix.

Single Name Concentration:
Single name concentration is monitored on an individual basis with the top 12 corporate exposures for each country (top 20 for UAE) being reported to the GCC on a quarterly basis. Further, the Group's internal economic capital methodology for credit risk addresses concentration risk through the application of additional capital charge as part of the ICAAP process. The Group abides by single obligor limits set by Central Bank of UAE (Circular 16/93), requiring the banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding 25% of total equity for commercial PSE exposures and 7% of total equity for other entities.

Sector Concentration:
The Bank has consciously adopted measures to diversify the exposures to various sectors. Currently the portfolio is well diversified, with the highest exposure being in Retail / Consumer Banking sector. Real Estate exposure remains within the limits prescribed by Central Bank of UAE, with sufficient collateral coverage. The Bank has established industry limits to ensure portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios to systematic downturns.

Geographic Concentration:
The Bank's operations are mainly concentrated within UAE. The Bank as part of its business expansion strategy has consciously diversified its business across geographies to reduce the dependence on local markets. Diversifications across geographies expose the Bank to legal, transfer and sovereign risk. Exposures against these limits are monitored periodically to ensure compliance.

d. Group Credit Policy Manual

During 2011, the Bank has made substantial progress in its effort to revamp its Group Credit Policy manual which is meant to govern the credit risk activities of the Bank. It has been designed to embed the nature of NBAD's existing business, its future road map and international best practices. The key highlights of the modified group credit policy manual are as below.

- Group level credit policies would serve as the umbrella policy for all the entities within the Group, domestic as well as international. These policies cover the general credit policies and requirements such as credit portfolio planning, risk budgeting, credit risk governance, fundamental credit principles and credit criteria, credit risk rating and pricing, credit risk mitigation and remedial management.

- Business segment credit policies articulate the policies specific to individual business segments within the Bank that originate or take on credit exposures. These policies govern the stages of credit approval life cycle, viz. origination, assessment and measurement, pricing, approval, commitment, credit administration and operations, monitoring, reporting and remedial management, if required.

- Product policies detail the product specific policies for all permissible credit products, including specialized lending products. These policies would also cover the process and authority for introduction and approval of new credit products.

- Portfolio management policies articulate the policies on credit risk adjudication review and portfolio management including credit risk limits and stress testing.

Geographic, Sectoral, Tenor classification of Gross Credit Exposures

The geographic distribution of Gross Credit Exposures (funded and non-funded) as at 31st December 2011 is as follows:

Table 5: Gross Credit Exposures by Geography as at 31st December 2011

(AED 000)

GEOGRAPHIC DISTRIBUTION	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
United Arab Emirates	116,431,965	12,113,857	128,545,822	17,039,794	87,305,052	41,752,703	146,097,549	274,643,371
GCC excluding UAE	7,446,471	3,695,030	11,141,501	1,395,888	14,091,774	3,341,148	18,828,810	29,970,311
Arab League (excluding GCC)	5,813,909	1,682,419	7,496,328	420,037	782,290	2,247,084	3,449,411	10,945,739
Asia	7,241,746	-	7,241,746	-	5,152,787	10,075,143	15,227,930	22,469,676
Africa	337,128	-	337,128	-	-	614,492	614,492	951,620
North America	1,287,688	731,943	2,019,631	1,480,623	13,200,849	10,653,771	25,335,243	27,354,874
South America	472,828	-	472,828	-	381,634	497,170	878,804	1,351,632
Caribbean	503,689	-	503,689	-	-	-	-	503,689
Europe	19,974,368	7,185,706	27,160,074	536,784	270,342,897	19,042,778	289,922,459	317,082,533
Australia	12,386	1,160,385	1,172,771	269	36,990	1,566,980	1,604,239	2,777,010
Others	-	-	-	-	-	1,013,976	1,013,976	1,013,976
Total	159,522,178	26,569,340	186,091,518	20,873,395	391,294,273	90,805,245	502,972,913	689,064,431

Classification of Gross Credit Exposures (funded and non-funded) by Industry Segments as at 31st December 2011 is as follows:

Table 6: Gross Credit Exposure by Industry Segment as at 31st December 2011

(AED 000)

INDUSTRY SEGMENT	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Agriculture, Fishing & related activities	49,283	-	49,283	183,873	-	-	183,873	233,156
Crude Oil, Gas, Mining & Quarrying	14,749,811	272,002	15,021,813	918,718	1,579,080	63,226	2,561,024	17,582,837
Manufacturing	8,935,813	353,127	9,288,940	1,001,454	184,946	11,932,909	13,119,309	22,408,249
Electricity& Water	15,702,112	1,684,535	17,386,647	282,114	2,716,795	622,137	3,621,046	21,007,693
Construction	5,111,333	-	5,111,333	767,740	1,995,025	1,993,476	4,756,241	9,867,574
Real Estate	25,347,149	909,661	26,256,810	3,160,329	5,796,876	76,486	9,033,691	35,290,501
Trade	3,883,725	-	3,883,725	1,355,247	8,094,538	606,903	10,056,688	13,940,413
Transport, Storage & Communication6	6,142,009	398,362	6,540,371	1,417,240	4,715,715	1,627,915	7,760,870	14,301,241
Financial Institutions	22,941,903	13,929,116	36,871,019	333,144	357,470,242	50,743,956	408,547,342	445,418,361
Services	13,910,641	405,912	14,316,553	3,510,874	3,282,998	535,126	7,328,998	21,645,551
Government	17,286,066	8,042,644	25,328,710	69,111	1,282,369	22,260,752	23,612,232	48,940,942
Retail/Consumer banking	25,004,779	-	25,004,779	5,311,012	687,315	35,250	6,033,577	31,038,356
All Others	457,554	573,981	1,031,535	2,562,539	3,488,374	307,109	6,358,022	7,389,557
Total	**159,522,178**	**26,569,340**	**186,091,518**	**20,873,395**	**391,294,273**	**90,805,245**	**502,972,913**	**689,064,431**

Gross Credit Exposure (funded and non-funded) breakup by currency as at 31st December 2011 is as follows:

Table 7: Gross Credit Exposures by Type as at 31st December 2011

(AED 000)

	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives*	Other Off-Balance Sheet	Total Non-Funded	Total
Foreign Currency	78,563,284	25,096,479	103,659,763	6,998,957	331,876,912	77,834,639	416,710,508	520,370,271
UAE Dirham	80,958,894	1,472,861	82,431,755	13,874,438	59,417,361	12,970,606	86,262,405	168,694,160
Total	159,522,178	26,569,340	186,091,518	20,873,395	391,294,273	90,805,245	502,972,913	689,064,431

*Excludes forex derivatives with original maturity of up to 14 days, exchange traded derivatives, inter-branch transactions, etc.

Tenor classification by Contractual Maturity of the Gross Credit Gross Credit Exposures (funded and non-funded) as at 31st December 2011 is as follows:

Table 8: Gross Credit Exposures by Residual Contractual Maturity as at 31st December 2011

(AED 000)

RESIDUAL CONTRACTUAL MATURITY	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Less than 3 months	29,337,267	2,773,635	32,110,902	1,930,648	144,978,028	28,379,942	175,288,618	207,399,520
3 months to one year	22,762,261	2,247,170	25,009,431	1,947,945	90,313,466	24,957,982	117,219,393	142,228,824
One to five years	51,297,961	8,151,192	59,449,153	4,363,956	96,080,507	35,486,329	135,930,792	195,379,945
Over five years	56,124,689	13,397,343	69,522,032	12,630,846	59,922,272	1,980,992	74,534,110	144,056,142
Grand Total	159,522,178	26,569,340	186,091,518	20,873,395	391,294,273	90,805,245	502,972,913	689,064,431

Geographic and sectoral distribution of overdue loans and Provisions thereon as at 31st December 2011 is in tables below:

Table 9: Geographic Distribution of Overdue Loans and Provisions as at 31st December 2011

AED 000

Geographic Distribution	Overdue			Provisions		
	Past Due but not impaired	Induvidually impaired	Total	Int. in Suspense	Specific	General
United Arab Emirates	2,095,933	4,617,589	6,713,522	450,007	2,208,814	1,727,682
GCC (excluding UAE)	9,436	426,395	435,831	40,647	182,085	141,214
Arab League (excluding GCC)	245,436	275,442	520,878	10,071	82,598	189,248
Asia	-	-	-	-	-	39,036
North America	-	594	594	4	542	55,200
Europe	7,271	21,427	28,698	1,410	6,070	159,305
Australia	-	-	-	-	-	8,912
Total	**2,358,076**	**5,341,447**	**7,699,523**	**502,139**	**2,480,109**	**2,320,597**

Table 10: Sectoral Distribution of Overdue Loans and Provisions as at 31st December 2011

(AED 000)

Industry Segment	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
Agriculture, Fishing & related activities	1	-	1	-	-	798
Crude Oil, Gas, Mining & Quarrying	53,056	43,621	96,677	5,056	8,523	32,470
Manufacturing	124,714	130,470	255,184	5.785	63,498	147,276
Electricity & Water	68,691	-	68,691	-	-	59,427
Construction	123,225	64,227	187,452	9,035	8,173	108,761
Real Estate	693,655	2,209,075	2,902,730	145,117	1,083,176	652,947
Trade	109,006	47,882	156,888	21,579	21,385	91,739
Transport, Storage & Communication	787	73,331	74,118	6,843	29,388	37,703
Financial Institutions	95,754	109,476	205,230	6,156	98,562	344,257
Services	325,926	543,691	869,617	32,958	140,655	272,067
Government	-	17,970	17,970	106	3,573	3,310
Retail - Consumer banking	345,363	859,154	1,204,517	145,028	546,328	215,985
Other Retail – Loans for Business	417,895	1,211,956	1,629,851	123,282	461,383	347,292
All Others	3	30,594	30,597	1,194	15,465	6,565
Total	**2,358,076**	**5,341,447**	**7,699,523**	**502,139**	**2,480,109**	**2,320,597**

Movement in the provision for impaired loans for the period January -December 2011 is shown below:

Table 11: Reconciliation of Changes in Provision for Impaired Loans for the Period Jan-Dec 2011

(AED 000)

	Description	
	Opening Balance of Provisions for Impaired Loans	**3,664,081**
Add:	Charge for the year	
	• Specific provisions	1,291,038
	• General provisions	428,376
Add:	Write-off of impaired loans to income statement	19,133
Less:	Recovery of loan loss provisions	(128,195)
Less:	Recovery of loans previously written-off	(2,230)
Less:	Write-back of provisions for loans	(268,939)
	Adjustments of loan loss provisions	(202,558)
	Closing Balance of Provisions for Impaired Loans	**4,800,706**

Adoption of foundation IRB/advanced IRB

The Bank has formally applied to CBUAE for migration to the F-IRB approach in December 2011. In order to demonstrate its readiness, the Bank has completed independent third party validation of its rating systems as described below.

- Model validation: Rating models used by the Bank for its corporate portfolio (including commercial PSE borrowers) have been validated against regulatory requirements and their performance has been found satisfactory.

- Use test: Usage of rating models by the Bank in the credit approval process and subsequent monitoring and reporting has been validated against regulatory requirements and found compliant.

- Model refinement: Roadmap has been formulated (for the next five years) for the Bank to achieve best-in-class practices by improving its rating models and associated systems.

- Improvement in rating models: In addition to the existing models, portfolio segments have been identified for which specific models would be built. Further, validation exercises would be conducted for existing models on an annual basis and incremental changes would be performed to optimize model performance whenever necessary.

- Increase in IRB coverage: The fraction of the portfolio covered by IRB models would be increased (which is already in excess of the minimum required by CBUAE) by ensuring all possible borrowers are rated and models are developed for specific portfolio segments.

- Capital computation: The capital calculation process (as per IRB guidelines) would be automated in addition to other initiatives to streamline the data integrity, storage, controls and reporting capabilities of the Bank's IT infrastructure.

The Bank continues to make parallel Basel-II submissions to CBUAE under the F-IRB framework on quarterly basis based on the internal ratings. The distribution of performing loans and advances as at December 2011 is as below.

Table 12: Rating Distribution of Performing Loan Portfolio as at 31st December 2011

Rating grade	% of total performing loans and advances
1 – 4	56.7%
5 – 6	18.2%
7	13.9%
8	2.8%
Retail programme lending	8.4%

Use of ratings by External Credit Assessment Institutions (ECAIs):

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions – Moody's, Standard and Poor's and Fitch are considered. For PSEs and corporate exposures, issuer ratings are used, if available. Wherever multiple ratings are available, mapping provided in the guidelines by the supervisor is used for arriving at the required risk weighting under Standardized Approach.

Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differ in a number of respects from those reported in the consolidated financial statements.

1. As per the CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents.
2. Under the Basel II capital adequacy framework, eligible collateral is applied to reduce exposure.

Credit Risk Mitigation (CRM) & Collateral Valuation

While extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, in the last resort, the Bank should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms, but any item of security should possess the following attributes:

- It should be of a determinable value;
- It should have a stable value;
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety;
- It should be readily realizable, i.e. an asset such as a property, should be capable of being readily sold; and
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group risk framework and conservative valuation parameters applied and frequently reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the bank are cash, land and buildings (real estate), mortgage, debentures, stocks and shares, merchandise, goods et cetera.

Gross Credit Risk Exposures subject to Credit Risk Mitigation (CRM)

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation capital relief. These are the Simple Approach which substitutes the risk weight of the collateral from that of the exposure and the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

NBAD uses the comprehensive method, where eligible collateral is in form of financial securities (e.g. cash, high quality debt securities, equities in main index). In addition, on-balance sheet netting, guarantees by specific protection providers and credit derivatives are also allowed as Credit Risk Mitigants (CRM). The Bank follows the Basel II guidelines specifying minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

Following table below provides on and off-Balance Sheet exposures for NBAD Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 13: Loan Portfolio as per Standardized Approach as at 31st December 2011

(AED 000)

Asset class	On balance sheet	Off balance sheet	Credit risk mitigation (CRM)			Risk weighted assets
	Gross outstanding	Net exposure after credit conversion factors (CCF)	Exposure before CRM	CRM	After CRM	
Claims on sovereigns	49,348,406	5,640,974	54,989,380	785,261	54,204,119	2,953,040
Claims on non-central government public sector entities (PSEs)	49,794,048	5,260,521	55,054,569	2,440,267	52,614,302	13,802,215
Claims on multi-lateral development banks	9,586	5,334	14,921	-	14,921	-
Claims on banks	52,281,816	31,031,862	83,312,699	8,789,109	74,523,590	33,109,656
Claims on securities firms	7,738,895	734,600	8,473,495	5,893,026	2,580,469	1,335,067
Claims on corporates	56,127,469	20,266,659	76,355,881	8,280,788	68,075,093	68,678,182
Claims included in the regulatory retail portfolio	11,452,592	-	11,443,655	260,595	11,183,060	8,675,760
Claims secured by residential property	2,050,047	-	2,050,047	500	2,049,547	1,745,326
Claims secured by commercial real estate	12,291,537	-	12,291,537	325,762	11,965,775	11,965,775
Past due loans	5,341,420	-	2,359,172	1,006	2,358,166	2,845,330
Higher-risk categories	-	-	-	-	-	-
Other assets	13,423,825	-	13,423,642	-	13,423,642	10,677,211
Claims on securitized assets	27,511	-	27,511	-	27,511	-
Total Claims	**259,887,152**	**62,939,950**	**319,796,509**	**26,776,314**	**293,020,195**	**155,787,562**

The following table shows the rated and unrated exposures in each Basel II asset class for the NBAD group:

Table 14: Loan Portfolio as per Standardised Approach as at 31st December 2011

(AED 000)

Asset Class	Rated	Unrated	Total
Claims on Sovereigns	54,963,512	25,868	54,989,380
Claims on Public Sector Entities	20,954,879	34,099,690	55,054,569
Claims on Multilateral development banks	14,921	-	14,921
Claims on securities firms	8,226,026	247,469	8,473,495
Claims on Banks	80,334,732	2,977,967	83,312,699
Claims on Corporate	4,636,051	71,719,830	76,355,881
Regulatory & other retail exposure	-	11,443,655	11,443,655
Residential retail exposure	-	2,050,047	2,050,047
Commercial Real Estate	-	12,291,537	12,291,537
Non-Performing Loans	-	2,359,172	2,359,172
Other assets	-	13,423,642	13,423,642
Claims on Securitised Assets	-	27,511	27,511
Total	169,130,121	150,666,388	319,796,509

The following table shows the effect by Basel II CRM type on Exposures:

Table 15: Credit Risk Mitigation: Disclosures for Standardized Approach as at 31st December 2011

(AED 000)

		Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	319,796,509	172,172,622
Less:	Exposure covered by on-balance sheet netting	2,857,773	2,263,780
Less:	Exposures covered by eligible financial collateral	21,029,320	12,911,482
Less:	Exposures covered by guarantees	2,889,221	1,209,798
Less:	Exposures covered by credit derivatives		
	Net Exposures after Credit Risk Mitigation	293,020,195	155,787,562

MARKET RISK

Market risk for NBAD is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely because of changes in market factors such as interest rates, foreign exchange rates, equity, commodity and option prices.

(a) Management of Market Risks

Market Risk at the Group is managed as per NBAD's "Group Market Risk Policy Framework" approved by the Group ALCO. The framework provides specific guidelines on roles and responsibilities of Market Risk, its Governance Structure, Market Risk appetite statement and the limit structure. It spells the way market risk is identified, measured, monitored, controlled and reported.

As a policy the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by Group ALCO. For any new product therefore, sanction has to be obtained via the New Product Approval process which would ensure if necessary infrastructure is there to support the requisite dealing in the product.

Market Risk for the Group is identified and managed on a consolidated basis. The Group's aggregate Market Risk is seen as a consolidation of the Market Risks originated at its Central Treasury at the H.O. and all the overseas units. The Market Risk appetite of the "Group" is defined in terms of the following limits:

i) Interest rate risk on the Trading Book is addressed through sensitivity, VaR and Stop Loss limits and the Interest rate risk on the Banking book is defined in terms of the Net Interest Income & Market Value of Equity impact for the Group.

ii) Forex risk on the trading book is addressed through the overnight Net Open Position limits in place defined separately for the fixed and floating currencies.

iii) Equity and options price risks are measured through the VaR, Stop Loss and Sensitivity limits defined around the Trading positions.

The above risk limits are approved by the RMC and are closely monitored by the Market Risk Unit (MRU) in RMD. The risk positions against the limits and all limit breaches are regularly reported by Market Risk Unit in RMD to Senior Management and the Group ALCO. The Market Risk Unit functions independent of the risk taking units and reports directly to the GCRO.

The Middle Office (MO) function was set-up in mid-2010 and has become fully operational, segregated in two categories viz., product control and risk control. Product control function is responsible for the bookkeeping of trades in the Financial Market Division's (FMD) portfolios. The specific functions of the product control function include daily valuations, performance attribution (P&L and fees), IFRS calculations and adjustments, reconciliation between trading system and general ledger, hedging strategies and effectiveness. These activities are performed at the end of the day basis. Risk control function is responsible for trade/position monitoring, risk limit monitoring, escalation of limit breaches, risk reporting, collateral valuation, margin call validation and market data maintenance & validation.

Comprehensive Treasury and Market Risk System (CTMR)
The Bank has successfully implemented CTMR which ensured coverage of all the plain vanilla products on the Treasury platform. At present, Present Value Basis Point (PVBP) for interest rate products and foreign exchange net open position (NOP) are directly calculated through CTMR at the end of every day. The Bank is now in the process of implementing next phase of the project with particular focus around the following:

- Enabling integration and valuation of Structured products
- Enhancing capacities for monitoring second order sensitivities for structured products

The Group measures the risk weighted assets for Market Risk as per the Standardized approach. Accordingly the components of the Market Risk weighted assets are as given below.

Table 16: Total Risk Weighted Assets for Market Risk under Standardised Approach as at 31st December 2011

(AED 000)

Market Risk	Amount
Interest rate risk	3,753,287
Equity position risk	898,179
Foreign exchange risk	929,144
Commodity risk	-
Option Risk	1,785
Total Risk Weighted Assets	5,582,395

The overall controls at the Group level around the Market Risk framework are set by the Group Market Risk Management Department (GMRMD). The controls are defined as per the risk appetite. These are set in terms of the products that can be dealt in and the limit structure around these products. The limits are segregated between the trading book and non-trading book positions. Trading book is guided by positions which are marked to market on daily basis. Non-trading book constitutes of investment positions categorized as available for sale or held to maturity. From the limits management perspective, the limits are also set in terms of hard and soft/trigger limits.

Larger NBAD overseas entities/subsidiaries also have independent risk management functions. Accordingly, each overseas branch/subsidiary has its own structure in place that is responsible for identifying, assessing, measuring, monitoring, reporting, controlling and mitigating market risks internally within that branch or subsidiary. The respective risk management/reporting unit sends the related market risk report to GMRMD at Head Office. These reports along-with the local ALCO minutes of the respective overseas entities/ subsidiaries are reviewed by GMRMD before it is overseen by the Group ALCO for any specific issues/deliberations. The GMRMD also monitors on a daily basis the level of lending from Treasury Head Office to its overseas entities/subsidiaries and vice-versa.

Market Risk reports are generated on a daily basis for the Interest Rate, Investments, and Foreign exchange and Equity desks of the Treasury. The following measurement techniques/ limits are used for the purpose of daily risk reporting to senior management:

- Value at Risk (VaR)
- Net Present Value Basis Point (PVBP)
- Fx Net Open Position (NoP)
- Stop Loss

The Group calculates parametric VaR on the portfolios as per the following inputs:
- Holding Period – 1 day
- Confidence Interval – 95%
- Frequency of Calculation - Daily

Other Market risk reports at the Group level are routinely tabled to G-ALCO which includes investment portfolio performance reports.

b) Management of Interest Rate Risk

The Risk Management Committee of the Board monitors on a periodic basis the interest rate risk taken by the Group. However, the management of interest rate risk is delegated to the Group ALCO. The Group ALCO is responsible for defining the interest rate risk limits and implementing strategies to contain interest rate risk within acceptable levels.

By the nature of its business, the Group is exposed to interest rate risk. Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group is exposed to this risk both in its Trading book and Banking book. The Treasury Middle Office generates the interest rate sensitivity report daily for its Treasury Trading and Banking book positions. The non-Treasury related Banking book positions are monitored through Interest Rate Sensitivity report which captures the contractual re-pricing of various assets and liabilities. The report incorporates all the rate sensitive and non-sensitive assets and liabilities of the Group. The Group Market risk team conducts assessment of the interest rate risk exposure to evaluate the impact of yield curve shifts on its NII.

The Group manages this risk principally through monitoring interest rate gaps on a consolidated basis across various maturities and by managing the re-pricing profile of rate sensitive

assets and liabilities based on expected interest rate view. Overall interest rate risk positions are managed by creating floating rate assets against floating rate liabilities and fixed rate assets against fixed rate liabilities. The Group uses derivative instruments to manage interest rate risk arising from the Group's financial instruments which are rate sensitive in nature.

The Group measures the impact of interest rate risk on trading book in terms PVBP and VaR. On the Banking book the short-term impact of interest rate risk is measured in terms of Net Interest Income (NII) impact or Earnings at Risk (EaR). The long-term impact of the interest rate risk is measured through the changes in Market Value of Equity (MVE).

A substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk. The Group Market risk team conducts assessment of the interest rate risk exposure by measuring the impact of reasonable possible change in interest rate movements.

Table 17: Interest Rate Risk in the Banking Book as at 31st December 2011

(AED 000)

Shift in Yield Curves	Net Interest Income	Regulatory Capital
±200 basis point	±919,232	±919,232

Section 4(d) of the Financial Statement computes the impact on Equity and Net Profit owing to a "reasonable" change in interest rates as per IFRS.

c) Management of Liquidity Risk and Funding Profile

The Group defines its liquidity risk as the potential impact when it does not have sufficient financial resources (liquidity) to meet its obligations when they come due, or will have to do so at excessive cost. The Group's liquidity risk principally arises due to mismatches in the timing of cash-flow and funding concentration. The objective of the Liquidity management at the Group level therefore is to ensure that the Group has adequate liquidity at all times while meeting the CBUAE and other local UAE regulatory requirements on liquidity risk.

NBAD's Board of Directors has delegated the responsibility for oversight and management of the Group's liquidity risk to RMC (Board level committee). The authority to set specific limits, guidelines and controlling liquidity is delegated by RMC to ALCO (Management level committee). ALCO has delegated the day-to-day liquidity management responsibility to Group Treasurer who is authorized to operate within the parameters and limits as defined by ALCO. In establishing these parameters and monitoring liquidity, ALCO is advised by the SGM-FMD and includes an assessment of the international and local economic/political environment in which the NBAD group operates. Based upon this input, ALCO determines the strategic level of liquidity for the Group.

The management of liquidity at the Group level is in accordance with CBUAE requirements and in terms of the ALCO approved Group Liquidity Management Policy (GLMP). The objective of the GLMP is to provide guidance in measuring, monitoring, managing and reporting liquidity risk. Liquidity of the Bank is managed on a Group basis and Financial Market Division (FMD) is responsible to oversee liquidity management of the Groups units and subsidiaries. On a day-to-day basis, NBAD manages liquidity in a decentralized manner by assigning to the operating units the responsibility for their own liquidity management, including full compliance with their regulatory guidelines. The liquidity requirements of the business units and subsidiaries at NBAD are met through short-term loans from the Group Treasury which covers any short-term fluctuations and longer term funding addressing any structural liquidity requirements. The daily management of liquidity is with the Group Treasury while the medium & long-term liquidity management of the Group is done through the Funding plan. This enables the identification of structural funding gaps and plan for resource raising accordingly.

The Group strategy to have a stable funding profile is through having a diversified customer base, reduce the regional concentration through having international medium term issuances at favorable rates. The Group maintains a judicious mix /portfolio of short-term high quality unencumbered liquid assets across countries and currencies. These include marketable debt securities, inter-bank and Central Bank placements; securities that can be monetized at short notice at minimal cost. The overseas units and subsidiaries of the Group manage their liquidity positions individually, reporting to regional and Group ALCO.

The liquidity management process includes but is not restricted to the following:

- Preparing the maturity gap reports on residual maturity basis for the local currency equivalent exposure. This provides a view on the funding structure as it evolves with the balance-sheet growth.
- The Bank has liquidity gap limits in place through which it monitors its actual liquidity position.
- Maintaining a targeted liquidity level by monitoring the Liquidity ratios which have been defined internally both from the regulatory and prudential perspective.
- While constantly striving for the diversification of the funding sources, monitor the concentration risk for the counterparties/depositors.
- In order to have the ability to provide funds at all times and to honour cash outflow obligations the Banks conducts the stress tests and scenario analysis.
- Maintaining a contingency funding plan to enable normal functioning in a stressed liquidity situation.

To manage the Groups liquidity in a contingent crisis situation the Bank has in place an ALCO approved Contingency Funding Plan (CFP). The CFP operates under the supervision of Liquidity Contingency Management Committee (LCMC) which monitors decisions support indicators emanating from the CFP to take necessary corrective actions.

The Group measures its liquidity in terms of regulatory and prudential requirements. This is both for the domestic and

overseas operations of the group. As per the regulatory requirement, the Group ALCO monitors:

- Loans to Stable Resources ratio
- Cash Reserve ratio.
- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)

Prudential requirement includes monitoring:

- Minimum Liquidity Ratio
- Structural Liquidity Gap
- Depositor concentration

The Group monitors the liquidity risk limits of its overseas units as well. The structural liquidity gap limits are closely monitored for time buckets up to 1 month. In case of breach of limits, Group Treasury recommends to ALCO the corrective measures to be taken.

The Group's overseas units report their liquidity position to the regional ALCO which reports to Group ALCO. The reports and ratios as mentioned above are monitored by the Group ALCO. The maturity analysis statement of the Group as at December 31, 2011 is shown in note 4(c) of the consolidated Financial Statements.

d) Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

Equity Position in the Banking Book as at 31st December 2011

Table 18: Quantitative Details of Equity Position as at 31st December 2011

(AED 000)

Type	Current Year		Previous Year	
	Publicly Traded	Privately Held	Publicly Traded	Privately Held
Equities	3,785	93,094	5,946	62,918
Collective investment schemes	10,400	0	34,879	0
Any other investment				
Total	14,185	93,094	40,825	62,918

Table 19: Realised, Unrealised And Latent Revaluation Gains (Losses) During the year 2011 - 12

(AED 000)

Gains (Losses)	Amount
Realized gains (losses) from sales and liquidations	-
*Unrealized gains (losses) recognized in the balance sheet but not through profit and loss account	13,145
**Latent revaluation gains (losses) for investment recorded at cost but not recognized in balance sheet or profit and loss account	-
Total	13,145

Table 20: Tier I and Tier II Capital Included In * and ** above are as follows

(AED 000)

Tier Capital	Amount
Amount included in Tier I capital	-
Amount included in Tier II capital	13,145
Total	13,145

Table 21: Capital Requirements by Equity Groupings as at 31st December 2011

(AED 000)

Grouping	Amount
Strategic investments	10,738
Available for sale	1,734
Held for trading	-
Total capital requirement	12,472

OPERATIONAL RISK

a) Operational Risk

Operational risks arise from all of the Group's operations and are faced by all business entities. This is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, people, systems and from external factors other than credit, market and liquidity risks. This includes legal and regulatory requirements and generally accepted standards of corporate behavior but excludes strategic and reputational aspects. However, reputational risk is addressed via various ORM Tools and the Bank has also created a separate reputational risk committee to address reputational risk aspects.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses resulting from operational risk events and any damage to the Group's reputation. The Bank has strived towards a viable risk reward environment that will ensure the businesses to operate in an environment to be creative and be enabled.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through a board approved and mandated ORMC that comprises of the senior executive management of the Bank representing all lines of business and activities with established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational risk related losses and to minimize the resultant impacts., The Bank also adapts to appropriate and effective risk mitigating strategies that includes and not limited to Business Continuity Planning, Insurance, effective management of information security, AML etc. The framework also provides the interrelation with other risk categories.

The Bank rigorously manages its operational risk through a well-defined operational risk management cycle that comprises four major stages – risk identification, risk assessment & measurement, controls and monitoring & reporting. The operational risk cycle is implemented through the use of one or more tools. The Bank has embedded operational risk management elements into its day-to-day activities & processes, through a strategic adoption of ORM tools across all business units, branches and subsidiaries.

Management at all levels is accountable for managing and mitigating operational risks in their areas of responsibility. Day-to-day management of operational risk is conducted by the management of the respective business units. The business units are mandated to comply with the operational risk framework established in the ORM Policy, conduct appropriate risk assessments as recommended by the ORM unit and report operational losses on a periodic basis. The business units are also mandated to adopt the monitoring framework established by the ORM unit and effect suitable mitigating measures for operational risk in their units. ORM coordinators have been designated for all business units, overseas branches and subsidiaries, who act as the primary source of facilitating ORM within their respective areas of responsibility.

Compliance with ORM policies and procedures is supported by periodic reviews undertaken by Group Audit. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

b) Business Continuity Management (BCM)

Business Continuity Management (BCM) is considered as an integrated process with operational risk management which is responsible for protection of continuity of the business process. The key objectives of BCM process are as below.

- Identify key functions essential to ensure the delivery of critical services for business areas either by area, department or unit;
- Identify the dependencies and other processes that each function relies upon; and
- Identify and define time frames for the recovery of those functions that are crucial for the continuation of services.

The progress of BCM initiatives is measured against Bank continuity requirements and benchmarking against Middle Eastern financial institutions. The effectiveness of BCM process and supporting BCM functions such as disaster recovery are measured via periodic testing of business continuity plans.

c) Reputational Risk

The Bank also attaches ample significance to reputational risk which is defined as the damage to Bank's reputation due to one or more events such as negative publicity on Bank's practices, conduct or financial conditions. The Bank has clearly identified the business areas as sources of reputational events such as (i) compliance with regulatory and legal obligations (ii) business practices followed, (iii) standard of product and service quality, (iv) information technology security and data integrity, (v) association with customers, suppliers and partners, (vi) crisis management, (vii) external communication, (viii) achievement if financial targets et cetera. The Bank pro-actively manages these identified business areas that might lead to reputational events.

CAPITAL MANAGEMENT

The Bank is governed by the Central Bank of the UAE guidelines on regulatory capital requirements for the Group and the overseas branches and subsidiaries are directly supervised by their local regulators. Besides, the Bank has a robust capital management process in place which is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business. The Bank conducts capital planning in conjunction with the financial budgeting exercise. The Bank has a rolling five year long-term strategic plan, which is updated annually. A short-term business plan for the next year is developed, based on the long term plan, which provides the foundation for financial and risk budgeting process. Capital requirement for each business unit is assessed and then consolidated at a Bank-wide level.

The Bank develops both bottom up plan based on the projections from individual business units as well as a top down strategic plan envisaged by the Board and top management. The top down plan consists of a high level multi-year financial statement based on long term planning and strategic objectives to be achieved. The aggregate numbers in this plan are based on long term plans and strategic initiatives/decisions that the Bank plans to undertake/implement in the future. The bottom up plan is based on the budgeting process is conducted at a business unit level, which is consolidated for each business division and finally, for the entire Bank. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- The short term (one year) goals
- Risk appetite & strategy
- Target growth rates
- Target returns

The key objectives of group capital management process are

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios
- Maintain sufficient capital to support Bank's Risk Appetite and strategic objectives
- Maintain adequate capital to withstand stress test
- To support NBAD's credit rating

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds within the authorized limits.

The Bank conducts a multi-year stress test exercise[1] in which the Balance Sheet and Profit & Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Bank uses macroeconomic stress tests in order to project capital need and capital levels under various unfavourable scenarios. The tests are perceived as an important tool in internal capital planning. The stress test result during 2011 shows that the Bank has adequate capital in the event of adverse scenarios during next 3-year period.



Corporate Governance Report



Corporate Governance Report

1. Summary of NBAD's Approach to Corporate Governance

NBAD is committed to implementing corporate governance practices to a standard derived from an amalgam of UAE guidelines and international best practice, applied in the context of NBAD. In this respect NBAD welcomed the additional guidelines issued during 2010 by the OECD Steering Group on Corporate Governance ("OECD") and Basel Committee on Banking Supervision: Principles on Corporate Governance Standards for Banks ("Basel"). The Board recognises that good corporate governance is of critical importance and is an invaluable tool in shaping and enhancing the performance of NBAD.

In response to the continuing evolution of international best practice, NBAD initiated an evaluation of its corporate governance framework. The evaluation will result in further corporate governance improvements and enhancements which NBAD will adopt during 2012.

NBAD has been continuously improving its corporate governance year on year. The role of the Board's Corporate Governance Committee is to maintain this momentum, demonstrating the Board's commitment to continuous corporate governance improvement in a measured response to developments within NBAD, the UAE and globally.

The Board is cognisant that Abu Dhabi Investment Council ("the Council") is the 70.5% shareholder of NBAD but the Board and each director is aware of the duties and responsibilities that the Board and each director owes to all shareholders, the need to ensure all shareholders are treated equally and that decisions are taken for the benefit of shareholders as a whole.

2. The Board

2.1 Board Composition

The Board members in 2011 were as set out in the table below:

BOARD MEMBERS – 2011

Board Member	Council Nominated	Independent
H. E. Nasser Ahmed Khalifa Al Sowaidi (Chairman)	X	
H. E. Dr. Jauan Salem Al Dhaheri (Deputy Chairman)	X	
H.E. Mohammed Omar Abdulla	X	
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	
Mr. Hashim Fawwaz Al Kudsi	X	
Mr. David Beau	X	X
Mr. Sultan Bin Rashed Al Dhaheri		
Sheikh Ahmed Mohammed Sultan Al Dhaheri		
Sheikh Mohammed Saif Mohammed Al Nahyan		
Mr. Matar Hamdan Al Ameri		X

The Board Committee members in 2011 were as set out in the table below:

BOARD COMMITTEE MEMBERSHIP – 2011

	CNC	AUDIT	CGC	RISK
H. E. Nasser Ahmed Khalifa Al Sowaidi (Chairman)			X	X
H. E. Dr. Jauan Salem Al Dhaheri (Deputy Chairman)				X
H.E. Mohammed Omar Abdulla	X		X	
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	X	X	
Mr. Hashim Fawwaz Al Kudsi				X
Mr. David Beau	X	X		
Mr. Sultan Bin Rashed Al Dhaheri				X
Sheikh Ahmed Mohammed Sultan Al Dhaheri	X			X
Sheikh Mohammed Saif Mohammed Al Nahyan	X	X		
Mr. Matar Hamdan Al Ameri		X	X	

The Board contains the appropriate balance of skills, experience, independence and knowledge to enable the Board to discharge its duties and responsibilities.

The Articles of Association provide that the Board should comprise 11 members; currently there is a vacancy and the Board has 10 members. The Board is actively engaged in identifying a suitable candidate that meets its criteria for appointment.

NBAD's Articles of Association provide that the Council has the right to elect such number of directors as is proportionate to the percentage of NBAD share capital it holds (70.5%). The remaining directors are elected by the general meeting of the shareholders by cumulative secret ballot without the participation of the Council. The directors elected by the general meeting are Mr. Sultan Bin Rashed Al Dhaheri, Sheikh Ahmed Mohammed Sultan Al Dhaheri and Sheikh Mohammed Saif Mohammed Al Nahyan. The independent directors are nominated by the Board and elected by the general meeting. The two independent directors are Mr. David Beau and Mr. Matar Hamdan Al Ameri.

2.2 Role of the Board

The collective responsibility of the NBAD Board and Board Committees is to provide entrepreneurial leadership to NBAD within a framework of prudent and effective controls which enable risk to be assessed and managed. The responsibilities include: (i) strategic direction; (ii) scrutinising the performance of management in meeting agreed objectives and accurate reporting of actual performance; (iii) monitoring the integrity of the financial information and adequacy of internal controls and risk management; (iv) setting NBAD's values and ethical standards; and (v) determining remuneration of senior management.

Strategic direction

In 2011 the Board continued to set and review NBAD's strategic direction which can be summarized as delivering the objective of being recognised as the World's Best Arab Bank, transforming NBAD from "good" to "great" by focusing on three main themes: Growth, Strength and Productivity. The Board will continue to oversee management's focused delivery of this strategy including efficient allocation of NBAD's resources.

Scrutinising performance of management

Throughout 2011 the Board scrutinised the performance of senior management including agreed strategic and financial objectives, business performance, effective risk management, appropriate internal controls and adherence to NBAD's values and ethics. The Board received reasonable assurance from senior management that NBAD's management information systems provided timely and accurate information.

Controls and risk management

Throughout 2011 the Board has been assiduous in ensuring that senior management balance growth with robust and effective internal controls and a robust and effective risk management framework. The Board's Risk Management Committee receives reports from the CEO, appropriate senior management committees and Risk Management Division ("RMD"). The responsibilities of these senior management committees include the risk management framework which includes credit risk, liquidity risk, market risk, , operational risk, business continuity management, AML and counter terrorist financing. Through the Risk Management Committee the Board receives reasonable assurance that it is aware of the material risks facing NBAD and that these known and anticipated risks have been appropriately measured and managed. The Board receives reasonable assurance that the system of internal controls allows NBAD to operate effectively and efficiently and in compliance with applicable laws and regulations.

Values and ethical standards

The Board recognises the critical importance of the Board, senior management and all employees conducting themselves in accordance with NBAD's values and ethical standards in all that they do for and on behalf of NBAD. The Board has responsibility for overseeing the culture within NBAD and sets the "tone from the top", which is reinforced by senior management and throughout the organisation.

The Board has set and continues to reinforce NBAD's values and ethical standards. The values are:

- Value our stakeholders;
- Accessible to our customers 24x7;
- Loyal to our heritage but global in our outlook;
- Understand our customers needs;
- Recognize that people are our single biggest asset and empower them;
- Teamwork;
- Deal with others as we would like them to deal with us.

These values and associated ethical behaviour underpin the entire organization. NBAD has issued extensive and wide ranging policies, rules and procedures to ensure employees understand and abide by its values and ethical standards including:

- Code of Ethics;
- Employee Handbook;
- Whistleblowing Policy;
- Disclosure Policy;
- Anti-Money Laundering Policy;
- Anti-Fraud Policy;
- Insider Dealing Rules;
- Client and NBAD Confidentiality;
- Conflicts of Interest.

These are available in both English and Arabic and are proactively reinforced with all employees.

The Board receives reasonable assurance from senior management that NBAD conducts its business in a manner which reflects NBAD's values and ethical standards and in adherence with its rules, policies and procedures.

3. Board Meetings

The Chairman, aided by the CEO, strives to ensure that the Board is well informed about NBAD's business, policies and material issues including all material developments.

The Board met regularly throughout 2011, holding five meetings. The Board papers contained all information which the Chairman, aided by CEO, considered necessary and appropriate for the Board to discharge its duties and responsibilities. In addition, between Board meetings, Board members received all information necessary for the proper discharge of their responsibilities.

Details of the Board meetings and individual attendance record are shown on the table below:

BOARD MEETINGS – 2011

Meeting Date	24/1	1/2	19/4	20/7	23/10
H. E. Nasser Ahmed Khalifa Al Sowaidi Chairman	X	X	X	-	X
H. E. Dr. Jauan Salem Al Dhaheri Deputy Chairman	-	X	X	X	X
H.E. Mohammed Omar Abdulla	X	X	X	X	X
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	X	X	X	X
Mr. Hashim Fawwaz Al Kudsi	X	X	X	X	X
Mr. David Beau	X	X	X	X	X
Mr. Sultan Bin Rashed Al Dhaheri	-	X	X	X	X
Sheikh Ahmed Mohammed Sultan Al Dhaheri	X	X	X	X	X
Sheikh Mohammed Saif Mohammed Al Nahyan	X	X	X	X	X
Mr. Matar Hamdan Al Ameri (appointed March 2010)	X	X	X	X	X

4. Board Committees

The Board has four Board Committees to which it has delegated responsibilities as set out in the terms of reference of each Committee. Committee membership is shown above. The Board ensures that directors with appropriate skills are aligned to the tasks and responsibilities of each Board Committee.

Each Committee has the appropriate balance of skills, experience, independence and knowledge to enable the Committee to properly discharge its duties and responsibilities. The Committees and their primary activities are:

Audit Committee. The Audit Committee is responsible for overseeing the integrity of the financial statements, preparation of the consolidated accounts including changes to accounting policies and practices and adherence to disclosure rules, overseeing relationship with external auditors, overseeing internal audit, ensuring adequacy of financial controls, internal control and risk management frameworks and oversight of NBAD's values and ethics. The Audit Committee met nine times in 2011.

Compensation and Nomination Committee. The Compensation and Nomination Committee oversees compensation, succession planning and appointments of senior management as well as overseeing HR policies for NBAD as a whole. The Compensation and Nomination Committee met five times in 2011.

Corporate Governance Committee. The Corporate Governance Committee makes recommendations to the Board on appropriate corporate governance policies and practices. The Corporate Governance Committee met three times in 2011.

Risk Management Committee. The Risk Management Committee sets and monitors NBAD's risk strategy and policy guidelines, sets and monitors NBAD's credit, operational and market risks and approves credits above management's delegated authorities. The Risk Management Committee met 16 times in 2011.

Copies of the terms of reference for each Board Committee are available on request from the Secretary to the Board.

5. Role of Chairman and CEO

The role of the Chairman and CEO are split and the positions are held by H.E. Nasser Ahmed Khalifa Al Sowaidi as Chairman and Mr Michael H Tomalin as Group Chief Executive. There is a clear division of responsibility between the roles. H.E. Dr Jauan Salem Al Dhaheri serves as Deputy Chairman.

The Chairman is responsible for the leadership of the Board and ensuring that the Board functions are effectively discharged including:

- Effective integration of activities of Board Committees with activities of the Board;
- Ensuring quality, clarity, quantity and timeliness of information provided to the Board;
- Ensuring proper conduct of Board meetings;
- Ensuring effective communications with shareholders and stakeholders;
- Maintaining a close and constructive relationship with the CEO.

The CEO has responsibility for the day to day management of NBAD including:

- Implementation of decisions of the Board and strategy determined by the Board;
- Managing the business of NBAD in accordance with strategy approved by the Board;
- Managing systems of risk management and control;
- Managing delivery of targets set by the Board;
- Chairing the Executive Committee and Management Committee.

6. Audit

NBAD's external auditor is appointed annually on the grounds of efficiency, reputation and experience. At the 2011 Annual General Meeting, KPMG was appointed external auditor to NBAD. NBAD has adopted a policy, overseen by the Board Audit Committee, which provides reasonable assurance to NBAD that the independence of the external auditors remains unimpeachable.

As independent external auditor, KPMG did not during 2011 perform for NBAD any technical, administrative or consultative services or works which would affect its decisions or independence as independent auditor. The Audit Committee critically reviews the detailed draft annual plan of the internal auditors before the audit plan is adopted and receives regular reports from internal audit throughout the year.

7. Senior Management Committees

The Board has delegated the day to day running of NBAD to the CEO and senior management. The senior management committees chaired by the CEO are:

Executive Committee, Management Committee, Management Compensation & Nominations Committee, Group Credit Committee, Assets & Liabilities Committee, Investment Committee – Bank Equity, Operational Risk Management Committee, Strategy Committee.

In addition, the Group Chief Operating Officer chairs the IT Strategy Committee and the Senior General Manager Corporate and Investment Banking chairs the Key Client Committee.

NBAD believes that this approach provides optimum management efficiency and ensures that business performance and development is balanced by effective risk management and internal controls.

8. Directors Fees

The fees paid to directors in 2011 are set out in the table below:

Title	Annual Fee in AED	Committee Attendance Fee in AED/per meeting
Chairman	800,000	2,500
Deputy Chairman	650,000	2,500
Director	500,000	2,500

9. Anticipated Enhancements in 2012

NBAD will adopt further refinements and improvements to its corporate governance framework during 2012 which will be set out in full in the 2012 Annual Report.



Shareholders' Information



Major Shareholders

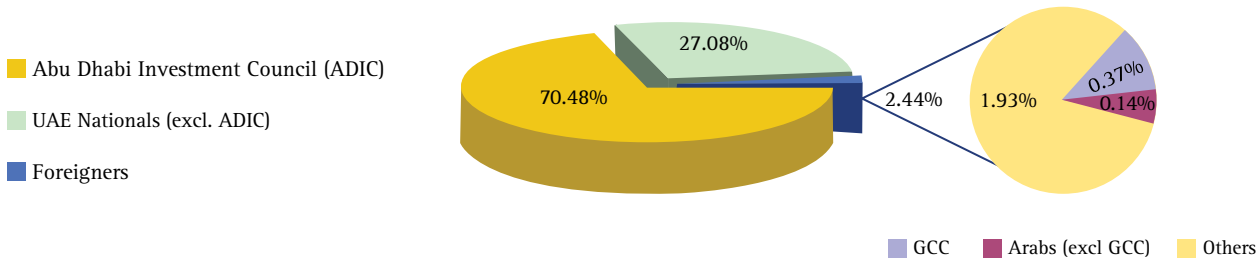
Shareholders holding more than 5% of NBAD shares as at 31 December 2011

Abu Dhabi Investment Council (ADIC) 70.48%

Ownership of NBAD shares by Nationality

Foreign ownership is restricted to 25% of the total shares listed on the exchange.
As of 31 December 2011, foreign ownership in NBAD shares amounted to 2.44%.

NBAD Shareholding as at 31 December 2011



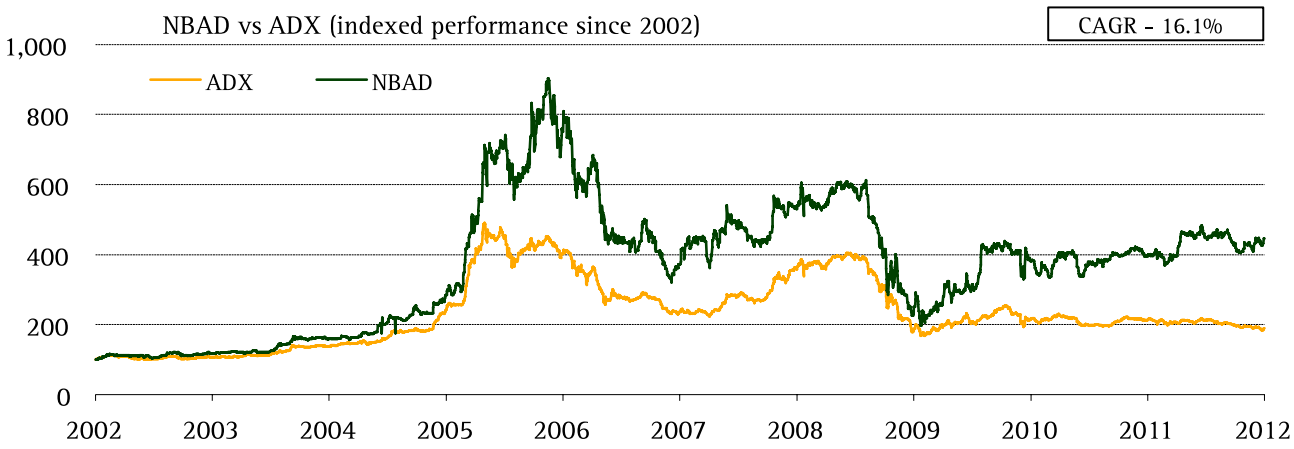
Market Capitalisation (Price @ AED 10.95*)	31 Dec 2011	AED 31.4bn (US$ 8.6bn)
Diluted EPS	FY 2011	1.19
PE Ratio (on Basic EPS)	Dec 2011	9.0
Price / Book	Dec 2011	1.4
Dividend Yield (AED 0.3 / share)^	2011	2.7%
Dividend Cover (Payout %)$	2011	4.0x (24.8%)

* ADX closing price (unadjusted) as on 31 December 2011
^ based on closing price as mentioned above
$ Dividend cover = (Net profits less Dividend on GoAD Tier-I capital notes) / Cash dividends for 2011

Shareholders' rewards

For Financial Year	2011	2010	2009	2008	2007	2006	2005
Cash Dividends	30%	30%	10%	30%	40%	40%	40%
Stock Dividends (Bonus shares)	35%	20%	10%	10%	20%	30%	30%

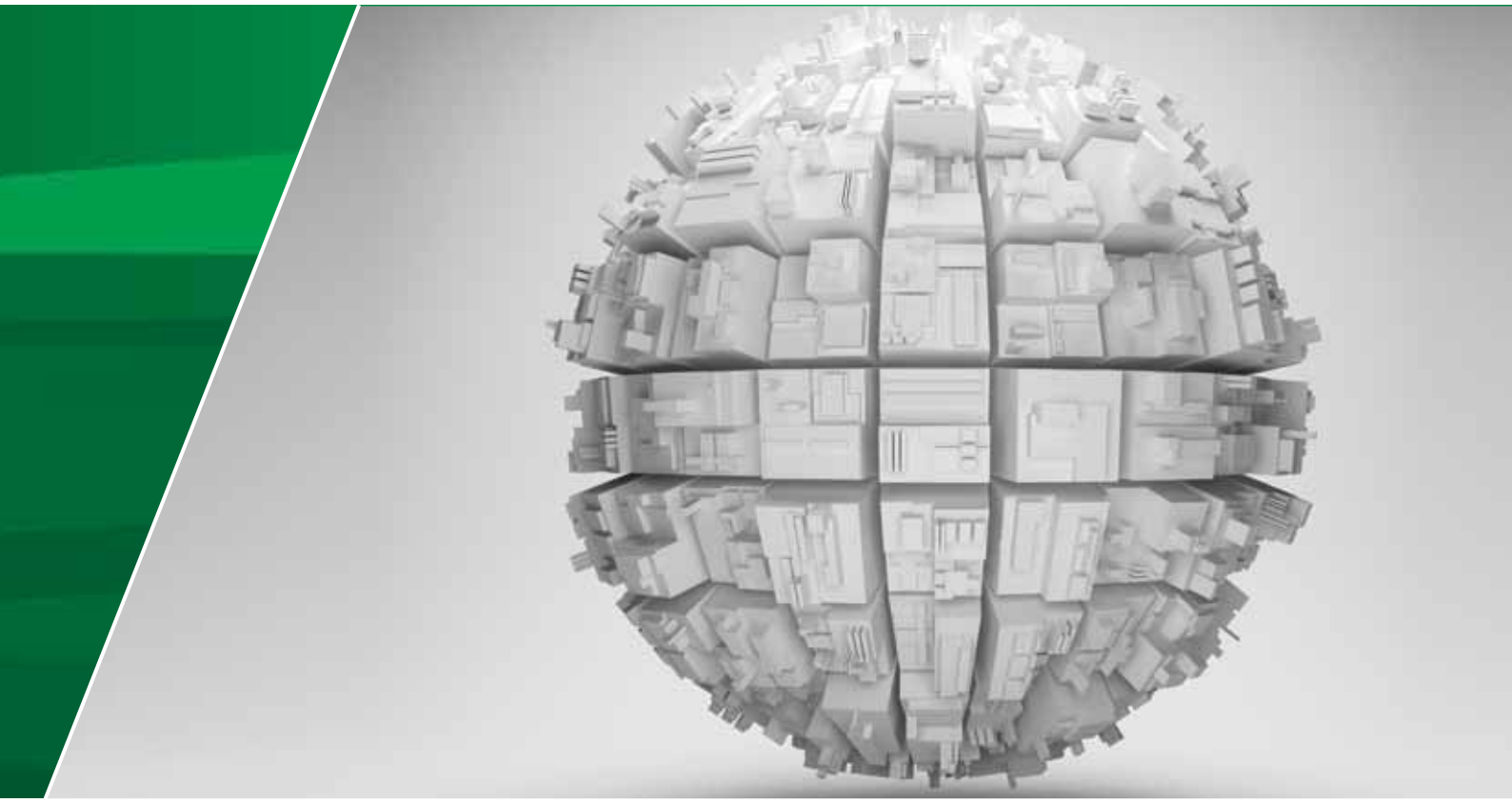
Stock Price Performance



Share price CAGR as of 31 December 2011

	1-Year	3-Year	5-Year
NBAD	11.8%	21.1%	3.6%
ADX	-11.7%	0.2%	-4.3%

CAGR: compounded annual growth rate



Group Network

Branches - UAE

Abu Dhabi

Main Branch
Telephone: 02 - 6111111
Telefax: 02 - 6275738/9
P.O.Box: 2993, Abu Dhabi

ADIA*
Telephone: 02 - 4105168
Telefax: 02 - 6212157
P.O. Box: 2993, Abu Dhabi

Khalidiya
Telephone: 02 - 4106000
Telefax: 02 - 6667480
P.O. Box: 46175, Abu Dhabi

ADCO*
Telephone: 02 - 6112800
Telefax: 02 - 6653057
P.O. Box: 46175, Abu Dhabi

ADMA*
Telephone: 02 - 6263225
Telefax: 02 - 6263295
P.O.Box: 46175, Abu Dhabi

ADNOC*
Telephone: 02 - 6669143
Telefax: 02 - 6679869
P.O.Box: 46175, Abu Dhabi

Abu Dhabi Municipality - Al Karama*
Telephone: 02 - 4105170
Telefax: 02 - 4450568
P.O. Box: 46175, Abu Dhabi

ZADCO*
Telephone: 02 - 6768821
Telefax: 02 - 6768851
P.O. Box: 46175, Abu Dhabi

Hilton*
Telephone: 02 - 6112770
P.O. Box: 46175, Abu Dhabi

Abu Dhabi Municipality*
Telephone: 02 - 4103801
Telefax: 02 - 6767136
P.O. Box: 46175, Abu Dhabi.

Abu Dhabi Food Control Authority*
Telephone: 02 - 4468559
Telefax: 02 - 4460184
P.O. Box: 46175, Abu Dhabi

Abu Dhabi International Airport
Telephone: 02 - 5075400
Telefax: 02 - 5757593
P.O. Box: 5279, Abu Dhabi

Sheikh Rashed Bin Saeed Al Maktoum Road
Telephone: 02 - 4104000
Telefax: 02 - 6416677
P.O. Box: 46727, Abu Dhabi

Abu Dhabi Mall
Telephone: 02 - 4104666
Telefax: 02 - 6452424
P.O. Box: 7021, Abu Dhabi

Arabian Gulf Road
Telephone: 02 - 4103000
Telefax: 02 - 4478344
P.O. Box: 71230, Abu Dhabi

Baniyas
Telephone: 02 - 5078100
Telefax: 02 - 5833359
P.O. Box: 11700, Baniyas

Abu Dhabi Municipality – Al Wathba*
Telephone: 02 - 5831720
Telefax: 02 - 5831740
P.O. Box: 11700, Abu Dhabi

Bateen
Telephone: 02 - 6668792
Telefax: 02 - 6663925
P.O. Box: 7644, Abu Dhabi

Al Bateen - Abu Dhabi Municipality*
Telephone: 02 - 6112795
P.O. Box: 46175, Abu Dhabi

Between The Two Bridges
Telephone: 02 - 5589446
Telefax: 02 - 5589447
P.O. Box: 26380, Abu Dhabi

Corniche
Telephone: 02 - 6919777
Telefax: 02 - 6819122
P.O. Box: 3699, Bel-Ghailam Tower, Corniche Rd. Abu Dhabi

Delma Island
Telephone: 02 - 8781240
Telefax: 02 - 8781331
P.O. Box: 50670, Delma, Abu Dhabi

Government Complex (TAMM, Delma) *
Telephone: 02 - 8945528
Telefax: 02 - 8945558
P.O. Box: 50670, TAMM Center,
Delma, Abu Dhabi

Das Island
Telephone: 02 - 8731099
Telefax: 02 - 8731448
P.O. Box: 46175, Abu Dhabi

*Denotes cash offices

Liwa
Telephone: 02 - 8822388
Telefax: 02 - 8822188
P.O. Box: 50419, Western Area, Abu Dhabi

Madinat Zayed
Telephone: 02 - 8945700
Telefax: 02 - 8846496
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Ghayathi
Telephone: 02 - 8744609
Telefax: 02 - 8744628
P.O. Box: 77729, Ghayathi Area, Abu Dhabi

Ghayathi TAMM*
Telephone: 02 - 8744712
Telefax: 02 - 8744713
P.O. Box: 77729, TAMM Building, Ghayathi Area, Abu Dhabi

Sir Baniyas*
Telephone: 02 - 8013210
Telefax: 02 - 8779014
P.O. Box: 11785, Inside Sir Baniyas Island, Abu Dhabi

Government Complex (TAMM, MZD)*
Telephone: 02 - 8945428
Telefax: 02 - 8846981
P.O. Box: 50019, Madinat Zayed, Abu Dhabi

Al Mirfaa
Telephone: 02 - 8836330
Telefax: 02 - 8836313
P.O. Box: 77110, Abu Dhabi

Paris Gallery
Telephone: 02 - 6651215
Telefax: 02 - 6650563
P.O. Box: 110818, Khalidiya Center, Abu Dhabi

Al Ruwais
Telephone: 02 - 8776343
Telefax: 02 - 8776453
P.O. Box: 11875, Al Ruwais, Abu Dhabi

Al Muroor
Telephone: 02 - 4485833
Telefax: 02 - 4484181
P.O. Box: 2712, Abu Dhabi

Mussafah
Telephone: 02 - 5029500
Telefax: 02 - 5559997
P.O. Box: 8351, Abu Dhabi

NPCC*
Telephone: 02 - 5549282
Telefax: 02 - 5549193
P.O. Box: 8351, Abu Dhabi

Petroleum Institute*
Telephone: 02 - 5075220
Telefax: 02 - 6075385
P.O. Box: 26380, Abu Dhabi

Mussafah Municipality*
Telephone: 02 - 5029501
Telefax: 02 - 5549193
P.O. Box: 8351, Abu Dhabi

Etihad Airways
Telephone: 02 - 5562998
Telefax: 02 - 5562993
P.O. Box: 131770, Abu Dhabi

Mezyad Mall
Telephone: 02 - 5532922
Telefax: 02 - 5591251
P.O. Box: 8350, Abu Dhabi

Industrial City Mussafah (ICAD)
Telephone: 02 - 6112737
Telefax: 02 - 5501262
P.O. Box: 90855, Mussafah, Abu Dhabi

Al Salam Street
Telephone: 02 - 4103900 / 02 - 6440051
Telefax: 02 - 6446050
P.O. Box: 7749, Abu Dhabi

Al Shahama
Telephone: 02 - 5632411
Telefax: 02 - 5633508
P.O. Box: 76142, Al Shahama, Abu Dhabi

New Al Shahama
Telephone: 02 - 5635695
Telefax: 02 - 5630806
P.O. Box: 77455, Al Shahama, Abu Dhabi

Shahama Municipality*
Telephone: 02 - 5631385
Telefax: 02 - 5631409
P.O. Box: 77455, Al Shahama, Abu Dhabi

Abu Dhabi National Exhibition Centre
Telephone: 02 - 4494996
Telefax: 02 - 4493788
P.O. Box: 94959, Abu Dhabi

Marina Mall
Telephone: 02 - 6816002
Telefax: 02 - 6816018
P.O. Box: 35835, Abu Dhabi

Mina Road
Telephone: 02 - 6507186
Telefax: 02 - 6507242
P.O. Box: 48089, Abu Dhabi

*Denotes cash offices

Branches - UAE

GHQ Officers Club
Telephone: 02 - 6112769
Telefax: 02 - 4416326
P.O. Box: 2993, Abu Dhabi

Madinat Zayed Tower
Telephone: 02 - 6355390
Telefax: 02 - 6355389
P.O. Box: 111699, Abu Dhabi

Al Etihad
Telephone: 02 - 4104953
Telefax: 02 - 6417812
P.O. Box: 31818, Abu Dhabi

Emirates Palace
Telephone: 02 - 6908900 / 02 - 6112777
Telefax: 02 - 6908908
P.O. Box: 40039, Abu Dhabi

Abu Dhabi Chamber of Commerce & Industry
Telephone: 02 - 6177460
P.O. Box: 662, Abu Dhabi

Al Silaa Branch
Telephone: 02 - 8721979
Telefax: 02 - 8721959
P.O. Box: 76900, Abu Dhabi

Al-Muroor Municipality Cash Office*
Telephone: 02-4413169
Telefax: 02-4413152
P.O. Box: 2712, Abu Dhabi

Sila'a Municipality*
Telephone: 02-8724296
Telefax: 02-8724975
P.O. Box: 76900, Abu Dhabi

Liwa Municipality*
Telephone: 02-8820133
Telefax: 02-8820115
P.O. Box: 50419, Liwa, Abu Dhabi

Al Mirfa'a Municipality*
Telephone: 02-8836330
Telefax: 02-8832460
P.O. Box: 77110, Al Mirfa'a, Abu Dhabi

Dalma Mall Branch
Telephone: 02-5512467
Telefax: 02-5512470
P.O. Box: 93200, Abu Dhabi

Masdar City Institute Branch
Telephone: 02-5570401
Telefax: 02-5570421
P.O. Box: 93003, Khalifa City A, Abu Dhabi

Sky Park Plaza T3 -Abu Dhabi Airport*
Telephone: 02-5075402
Telefax: 02-5757593
P.O. Box: 5279, Abu Dhabi

Mezyad Mall
Telephone: 02-5532922
Telefax: 02-5591251
P.O. Box 8350, Abu Dhabi

Municipality Food Distribution Center-Mussafah*
Telephone: 02-5029501
Telefax: 02-5559997
P.O. Box 8351, Abu Dhabi

Mushrif Mall
Telephone: 02-4100300
Telefax: 02-6737095
P.O. Box 62545, Abu Dhabi

Khalifa City (A)
Telephone: 02-4100202
Telefax: 02-5577853
P.O. Box 145545, Abu Dhabi

Madinat Zayed Municipality*
Telephone: 02-8945720
Telefax: 02-8845021
P.O. Box 50019, Abu Dhabi

Al Ain

Al Ain Clock Tower
Telephone: 03 -7066500
Telefax: 03 - 7668150
P.O.Box: 1138, Al Ain

Al Ain Aud El Toubah
Telephone: 03 - 7513246
Telefax: 03 - 7517911
P.O. Box: 17822, Al Ain

Al Nada Ladies
Telephone: 03 - 7640761
Telefax: 03 - 7640607
P.O. Box: 85404 Al Ain

Emirates Cement Factory*
Telephone: 03 - 7224060
P.O. Box: 17822, Al Ain

Al Ain International Airport*
Telephone: 03 - 7855511
Telefax: 03 - 7855588
P.O. Box: 17822, Al Ain

Al Ain Defence*
Telephone: 03 - 7688824
Telefax: 03 - 7688879
P.O. Box: 17822, Al Ain

Al Sanaiya
Telephone: 03 - 7011111
Telefax: 03 - 7610875
P.O. Box: 19771, Al Ain

Sweihan
Telephone: 03 - 7346033
Telefax: 03 - 7347414
P.O. Box: 10033, Sweihan, Abu Dhabi

*Denotes cash offices

Al Hayer
Telephone: 03 - 7321414
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Hayer Municipality*
Telephone: 03 - 7322400
Telefax: 03 - 7322500
P.O. Box: 17087, Al Hayer, Al Ain

Al Maqam
Telephone: 03 - 7684009
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Maqam Municipality*
Telephone: 03 - 7085308
Telefax: 03 - 7684451
P.O. Box: 85313, Al Maqam, Al Ain

Al Ain Mall
Telephone: 03 - 7519900
Telefax: 03 - 7513636
P.O. Box: 59212, Al Ain

Al Ain Civic Center
Telephone: 03 - 7625414
Telefax: 03 - 7624425
P.O. Box: 86777, Al Ain

Mezyad Municipality*
Telephone: 03 - 7085359
Telefax: 03 - 7668150
P.O. Box: 1138, Al Ain

Al Wagan
Telephone: 03 - 7351886
Telefax: 03 - 7351451
P.O. Box: 21844, Al Ain

Al Wagan Municipality*
Telephone: 03 - 7351886
Telefax: 03 - 7351451
P.O. Box: 21844, Al Ain

Al Quaa Municipality*
Telephone: 03-7066592
Telefax: 03-7356465
P.O. Box: 21844, Al Ain

Al Remah – TAMM*
Telephone: 03-7371257
Telefax: 03-7371947
P.O. Box: 17822, Al Ain

Al Khaznah – TAMM*
Telephone: 02-5663134
Telefax: 02-5663573
P.O. Box: 17822, Al Ain

Al Yahar Branch
Telephone: 03-7819220
Telefax: 03-7819351
P.O. Box: 200600, Al Ain

Department of Economic Development*
Telephone: 03-7011350
Al Ain Municipality, Al Ain

Ajman

Ajman
Telephone: 06 - 7013400
Telefax: 06 - 7425750
P.O. Box: 988, Ajman

Dubai

Dubai Main Branch
Telephone: 04 - 2131900
Telefax: 04 - 2504009
P.O. Box: 4436, Deira, Dubai

Dubai Side (Bur Dubai)
Telephone: 04 - 5098500
Telefax: 04 - 3583610
P.O. Box: 2372, Dubai

Jebel Ali
Telephone: 04 - 8116700
Telefax: 04 - 8870553
P.O. Box: 17177, Jebel Ali Area, Dubai

Sheikh Zayed Road
Telephone: 04 - 7071111
Telefax: 04 - 3861508
P.O. Box: 33317, Dubai

Al Qusais
Telephone: 04 - 7058500
Telefax: 04 - 2581613
P.O.Box: 48111, Dubai

Jumeirah
Telephone: 04 - 3445050
Telefax: 04 - 3499012
P.O.Box: 333314, Jumeriah, Area 1, Dubai

Mall of the Emirates
Telephone: 04 - 3413888
Telefax: 04 - 3413889
P.O. Box: 211875, Dubai

Dubai Health Care City
Telephone: 04 - 4245600
Telefax: 04 - 4298350
P.O. Box: 505115, Dubai

Dubai Mall
Telephone: 04 - 3398260
Telefax: 04 - 3398463
P.O. Box: 73700, Dubai

Hor Al Anz (Al Mamzar)
Telephone: 04 - 2017900
Telefax: 04 - 2656186
P.O. Box: 4436, Dubai

*Denotes cash offices

Branches - UAE

Al Quoz
Telephone: 04 - 3397499
Telefax: 04 - 3397332
P.O. Box: 282227, Dubai

Al Muraqabat Branch
Telephone: 04-2042400
Telefax: 04-2999537
P.O. Box: 4436, Dubai

Mirdif City Center Branch
Telephone: 04-2316900
Telefax: 04-2840338
P.O. Box: 4436, Dubai

Meadows
Telephone: 04-4415251
Telefax: 04-4228507
P.O. Box 488084, Dubai

Dubai Marina (JBR)
Telephone: 04-4522793
Telefax: 04-4228608
P.O. Box 334511, Dubai

Motor City
Telephone: 04-4539518
Telefax: 04-4228617
P.O. Box 294818, Dubai

Deira City Center
Telephone: 04-2131950
Telefax: 04-2946711
Inside Deira City Center Mall, Dubai

Fujairah

Fujairah
Telephone: 09 - 2222633
Telefax: 09 - 2227241
P.O. Box: 79, Fujairah

Dibba Al Hisn
Telephone: 09 - 2440677
Telefax: 09 - 2440622
P.O. Box: 144900 – Dibba Al Hisn, Fujairah

Dibba (Muhallab)
Telephone: 09 - 2431110
Telefax: 09 - 2431188
P.O. Box: 11500, Dibba, Fujairah

Qidfaa
Telephone: 09 - 2361000
Telefax: 09 - 2361001
P.O. Box: 12229, Qidfaa, Fujairah

Khorfakkan
Telephone: 09 - 2088200
Telefax: 09 - 2383735
P.O. Box: 10092, Khorfakkan

Kalba
Telephone: 09 - 2772112
Telefax: 09 - 2772712
P.O. Box: 11979, Kalba

Ras Al Khaimah

Al Nakheel
Telephone: 07 - 2056800
Telefax: 07 - 2281305
P.O. Box: 5744, Al Nakheel, Ras Al Khaimah

Ras Al Khaimah
Telephone: 07 - 2056666
Telefax: 07 - 2330950
P.O. Box: 350, Ras Al Khaimah

Sharjah

Al Bourj Avenue
Telephone: 06 - 5110666
Telefax: 06 - 5695511
P.O. Box: 20606, Sharjah

Sharjah
Telephone: 06 - 5170555
Telefax: 06 - 5721100
P.O. Box: 1109, Sharjah

Al Falah Camp
Telephone: 06 - 5385143
Telefax: 06 - 5583455
P.O. Box: 1109, Sharjah

Al Dhaid
Telephone: 06 - 8822929/8823789
Telefax: 06 - 8826006
P.O. Box: 13343, Al Dhaid, Sharjah

Al Madam
Telephone: 06 - 8861212
Telefax: 06 - 8861813
P.O. Box: 48100, Al Madam, Sharjah

Al Nahda
Telephone: 06 - 5308989
Telefax: 06 - 5308620
P.O. Box: 45493, Sharjah

Sharjah Industrial Area
Telephone: 06 - 5353530
Telefax: 06 - 5353113
P.O. Box: 33777, Sharjah

Al Tawuun
Telephone: 06 - 5304759
Telefax: 06 - 5304739
P.O. Box: 7210, Sharjah

Umm Al Quwain

Umm Al Quwain
Telephone: 06 - 7069333
Telefax: 06 - 7649644
P.O.Box: 733, Umm Al Quwain

*Denotes cash offices

Branches - Overseas

Bahrain

Retail Banking Unit
Address: Building No. 2611, Road No.2833, Al Seef District 428
P. O. Box 5247 Manama -Kingdom of Bahrain
Telephone: + 973 17 560870
Fax: + 973 17 583281
Swift: NBADBHBMBRA

Wholesale Banking Unit
Address: Building No. 2611, Road No .2833,
Al Seef District 428,
P. O. Box 5886, Manama, Kingdom of Bahrain
Telephone: + 973 17 560 870
Fax : +973 17 560 837
Swift: NBADBHBM

Egypt

Regional Office - Cairo - Egypt
Telephone: +202 37475102 / 37475000
Telefax: +20 2 37475295
Address: Nile Tower Building (18th Floor),
21 Charles de Gaulle St . Cairo, Egypt

6th October
Telephone: +20 2 38282900
Telefax: +20 2 38282928
Swift: NBAD EG CA OCT
Address: 52, H. AL Mahwar Al Markazy,
Banks District, 6th October City, Egypt

Dandy Mall Branch
Telephone: +202 38282960
Telefax: +202 35391868
Swift: NBAD EG CA OCT
Address: K.M. 28 Cairo Alex. Desert Road,
Unit No. 23, Dandy Mall , Giza, Egypt

Elite Banking Unit - Giza Branch
Telephone: +202 37475006 / 37475300
Telefax: +202 37475296
Swift: NBAD EG CA PSU
Address: Nile Tower – 1st & 3rd Floors,
21 Charles de Gaulle St . Cairo, Egypt

Mohandessin Branch
Telephone: +202 38282941/45
Telefax: +202 33365569
Swift: NBAD EG CA MHD
Address: 35 Mohie El Din Abu El Ezz Street,
El Mohandessin, Giza, Cairo, Egypt

Talaat Harb Branch
Telephone: +202 27683240
Telefax: +202 23931527
Swift: NBAD EG CA THB
Address: 22, Kasr El Nil Street,
Talaat Harb Sq., Cairo, Egypt

Maadi Branch
Telephone: +20 2 27683200/23586015
Telefax: +20 23588945 / 235838877
Swift: NBAD EG CA MAD 8 PSU
Address: Crossing of Roads 151/152
(near Horreya Square) Maadi, Cairo, Egypt

Maadi City Center Branch
Telephone: +202 27683237
Telefax: +202 27683236
Swift: NBAD EG CA MAD
Address: Maadi City Center, Ring Road,
Medinat El Mirage 1435 – Unit No.27,
Katameya Road, Cairo, Egypt

El Choueifat Branch
Telephone: +202 27683275
Telefax: +202 26182701
Swift: NBAD EG CA CHF
Address: El Choueifat School - Main Gate,
New Fifth Urban Community (Kattameya),
New Cairo, Egypt

Heliopolis Branch
Telephone: +20 2 24177627
Telefax: +202 24177632
Swift: NBAD EG CA HLP
Address: 13A, Ramsis Street, From Salah Salem Road,
Heliopolis, Cairo, Egypt

City Stars
Telephone: +202 24137850
Telefax: +202 24802183
Swift: NBAD EG CA HLP
Address: Unit No. 148, City Stars Mall,
Nasr City, Cairo, Egypt

Al Akkad Branch
Telephone: +202 24137830
Telefax: +202 22752376
Swift: NBAD EG CA AAKD
Address: 36 Abbas Al Akkad Street, Nasr City, Cairo, Egypt

El Obour Branch
Telephone: +202 24137863
Telefax: +202 46104972
Swift: NBAD EG CA OBR
Address: Unit No. 1 & 2, City Club Wall,
Ismailya Desert Road,
El Obour City, El Qalubia, Egypt

Salah Salem Branch
Telephone: +203 4860900 / 3
Telefax: +203 4847114
Swift: NBAD EG CA ALX
Address: 28, Salah Salem Street, Alexandria, Egypt

Sporting Branch
Telephone: +203 4203401 / 4196000
Telefax: +203 4203409 / 4240027
Swift: NBAD EG CA SPT
Address: 243 Horreya Ave., Sporting,
Alexandria, Egypt

*Denotes cash offices

Branches - Overseas

San Stefano Branch
Telephone: +203 4690029
Telefax: +203 4690028
Swift: NBAD EG CA STF
Address: San Stefano Grand Plaza, Alexandria, Egypt

Alexandria City Center Branch
Telephone: +203 4196040
Telefax : +203 3970081
Swift: NBAD EG CA ACC
Address: City Centre, Alexandria, Egypt

Port Said Branch
Telephone: +2066 3384400
Telefax: +2066 3235814
Swift: NBAD EG CA PSD
Address: El Salam Tower, Sultan Mahmoud St,
Tahr El Bahar No. 4, Port Said, Egypt

Mansoura Branch
Telephone: +2050 2281200
Telefax: +2050 2329980
Swift: NBAD EG CA MNS
Address: 242 Al Guesh Street, P.O.Box: 350,
Mansoura, Egypt

Tanta Branch
Telephone: +2040 3385800
Telefax: +2040 3385811
Swift: NBAD EG CA TNT
Address: 22 El Geish Street, Al Sarayah Tower, Tanta,
Gharbia – Egypt

Damietta Branch
Telephone: +2057 392201
Telefax: +2057 392222
Swift: NBAD EG CA DMT
Address: 173 Saad Zaghloul Street,
Damietta, Egypt

Luxor Branch
Telephone: +2095 2399840
Telefax: +2095 2399839
Swift: NBAD EG CA LUX
Address: Khaled Ibn Al Waleed Street,
Sonesta St. George Hotel, Luxor, Egypt

Assiut Branch
Telephone: +2088 228539 / 6
Telefax: +2088 2285394
Swift: NBAD EG CA ASU
Address: 32A, El Gomhoria Street,
Assiut, Upper Egypt

Sharm El Sheikh Branch
Telephone: +2069 3602695
Telefax: +2069 3621912
Swift: NABD EG CA SHK
Address: Golden Center, Unit No. 19 - Ground Floor,
Al Salam Street - Na´ama Bay, Sharm El Sheikh,
South Sinai, Egypt

Sharm El Sheikh - Cash Office*
Telephone: +2069 3621971
Telefax: +2069 3602693
Swift: NABD EG CASH K
Address: Sanafir Hotel, Unit No. 2, Na´ama Bay,
Sharm El Sheikh South Sinai, Egypt

Hurghada Branch
Telephone: +2065 3443424
Telefax: +2065 3443446
Swift: NBAD EG CA HUR
Address: West Side Touristic Center Shop 1/3,
Al Mashaia Area, Hurghada, Red Sea, Egypt

Hurghada Cash Office - Titanic Beach Hotel*
Telephone: +2065 3461420
Telefax: +2065 3461430
Address: LTI Titanic Beach Hotel–
South Magawish – KM 17,
Sahl Hashish Road, Hurghada, Red Sea, Egypt

Senzo Mall Branch
Telephone: +2065 3412134
Telefax: +2065 3412130
Swift: NABD EG CA SNZ
Address: Unit No. 1A Senzo Mall, South Magawish,
Safaga Road, Hurghada, Red Sea, Egypt

El Hegaz Branch
Telephone: +202 26217953 / 4
Telefax: +202 24137879
Swift: NBAD EG CA HGZ
Address: 50 Farid Semeika st. El Hegaz square,
Heliopolis, Cairo, Egypt

Shoubra Branch
Telephone: +202 22007926
Telefax : + 202 22007784
Swift: NBAD EG CA SHB
Address: 21 Dawletyan St., Agha Khan Bld., Shoubra Misr

France

Paris Branch
Telephone: +33 1 53230280
Telefax: +33 1 47208160
Swift: NBAD FR PP XXX
Address: 125, Avenue des Champs Elysees, 75008,
Paris, France

Kuwait

Kuwait Branch
Telephone: +965 22904141
Telefax: +965 22495196
Swift: NBAD KW KW
P.O. Box: 2620, Safat, 13027
Address: Al Bahar Tower, Ahmed Al Jaber Street,
Sharq, Kuwait

*Denotes cash offices

Libya

Libya Rep. Office
Telephone: +218 213362283
Telefax: +218 213362284
Address: P.O Box: 259, Al Fateh Tower, 15th Floor,
Office No. 152,
Tripoli, Libya

Oman

Regional Office - Muscat - Oman
Telephone: +968 24761000
Telefax: +968 24761010 / 110
Swift: NBAD OMR XXXX
Address: Commercial Business District (CBD),
Building # 320, Way # 4010, Block No.140,
P.O. BOX 303, Muscat, Postal Code 100,
Sultanate of Oman

Oman Main Branch
Telephone: +968 24761046
Telefax: +968 24798929
Swift: NBAD OMR XXXX
Address: Commercial Business District (CBD),
Building # 320, Way # 4010, Block No.140,
P.O. BOX 303, Muscat, Postal Code 100,
Sultanate of Oman

Al Qurum Branch
Telephone: +968 24662200 / 2206
Telefax: +968 24563935
Address: Al Qurum – ROP Parking Area,
P. O. Box: 988 - Postal Code 116,
Sultanate of Oman

Al Khuwair Branch
Telephone: +968 24476707 / 702
Telefax: +968 24482329
Address: Al Khuwair – Ice-Skating Building,
Next to Zawawi Mosque,
P. O. Box: 458 - Postal Code 130,
Al Khuwair, Sultanate of Oman

Al Khoudh Branch
Telephone: +968 24533902 / 903 / 904
Telefax: +968 24545904
Address: Al Khoudh Commercial St. - Building No. 356,
P.O. Box: 1092, Postal Code 132,
Al Khoudh, Sultanate of Oman

Sohar Branch
Telephone: +968 26851800 / 803
Telefax: +968 26845644
Address: Al Waqaiba – Banks Area,
P.O. Box No 25 – Postal Code 321,
Al Tarif, Sultanate of Oman

Nizwa Branch
Telephone: +968 25414700 / 702
Telefax: +968 25414720
Address: Opposite Firq Roundabout,
P. O. Box: 895 - Postal Code 611,
Nizwa, Sultanate of Oman

Salalah Branch
Telephone: +968 23207600
Telefax: +968 23207620
Address: Haffa House, P.O. Box 2715, Postal Code 211,
Central Salalah, Sultanate of Oman

Sur Branch
Telephone: +968 25563100 / 101 / 102
Telefax: +968 25563120
P.O. Box 421, Postal Code 411, Sur, Sultanate of Oman
Address: On Main Commercial Road, Between Oman Housing
Bank and Sur Plaza Hotel, Sultanate of Oman

Al Buraimi Branch
Telephone: +968 25658200 / 201 / 202
Telefax : + 968 25658220
Address: New Al Sa'ara, Al Buraimi
P.O. Box 671, Postal Code 512, Al Buraimi, Sultanate of Oman

Sudan

Sudan Regional Office
Telephone: +249 183 774204 / 787203
Telefax: +249 183 774892
Address: P.O.Box 12147, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum Branch
Telephone: +249 183 778517
Telefax: +249 183 774892
Swift: NBAD SD KH
Address: P.O. Box 2465, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum North*
Telephone: +249 185 343833
Telefax: +249 185 343227
P. O. Box 1138, Postal Code: 13311
Address: Sinaat Street, Khartoum North, DAL Food Building
Republic of Sudan

Amarat Branch
Telephone: +249 183 569656 / 604 / 640
Telefax: +249 183 569625
Swift: NBAD SD KH AMR
Address: Street 15, Block 9/10, Plot No. 50/1,
Hilal Sami Building, P.O. Box: 15141, Amarat, Khartoum,
Republic of Sudan

*Denotes cash offices

Branches - Overseas

Jordan

Jordan Branch
Telephone.: +962 6 5002222
Telefax: +962 6 5002220
Swift: NBADJOAM
10 Abdul Hameed Sharaf Street, Al Shmeisani 941110
Amman 11194 - Jordan

Wadi Abdoun Branch
Telephone: +962 6 5002222
Telefax: + 962 6 5933763
Swift: NBAD JO AM
Address: Wadi Abdoun - Princess Basma Street
P.O. Box 941110, Amman 11194 - Jordan

Hong Kong

Hong Kong Branch
Telephone: +852 3413 4388
Telefax: +852 3413 4343
Swift: NBAD HK HH
18th Floor, Nine Queen's Road Central,
Hong Kong

United Kingdom

London Branch
Telephone: +44 207 3933600
Telefax: +44 207 3933636
Swift: NBAD GB 2L
Address: One Knightsbridge,
London SW1X 7 LY, U.K

Subsidiaries

United States of America

Abu Dhabi International Bank N.V.
Telephone: +1 202 8427900
Telefax: +1 202 8427955
Swift: ADIB US 33
Address: 1430 K street, N.W., Suite 400,
Washington D.C. 20005, U.S.A.

Netherlands Antilles

Curacao
Abu Dhabi International Bank N.V.
Telephone: +599 94611299
Telefax: +599 94615392
Address: Kaya W.F.G. (Jombi) Mensing 36
P.O. Box 3141
Curacao

Switzerland

NBAD Private Bank (Suisse) SA
Telephone: +41 22 7075000
Telefax: +41 22 7075010
Address: Quai de l'lle 5, P.O. Box: 5055,
CH-1211 Geneva 11, Switzerland

Jersey Channel Islands

NBAD Trust Company (Jersey) Limited
Telephone: +44 1534 609000
Telefax: +44 1534 6093333
Address: C/O Mourant Private Wealth,
22 Grenville Street, St. Helier, Jersey JE4 8PX,
P.O. Box: 87, Jersey, Channel Islands

United Arab Emirates

Abu Dhabi National Leasing LLC
Telephone: +971 2 6111629
Telefax: +971 2 6269111
P.O. Box: 4
Address: One NBAD Tower, Sheikh Khalifa Street,
Abu Dhabi, United Arab Emirates

Abu Dhabi National Islamic Finance Pvt. JSC
Telephone: +971 2 4104444
Telefax: +971 2 6222597
Address: P.O. Box 40057, Abu Dhabi,
United Arab Emirates

Abu Dhabi Financial Services Company LLC
Telephone: +971 2 6161600
Telefax: +971 2 6273285
P.O. Box: 28400, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Property Company PJS
Telephone: +971 2 6594888
Telefax: +971 2 6355382
P.O. Box: 3520
Address: Muroor Street, Opposite Madinat Zayed
Shopping Centre, Abu Dhabi, United Arab Emirates